

DELIVERING SUSTAINABLE GROWTH





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At CapitaLand Malaysia Mall Trust (CMMT), we strive to enrich lives through high-quality real estate products and services. Inspired by CapitaLand's credo of 'Building People. Building Communities.', the design for this year's annual report employs the creative use of mosaic to recreate The Mines – a key property in our portfolio. Just as different mosaic pieces come together to form a big picture, this is symbolic of how CMMT will continue to build on our strengths to propel our growth journey and create greater value for the future.

CMMT remains committed to building a resilient and quality portfolio. Leveraging on proactive asset management and prudent capital management, our portfolio of income-producing assets in geographically diversified locations has achieved stable performance. Moving forward, we will embark on new initiatives to rejuvenate our assets, creating new opportunities and exciting experiences for tenants and shoppers respectively. By harnessing our strengths, we are confident of delivering sustainable returns to our Unitholders and reinforcing ourselves as the preferred choice to investors.

VISION

To be Malaysia's leading shopping mall real estate investment trust through value creation and continuous innovation.

MISSION

To deliver long-term and sustainable distribution of income and potential capital growth to Unitholders

For Investors

Deliver sustainable total returns

For Tenants

Create profitable opportunities

For Shoppers

Create delightful shopping and lifestyle experiences

For Employees

Provide opportunities to realise personal potential and achieve professional growth

For the Community

Promote social responsibility and environmental sustainability

CORPORATE PROFILE

Listed on the Main Market of Bursa Malaysia Securities Berhad (Bursa Securities) on 16 July 2010, CMMT is a shopping mall-focused real estate investment trust (REIT) in Malaysia with an income-producing, geographically diversified portfolio of five shopping malls and a complementary office block.

As at 31 December 2017, CMMT had a market capitalisation of approximately RM3.7 billion and its portfolio was independently valued at RM4.0 billion.

CMMT invests, on a long-term basis, in income-producing real estate which is primarily used for retail purposes and these quality assets are strategically located in key urban centres across Malaysia; Gurney Plaza in Penang, three in Klang Valley – a majority interest in Sungei Wang¹ in Kuala Lumpur, Tropicana City Mall and Tropicana City Office Tower in Petaling Jaya, The Mines in Seri Kembangan and East Coast Mall in Kuantan, Pahang. The portfolio has a total net lettable area of over 3.1 million square feet (sq ft). As at 31 December 2017, the total asset size of CMMT is approximately RM4.2 billion.

CMMT is managed by CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (the Manager) – a joint venture between CapitaLand Limited, one of Asia's largest real estate companies headquartered and listed in Singapore, and Malaysian Industrial Development Finance Berhad (MIDF). MTrustee Berhad (the Trustee) is the trustee for CMMT.

1 CMMT's interest in Sungei Wang comprises (i) 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail floor area of Sungei Wang, and (ii) 100.0% of the car park bays in Sungei Wang.

CONTENTS

OVERVIEW

- 2017 Highlights [2](#)
- Financial Highlights [3](#)
- Trust Structure [4](#)
- Organisation Structure [4](#)
- Value Creation [5](#)
- Board of Directors [6](#)
- Portfolio at a Glance [7](#)
- Asset Enhancement Initiatives [8](#)
- Letter to Unitholders [10](#)
- Salient Features of CMMT [13](#)
- Financial and Trading Highlights [14](#)
- Year in Brief [16](#)

BUSINESS REVIEW

- Operations Review [65](#)
- Financial Review [70](#)
- Capital Management [73](#)
- Independent Retail Market [75](#)
- Overview
- Marketing & Promotions [83](#)
- Property Summary [86](#)

CORPORATE GOVERNANCE & TRANSPARENCY

- Board of Directors Profile [17](#)
- Trust Management Team [22](#)
- Corporate Governance [24](#)
- Statement on Risk Management [49](#)
- & Internal Control
- Enterprise Risk Management [52](#)
- Investor & Media Relations [55](#)
- Unit Price Performance [56](#)

PORTFOLIO DETAILS

- Gurney Plaza [87](#)
- Sungei Wang [90](#)
- Tropicana City Mall and [93](#)
- Tropicana City Office Tower
- The Mines [96](#)
- East Coast Mall [98](#)
- Mall Directory [100](#)

SUSTAINABILITY

- Sustainability Management [57](#)

FINANCIALS & ADDITIONAL INFORMATION

- Financial Statements [101](#)
- Statistics of Unitholders [155](#)
- Notice of Annual General Meeting [159](#)
- Proxy Form [163](#)
- Corporate Information [IBC](#)

2017 HIGHLIGHTS

Gross Revenue

RM368.9

MILLION

RM372.6 million in 2016



Net Property Income

RM237.1

MILLION

RM242.5 million in 2016

Property Valuation

RM4.0

BILLION

RM3.9 billion in 2016



Net Lettable Area

3.1

MILLION SQ FT

3.1 million sq ft in 2016

No. of Committed Leases

1,333

LEASES

1,390 leases in 2016



Portfolio Occupancy Rate

95.4%

96.5% in 2016



Annual Shopper Traffic

59.0

MILLION

59.9 million in 2016

Distribution Per Unit

8.22

SEN

8.43 sen in 2016



Distribution Yield

4.49%

5.51% in 2016



Market Capitalisation

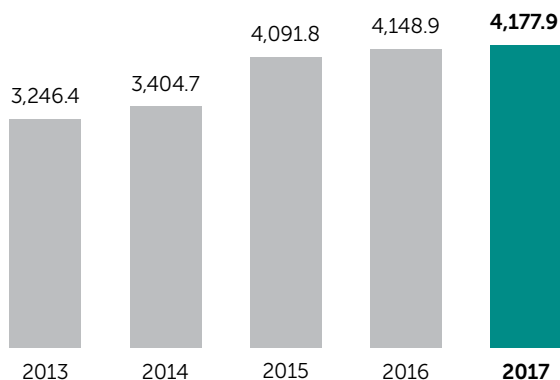
RM3.7

BILLION

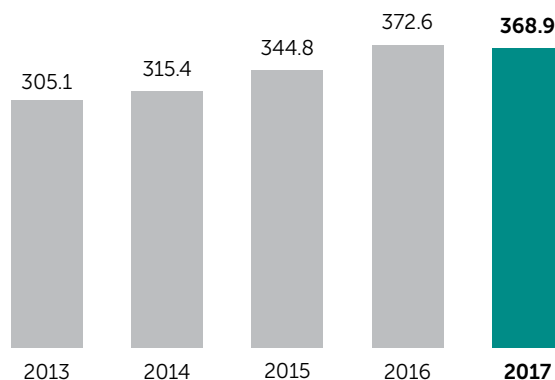
RM3.1 billion in 2016

FINANCIAL HIGHLIGHTS

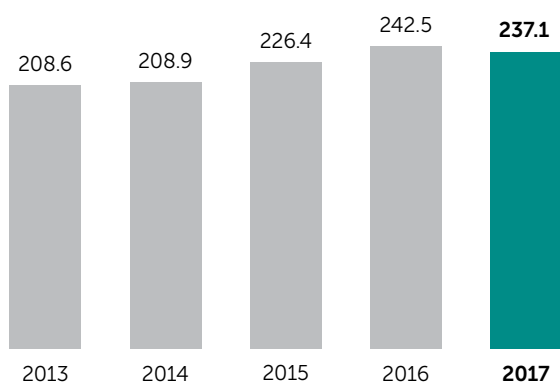
■ Total Assets (RM million)



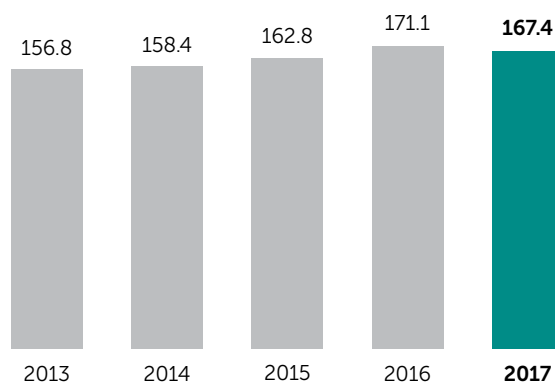
■ Gross Revenue (RM million)



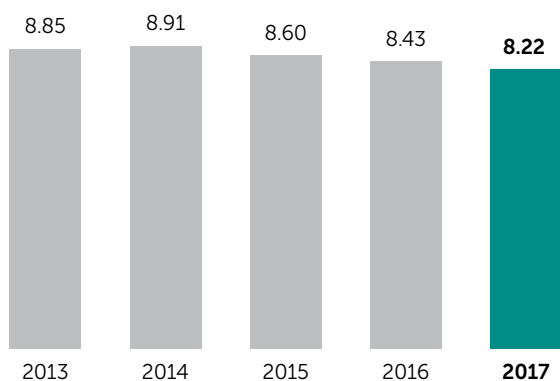
■ Net Property Income (RM million)



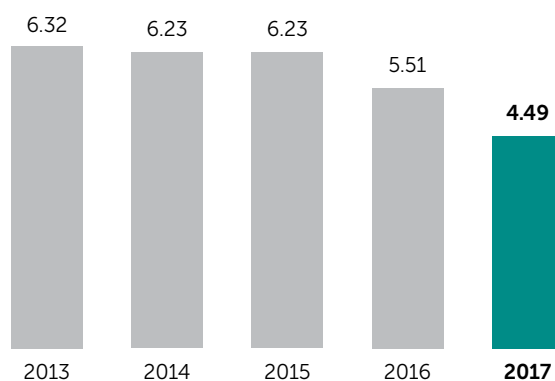
■ Distributable Income (RM million)



■ Distribution Per Unit (sen)

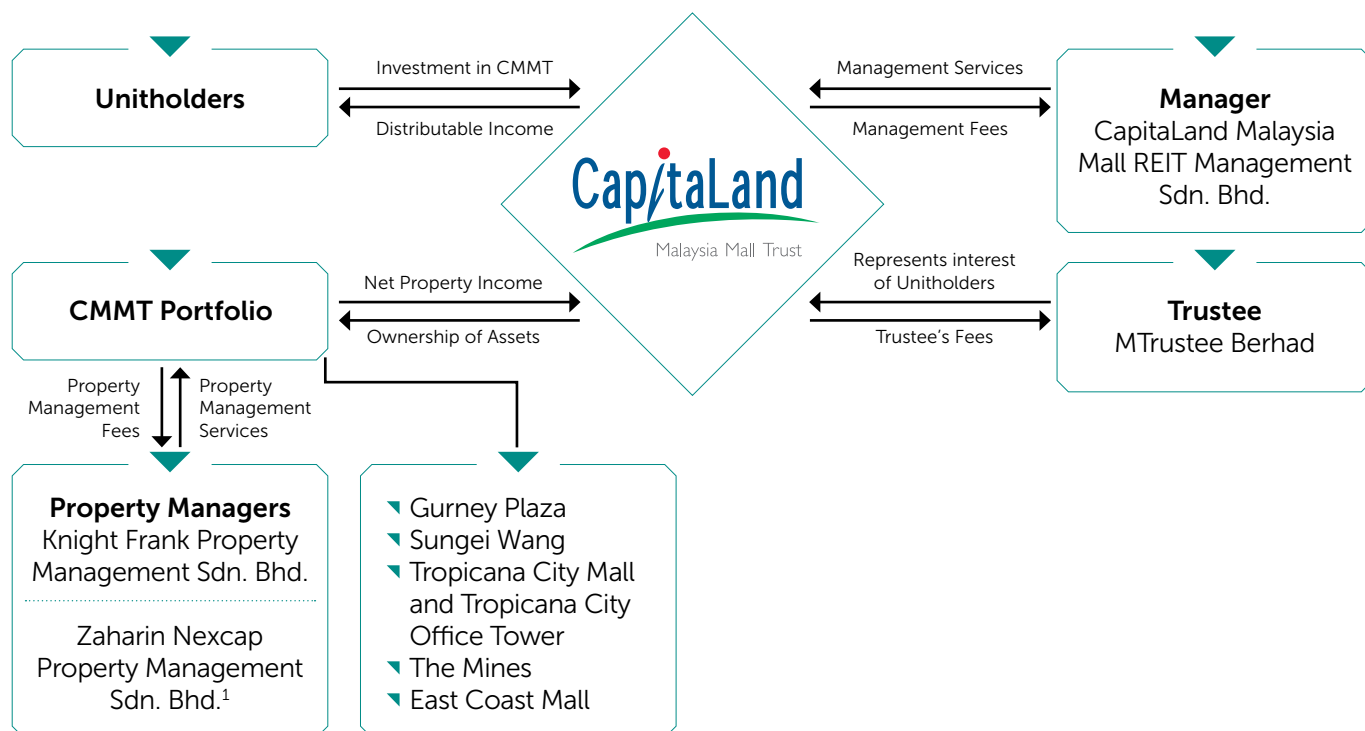


■ Distribution Yield¹ (%)

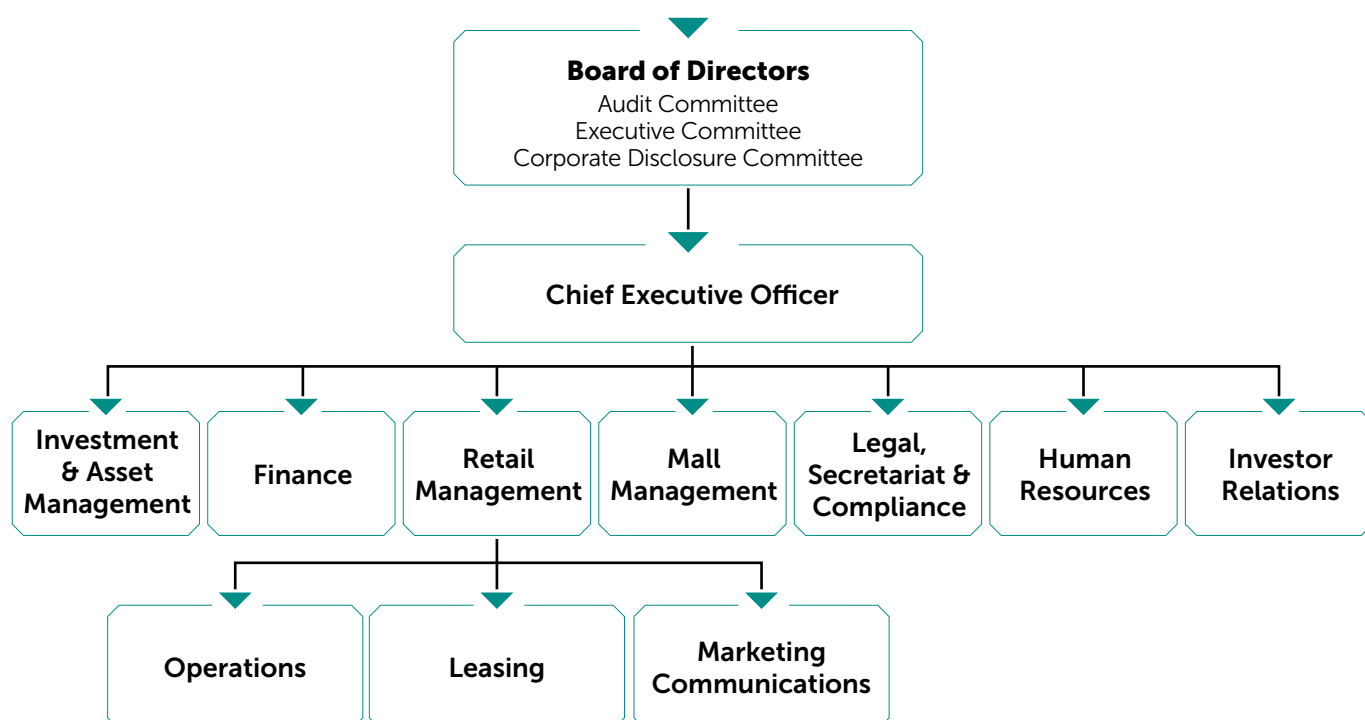


1 Based on the closing unit price of RM1.40 on 31 December 2013, RM1.43 on 31 December 2014, RM1.38 on 31 December 2015, RM1.53 on 30 December 2016 and RM1.83 on 29 December 2017.

TRUST STRUCTURE



ORGANISATION STRUCTURE



1 Zaharin Nexcap Property Management Sdn. Bhd. only manages CMMT's interest in Sungei Wang.

VALUE CREATION

RETAIL REAL ESTATE MANAGEMENT



RETAIL REAL ESTATE CAPITAL MANAGEMENT



INTEGRATED RETAIL AND CAPITAL MANAGEMENT PLATFORM

CMMT enjoys access to CapitaLand's integrated shopping mall business model; with in-house capabilities in retail real estate investment, development, mall operations, asset management and fund management.

INVESTMENT STRATEGIES



INVESTMENT OBJECTIVE AND STRATEGIES

Investment Objective

The principal investment objective of CMMT is to invest, on a long-term basis, in a portfolio of income-producing real estate primarily used for retail purposes and located in Malaysia or such other non-real estate investments as may be permitted under the Deed, the REITs Guidelines and/or by the Securities Commission Malaysia (SC), with a view to providing Unitholders with long-term and sustainable distribution of income and potential capital growth.

The Manager believes that CMMT has achieved its investment objective for the financial year ended 31 December 2017 (FY 2017).

Investment Strategies

The key financial objective is to provide Unitholders with long-term and sustainable distribution of income and potential capital growth. Specifically, the aim is to seek the increase of cash flow, income and the value

of CMMT's properties and consequently, continued growth through the following strategies:

- ▶ enhancing the value of CMMT's portfolio through proactive asset management and AEIs;
- ▶ actively pursuing acquisition opportunities;
- ▶ leveraging on CapitaLand's extensive network of strategic and local partners, including its retailer network across 109 shopping malls in 54 cities spanning five countries as well as its local industry knowledge through its experienced staff in Malaysia; and
- ▶ optimising capital management.

Future Prospects of the Market

The Manager views the Malaysian retail sector to be resilient and will continue to pursue the abovementioned investment strategies. For more information on the market in which CMMT invests in, refer to the section 'Independent Retail Market Overview'.

BOARD OF DIRECTORS



DAVID WONG CHIN HUAT
Chairman
Non-Executive Independent Director

LOW PECK CHEN
Chief Executive Officer
Executive Non-Independent Director



TAN SIEW BEE
Non-Executive Independent Director

DR PETER TAY BUAN HUAT
Non-Executive Independent Director

FOO WEI HOONG
Non-Executive Non-Independent
Director



TUAN HAJI ROSLI BIN ABDULLAH
Non-Executive Independent Director

NG CHIH KAYE
Non-Executive Independent Director

RONALD TAY BOON HWEE
Non-Executive Non-Independent
Director



NG KOK SIONG
Non-Executive Non-Independent
Director

LEE HUI YEOW
Non-Executive Non-Independent
Director
(Alternate Director to Ng Kok Siong)

PORTFOLIO AT A GLANCE

PROPERTY PORTFOLIO

CMMT's portfolio consists of five quality properties that are strategically located in Penang, Kuala Lumpur, Selangor and Pahang, thus providing investors with income and geographical diversification within Malaysia.

The properties are:

- ▼ Gurney Plaza, which is located along Gurney Drive in Penang, is a popular destination for both tourists and locals. It is the premier lifestyle shopping mall in Penang and is connected to G Hotel, a modern concept designer hotel.
- ▼ Sungei Wang, which is positioned as a one-stop shopping mall 'For All Kinds of Everything', is a well-known shopping mall located in Kuala Lumpur's Bukit Bintang shopping precinct. It is popular for its specialty stores offering shoppers a wide range of products and services.
- ▼ Tropicana City Mall and Tropicana City Office Tower are part of an integrated development that is strategically located at the intersection of two major highways – the Sprint and Lebuhraya Damansara Puchong highways – in Petaling Jaya, Selangor. Surrounded by established and affluent residential catchment areas, Tropicana City Mall is positioned as the preferred dining and gourmet shopping destination.
- ▼ The Mines, which is located in Seri Kembangan's Mines Resort City, is a suburban lifestyle family shopping mall that provides shoppers with a complete offering of retail, entertainment and dining options.
- ▼ East Coast Mall, which is located in Kuantan, Pahang, is a modern family lifestyle shopping mall with established domestic and international retailers. It is a popular destination among the locals as well as people from the neighbouring states of Kelantan and Terengganu. It is regarded as the leading shopping mall in the east coast of Peninsular Malaysia.

Knight Frank Property Management Sdn. Bhd. is the property manager for Gurney Plaza, Tropicana City Mall and Tropicana City Office Tower, The Mines and East Coast Mall. Zaharin Nexcap Property Management Sdn. Bhd. manages CMMT's majority interest in Sungei Wang.

Property Portfolio Summary (as at 31 December 2017)

Portfolio Valuation	RM3,966 million
Net Lettable Area	3,138,427 sq ft
Committed Occupancy Rate	95.4%
Number of Committed Leases	1,333
Total Annual Shopper Traffic	59.0 million

GEOGRAPHICAL NET PROPERTY INCOME CONTRIBUTION BY PROPERTY

Outstation Malls

61%

- 1 Gurney Plaza
- 5 East Coast Mall

Klang Valley Malls

39%

- 2 Tropicana City Mall and Tropicana City Office Tower
- 3 The Mines
- 4 Sungei Wang



ASSET ENHANCEMENT INITIATIVES

▼ GURNEY PLAZA

Gurney Plaza completed its basement asset enhancement initiatives, which involved creation of new retail space and reconfiguration of the food court to offer more dining varieties. As part of our efforts to further strengthen the mall's position as Penang's premier lifestyle destination, we have introduced new fashion brands and more exciting food and beverage options to Penang and the northern region of Malaysia.



Gurney Plaza



Tropicana City Mall



The Mines

▼ THE MINES

Several reconfigurations were carried out at The Mines to refresh and rejuvenate the mall. Level 4's Digitamart, the dedicated IT and telecommunications zone, was reconfigured to bring in relevant service-related offerings such as HTC, Sony, Huawei and Thunder Match Mega Store. At the mall's main entrance on Level 3, we have strengthened its appeal with the opening of Oliver Gourmet food hall and new dining choices such as Go Noodle House, Kimosasa Café and Ah Mah Traditional Homemade Egg Sponge Cake.



Gurney Plaza



Tropicana City Mall

▼ TROPICANA CITY MALL

Additional new F&B choices have been introduced to Tropicana City Mall's external F&B cluster on the Ground Floor. These include Korean fusion restaurant and bar Powerplant, and Japanese casual restaurant Yakitori Kurenai. Other new dining choices include KD Hong Kong and Hometown Hainan Coffee on Level 1 while Chinese restaurant Kingdom Palace expanded to offer banquet services. Beauty services provider Nulnu on Level 2 offers salon and other beauty-related services.



The Mines



LETTER TO UNITHOLDERS

Dear Unitholders,

2017 was yet another challenging year for the Malaysian retail sector, which was affected by prolonged weak consumer sentiments due to rising costs of living. Improvements in macroeconomic indicators and the Malaysia ringgit did not translate to a significant recovery in domestic consumption. Meanwhile, industry pressures continued to weigh on business confidence which was further exacerbated by the increased competition from new malls.

Despite these challenges, CapitaLand Malaysia Mall Trust (CMMT) delivered another set of steady results for the financial year ended 31 December 2017 (FY 2017) with a net property income (NPI) of RM237.1 million, slightly lower than the RM242.5 million in FY 2016. Gurney Plaza and East Coast Mall continued to turn in improved year-on-year performances, which helped to cushion the impact of lower revenue from our Klang Valley¹ shopping malls. In FY 2017, CMMT's unit price scaled new heights and rose by 19.6%. With the distribution per unit (DPU) of 8.22 sen declared in FY 2017, Unitholders who invested in CMMT's units from the start of the year would have enjoyed a total return of 25.0% in the year.

With five shopping malls and a complementary office block located in Kuala Lumpur, Selangor, Penang and Kuantan and about 1,300 leases, CMMT's portfolio provides Unitholders with stable cash flow, income and geographical diversification, as well as exposure to Malaysia's retail sector. As at 31 December 2017, CMMT has a market capitalisation of over RM3.7 billion, total asset value of approximately RM4.2 billion and a free float² of approximately 63.5%.

CMMT is differentiated from its peers through our close relationship with CapitaLand Limited – one of Asia's largest real estate companies, the largest unitholder in CMMT and the majority shareholder of its manager, CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (CMRM). CMMT enjoys access to CapitaLand's industry-leading tenant network and proven integrated retail and capital management platforms. Malaysian Industrial Development Finance Berhad (MIDF), which is part of the Permodalan Nasional Berhad group of companies and a leading financial services provider in Malaysia, is also a shareholder of CMRM.

STEADY PERFORMANCE

For the year under review, CMMT recorded a gross revenue of RM368.9 million. Total comprehensive income was RM162.1 million, of which the (unrealised) fair value gain on investment properties contributed RM4.2 million. CMMT's distributable income of RM167.4 million for FY 2017 was 2.2% lower than FY 2016. With a total DPU of 8.22 sen, CMMT's distribution yield translated to 4.49% based on CMMT's closing price of RM1.83 on 29 December 2017. As at 31 December 2017, CMMT's property portfolio was valued at approximately RM4.0 billion.

CMMT's distribution policy is to pay out at least 90.0% of distributable income in each financial year on a half-yearly basis. Similar to preceding years, we will pay out approximately 100.0% of our distributable income for FY 2017. We made two distributions to Unitholders in 2017 totalling RM170.2 million for the periods 1 July 2016 to 31 December 2016 (4.23 sen per unit) and 1 January 2017 to 30 June 2017 (4.14 sen per unit). The distribution of RM83.1 million (4.08 sen per unit) for the period 1 July 2017 to 31 December 2017 will be paid to eligible Unitholders on 28 February 2018.

As at 31 December 2017, CMMT's total borrowings stood at RM1,341.0 million, which equates to a healthy gearing level of 32.8% and provides it with a permissible debt headroom of RM1.4 billion. Two out of CMMT's five properties are currently unencumbered, providing CMMT with further financial flexibility. In July 2017, to further manage interest rate risk, CMMT fixed the interest rate for part of the existing floating rate secured term loan for three years. At the end of 2017, approximately 80.4% of CMMT's debt was at fixed interest rates. The average cost of debt for FY 2017 was 4.4% per annum (FY 2016: 4.5% per annum).

By staying relevant and appealing to our shoppers, CMMT's shopping malls registered an annual shopper traffic of 59.0 million for FY 2017 and recorded a healthy occupancy rate of 95.4% as at 31 December 2017. As at 31 December 2017, CMMT's portfolio registered a negative rental reversion of 1.3%. Excluding Sungei Wang, the reversion would have been a positive 0.6%.

¹ Made up of Sungei Wang, Tropicana City Mall and The Mines.

² Free float is the proportion of units that are held by investors excluding units held by CMMT's sponsor, CapitaLand. It is a measure of the market liquidity of CMMT.

PROACTIVE ASSET MANAGEMENT

With intense competition from the existing and new shopping malls, it is vital for CMMT to continually refresh its assets to meet the needs of shoppers. In FY 2017, a capital expenditure of RM23.8 million was incurred to refresh and enhance the value of our shopping malls.

To further strengthen Gurney Plaza as Penang's premier lifestyle destination, the mall embarked on an asset enhancement initiative (AEI) which involved reconfiguring the basement food court to bring in more food and beverage (F&B) options such as restaurants An Viet and Seoul Garden Hot Pot. We also brought in new brands like French fashion jewellery Les Nereides and Australia's Smiggle stationery.

To attract new shoppers, Sungei Wang continually refreshes its trade mix. In FY 2017, the mall introduced Blastacars indoor kart drifting at the former car park on Level 5 to appeal to younger shoppers. Other complementary activities include virtual reality experiences, archery and a simulated shooting battle zone. Singapore's Refash is the first online business to open an outlet at Sungei Wang, offering quality second-hand fashion apparel.

More F&B choices have been introduced to Tropicana City Mall's external F&B cluster on the Ground Floor. These include Korean fusion restaurant and bar Powerplant and Japanese casual restaurant Yakitori Kurenai. The four F&B outlets in the cluster enjoy extended operating hours to meet the needs of consumers in the area. Other new dining choices in the mall include KD Hong Kong and Hometown Hainan Coffee on Level 1. Chinese restaurant Kingdom Palace expanded by an additional 7,000 sq ft to cater for banquet services. In addition, Oliver Gourmet, a new Malaysian gourmet food hall operator, and Nulnu, a beauty services provider, made their debut in Tropicana City Mall.

Following a revamp, The Mines' Level 3 main entrance welcomed Oliver Gourmet's second outlet in Malaysia and new F&B brands. We also reconfigured Level 4's digital zone and brought in several monobrand concept stores to complement the service offerings.

CONNECTING WITH TENANTS AND SHOPPERS

Recognising that our tenants are integral to the success of our malls, we continued to enhance our tenant engagement programme through our Biz+ Series of workshops. Biz+ Series 2017 was themed "How to Win the Digital Minds & Analogue Hearts and Even Stomachs of Tomorrow's Customers", which invited futurist Anders Sorman-Nilsson to share insights on identifying opportunities in the fast-changing e-commerce landscape. Award-winning Chef Ian Kittichai also made a special appearance to share his entrepreneurial journey in successfully managing restaurants around the world. In addition, the Biz+ Series served as an excellent platform for networking and exchanging of ideas among our retailers.

We continued to connect with our shoppers, building loyalty through innovative marketing activities and CapitaStar – CapitaLand's loyalty programme. During the year under review, we introduced new benefits for CapitaStar³ members who now enjoy car parking rebates. As part of our digital strategy, we plan to launch the CapitaStar mobile application this year to enhance shopper engagement.

DELIVERING SUSTAINABLE RETURNS

According to advance estimates, Malaysia's Gross Domestic Product (GDP) expanded by between 5.2% and 5.7%⁴ in 2017, and is forecast to grow by 5.0% to 5.5%⁵ in 2018 on the back of growth in private investment and consumption. Notwithstanding the improved macroeconomic outlook, concerns about rising costs of living could dent business and consumer sentiments. Additionally, the scheduled completion of new retail supply in 2018, as well as competition from e-commerce, are expected to intensify competition within the shopping mall sector.

Faced with such headwinds, we will nonetheless continue with our unwavering focus to strengthen CMMT's performance by actively managing lease renewals, exploring opportunities for asset enhancements and introducing new retail concepts. Our priorities this year include the planned AEIs at Sungei Wang, The Mines and East Coast Mall. Plans are also afoot to rebrand Tropicana City Mall to enhance its positioning as the preferred dining and gourmet shopping destination. We remain on the lookout for quality acquisition opportunities that will create more value for Unitholders.

³ Not applicable to Sungei Wang.

⁴ Source: Bank Negara Malaysia, November 2017.

⁵ Source: Ministry of Finance Economic Report 2017/2018.

LETTER TO UNITHOLDERS

ACKNOWLEDGEMENTS

On behalf of the Board of Directors and Management, we wish to express our appreciation to our shoppers, tenants, business partners and staff for their support in FY 2017.

During the year, Mr Jason Leow Juan Thong stepped down from the Board. We would like to thank him for his invaluable contributions to the Board over the past years. We are also pleased to welcome Mr Ronald Tay Boon Hwee, CEO of CapitaLand Singapore, Malaysia and Indonesia, to the Board. Mr Tay has served various key roles within the CapitaLand Group in the last 15 years and we look forward to tapping on his experience in the real estate industry to further enhance CMMT.

We remain committed to delivering stable returns and look forward to all our stakeholders' continued support as we forge ahead to propel CMMT to an even stronger position.

David Wong Chin Huat

Chairman

Low Peck Chen

Chief Executive Officer

8 February 2018

SALIENT FEATURES OF CMMT

Fund Name	CapitaLand Malaysia Mall Trust (CMMT)
Fund Category	Real Estate Investment Trust
Fund Type	Income
Fund Duration	CMMT shall terminate on the earlier of: - the occurrence of any of events listed in Clause 25.2 of the Deed¹; or - the expiration of a period of twenty-one (21) years after the death of the last survivor of the issue now living of His Majesty, the current Yang di-Pertuan Agong of Malaysia or until such further period as the law may permit.
Authorised Investments	Real estate, single-purpose companies, real estate-related assets, non-real estate related assets, cash, deposits, money market instruments and any investments permitted by SC, the REITs Guidelines ² and the Deed.
Authorised Investments Limits	- At least 50.0% of CMMT's total asset value must be invested in real estate and/or single-purpose companies at all times; - Not more than 25.0% of CMMT's total asset value may be invested in non-real estate related assets and/or cash, deposits and money market instruments; and - Such other investments or limits as may be permitted by SC and/or the REITs Guidelines.
Distribution Policy	Payout policy ratio: - At least 90.0% of CMMT's distributable income of each financial year. Distribution payment: - Semi-annual basis for each six-month period ending 30 June and 31 December of each year.
Borrowing Limitations	Up to 50.0% of CMMT's total asset value at the time the borrowings are incurred or such higher amount with the prior approval of CMMT's Unitholders.
Performance Benchmarks	- FTSE Bursa Malaysia Kuala Lumpur Composite Index (KLCI) - FTSE Bursa Malaysia EMAS Index
Revaluation Policy	Investment properties are valued: - Semi-annually based on internal valuation or independent professional valuation; and - At least once every three years based on an independent professional valuation pursuant to the REITs Guidelines.
Management Fee	- Base Fee: up to 1.0% per annum of the value of Deposited Property³ (FY 2017 actual: 0.29%) - Performance Fee: up to 5.0% per annum of NPI (before Management Fee) (FY 2017 actual: 4.75%) - Acquisition Fee: up to 1.0% of the purchase price of any Authorised Investments directly or indirectly acquired by the Trustee on behalf of CMMT - Divestment Fee: up to 0.5% of the sale price (after deducting the interest of any co-owners or co-participants) of any Authorised Investments directly or indirectly sold or divested by the Trustee on behalf of CMMT.
Financial Year	1 January 2017 – 31 December 2017
Quotation	Main Market of Bursa Malaysia Securities Berhad
Minimum Investment	100 units per board lot
Bursa Securities Stock Number	CMMT 5180

1 The trust deed dated 7 June 2010 (as amended and restated on 15 September 2015) entered into between the Manager and the Trustee.

2 Guidelines on Real Estate Investment Trusts.

3 As defined in the Deed, the value of Deposited Property is equal to all the assets of CMMT (total asset value).

FINANCIAL AND TRADING HIGHLIGHTS

Trading Highlights	FY 2017	FY 2016	FY 2015	FY 2014	FY 2013
Opening Market Price (RM per unit)	1.530	1.380	1.430	1.400	1.800
Closing Market Price (RM per unit)	1.830	1.530	1.380	1.430	1.400
Highest Traded Price (RM per unit)	1.830	1.610	1.660	1.540	1.960
Lowest Traded Price (RM per unit)	1.390	1.350	1.240	1.320	1.330
Average Closing Price (RM per unit)	1.520	1.550	1.414	1.441	1.684
Total Trading Volume (million units)	326.9	427.8	279.5	279.1	297.8
Average Daily Trading Volume (million units)	1.351	1.135	1.136	1.135	1.206
Capital Appreciation ¹ (%)	19.6	10.9	(3.5)	2.1	(22.2)
Market Capitalisation ² (RM million)	3,729.1	3,108.1	2,794.2	2,543.9	2,481.9
Units in Circulation ³ ('000)	2,037,753	2,031,458	2,024,799	1,778,976	1,772,820

Group Performance Highlights (RM Million)	FY 2017	FY 2016	FY 2015	FY 2014	FY 2013
Gross Rental Income	289.4	292.9	272.8	250.6	246.5
Car Park Income	24.5	24.6	21.5	18.5	18.4
Other Revenue	55.0	55.1	50.5	46.3	40.2
Gross Revenue	368.9	372.6	344.8	315.4	305.1
Net Property Income	237.1	242.5	226.4	208.9	208.6
Distributable Income	167.4	171.1	162.8	158.4	156.8
Distribution per Unit (sen)	8.22	8.43	8.60	8.91	8.85
Distribution Yield ² (%)	4.49	5.51	6.23	6.23	6.32
Annual Total Return ⁴ (%)	25.0	17.0	2.5	8.5	(17.3)
Earnings per Unit (sen)	7.97	8.27	11.92	13.31	12.98
Management Expense Ratio ⁵ (%)	0.9	0.9	1.0	1.0	1.1

¹ Based on the opening market price and closing market price of the respective financial year.

² Based on the closing market price of the respective financial year.

³ Units in circulation at the end of the financial year.

⁴ Annual total return is equal to the DPU plus capital appreciation (in sen) during the year divided by the opening unit price at the beginning of the financial year. The annual total return is also equal to the average total return for one year and the average total return for three and five years to the date of the report are 14.8% and 7.1% respectively.

⁵ Refers to the expenses of CMMT excluding property operating expenses and interest expense but including the Manager's management fees, expressed as a percentage of average net assets.

Group Financial Position Highlights (RM Million)	As at 31 Dec 2017	As at 31 Dec 2016	As at 31 Dec 2015	As at 31 Dec 2014	As at 31 Dec 2013
Portfolio Property Valuation	3,966.0	3,938.0	3,886.0	3,233.0	3,079.0
Total Assets	4,177.9	4,148.9	4,091.8	3,404.7	3,246.4
Total Borrowings ^{1,2}	1,341.0	1,316.7	1,264.1	965.2	910.7
Unitholders' Funds	2,687.2	2,685.6	2,674.8	2,287.5	2,202.6
Net Asset Value (NAV) (Before Income Distribution)	2,687.2	2,685.6	2,674.8	2,287.5	2,202.6
Net Asset Value (NAV) (After Income Distribution)	2,604.1	2,599.7	2,594.0	2,209.5	2,122.8
NAV per Unit (Before Income Distribution) (RM)	1.3187	1.3220	1.3210	1.2858	1.2424
NAV per Unit (After Income Distribution) (RM)	1.2779	1.2797	1.2811	1.2420	1.1974

	FY 2017	FY 2016	FY 2015	FY 2014	FY 2013
Highest NAV per Unit (After Income Distribution) (RM)	1.2791	1.2803	1.2811	1.2420	1.1974
Lowest NAV per Unit (After Income Distribution) (RM)	1.2716	1.2797	1.2410	1.1960	1.1532

Group Capital Management Highlights	As at 31 Dec 2017	As at 31 Dec 2016	As at 31 Dec 2015	As at 31 Dec 2014	As at 31 Dec 2013
Gearing Ratio (%)	32.8	32.4	31.5	29.0	28.8
Unencumbered Assets as % of Total Assets	29.7	30.4	34.1	40.4	40.8
Average Term to Maturity ² (years)	5.7	6.8	7.3	2.0	3.1

	FY 2017	FY 2016	FY 2015	FY 2014	FY 2013
Interest Coverage (times)	3.7	3.8	4.0	4.6	4.8
Net Debt/EBITDA ³ (times)	6.3	6.0	6.2	5.1	4.9
Average Cost of Debt (%)	4.4	4.5	4.5	4.3	4.4

The Group refers to the consolidation of the Trust and its wholly owned subsidiary, CMMT MTN Berhad. Unitholders are advised that past performance is not necessarily indicative of future performance and unit prices and investment returns may fluctuate.

1 Before unamortised costs.

2 Excludes bank guarantee facility.

3 Net debt comprises gross debt less temporary cash intended for refinancing, if any, and EBITDA refers to earnings before interest, tax, depreciation and amortisation.

YEAR IN BRIEF

FEBRUARY

- ▼ A distribution of 4.23 sen per unit for the period from 1 July 2016 to 31 December 2016 was paid to Unitholders.

MARCH

- ▼ During the Annual General Meeting, Unitholders approved the proposed authority to allot and issue up to 406,291,620 new units of CMMT.

JUNE

- ▼ CapitaStar members now enjoy car parking rebates at Gurney Plaza, The Mines, East Coast Mall and Tropicana City Mall.

JULY

- ▼ CMMT converted floating rate term loan of RM128.7 million to fixed rate term loan for three years.

AUGUST

- ▼ A distribution of 4.14 sen per unit which pertained to the period from 1 January to 30 June 2017 was paid to Unitholders.
- ▼ CMMT received the Silver Award for the Asia Pacific Best of The Breeds REITS Awards for Retail Reit (Malaysia) category.

OCTOBER

- ▼ The Biz+ Series "How to Win the Digital Minds & Analogue Hearts and Even Stomachs of Tomorrow's Customers" seminar for tenants was held.

NOVEMBER

- ▼ CMMT and CapitaLand jointly held the first CapitaLand Volunteer Day in Malaysia in conjunction with the annual signature corporate social responsibility programme My Schoolbag.

DECEMBER

- ▼ East Coast Mall was the winner of the shopping mall category for the 2017 KPDNKK Award by the Pahang branch of Domestic Trade, Cooperatives and Consumerism Ministry.

BOARD OF DIRECTORS PROFILE

**DAVID WONG CHIN HUAT, 69,
SINGAPOREAN (MALE)**

Chairman

Non-Executive Independent Director

Bachelor of Laws, University of Singapore
Master of Laws, University of London

Date of first appointment as a Director and
Deputy Chairman:

6 July 2012

Date of appointment as Chairman:

1 November 2012

Length of service as a director (as at 31 December 2017):

5 years 5 months

Board committee served on

- ▼ Corporate Disclosure Committee (Chairman)

Present directorship of public company and listed issuer

- ▼ Nil

Present principal commitments (other than directorship in other listed company)

- ▼ Ramdas and Wong, Singapore (Consultant)
- ▼ National Trades Union Congress (NTUC) U Care Fund, Singapore (Chairman of the Board of Trustees)
- ▼ NTUC Endowment Fund Management Committee (Chairman)
- ▼ Justice of the Peace Singapore

Background and working experience

- ▼ Director of Singapore Labour Foundation (From 2001 to 2010)
- ▼ Chairman of Bedok Citizen's Consultative Committees (From 1989 to 2007)
- ▼ Member of Public Service Commission, Singapore (From 17 August 1998 to 16 August 2015)

Award

- ▼ Public Service Star (BBM) in 1991 and BBM(L) in 2005 awarded in conjunction with the Singapore National Day

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- ▼ Nil

**LOW PECK CHEN, 43,
MALAYSIAN (FEMALE)**

Chief Executive Officer

Executive Non-Independent Director

Bachelor of Accounting (First Class Honours), University of Malaya

Member of the Malaysian Institute of Accountants
Chartered Financial Analyst, CFA Institute

Date of first appointment as an Alternate Director and Deputy
Chief Executive Officer:

19 September 2014

Date of appointment as a director and Chief Executive Officer:

1 November 2014

Length of service as a director (as at 31 December 2017):

3 years 2 months

Board committee served on

- ▼ Executive Committee (Member)

Present directorships of public companies and listed issuers

- ▼ CMMT MTN Berhad
- ▼ Milky Way Properties Berhad

Background and working experience

- ▼ Head of Finance of CapitaMalls Malaysia REIT Management Sdn. Bhd. (now known as CapitaLand Malaysia Mall REIT Management Sdn. Bhd.) (From June 2010 to September 2014)
- ▼ Finance Manager of CapitaLand Retail Malaysia Sdn. Bhd. (From September 2008 to June 2010)
- ▼ Finance Manager/Accountant of Halim Mazmin Berhad (From February 2004 to August 2008)
- ▼ Finance Executive of UEM World Berhad (From August 2002 to February 2004)
- ▼ Finance Officer of AmFinance Berhad (From May 2000 to July 2002)
- ▼ Auditor of Moores Rowland (From August 1999 to May 2000)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- ▼ Nil

BOARD OF DIRECTORS PROFILE

**TAN SIEW BEE, 58,
MALAYSIAN (FEMALE)**

Non-Executive Independent Director

Barrister at Law, Lincoln's Inn

LL.B (Honours) Degree, University of East Anglia

LL.M, University College, London

Date of first appointment as a director:

10 June 2010

Length of service as a director (as at 31 December 2017):

7 years 6 months

Board committee served on

- ▼ Audit Committee (Member)

Present directorship of public company and listed issuer

- ▼ Nil

Background and working experience

- ▼ Senior Partner & Head, Finance & Property Department of Messrs Shahrizat Rashid & Lee (From 2003 to 2007)
- ▼ Senior Partner & Head, Finance & Property Department of Messrs Shahrizat & Tan (From 1993 to 2003)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- ▼ Nil

**DR PETER TAY BUAN HUAT, 69,
SINGAPOREAN (MALE)**

Non-Executive Independent Director

Bachelor of Engineering (Honours), Industrial

Engineering, University of Newcastle, Australia

Bachelor of Arts, Economics, University of Newcastle, Australia

Master of Science in Management (Sloan Fellows

Program), Massachusetts Institute of Technology, US

Doctor of Engineering honoris causa (Hon DEng),

University of Newcastle, Australia

Fellow of the Chartered Institute of Management

Accountants (CIMA), United Kingdom

Date of first appointment as a director:

10 June 2010

Length of service as a director (as at 31 December 2017):

7 years 6 months

Present directorship of public company and listed issuer

- ▼ Nil

Present principal commitment (other than directorship in other listed company)

- ▼ Koufu Pte. Ltd. (Corporate Advisor on part-time basis)

Background and working experience

- ▼ Corporate Advisor of Temasek Holdings Pte. Ltd. (From 2007 to 2008)
- ▼ President and Chief Executive Officer of Singapore Food Industries (From 1989 to 2006)
- ▼ Concurrent Secondary Appointment, Group Director, Strategic Development of Singapore Technologies Group (From 1998 to 2004)
- ▼ Concurrent Secondary Appointment, Group Coordinator, Human Resource of Singapore Technologies Group (From 1992 to 1994)
- ▼ Director, Planning & Human Resource of Singapore Technologies Group (From 1986 to 1989)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- ▼ Nil

**FOO WEI HOONG, 57,
MALAYSIAN (MALE)**

Non-Executive Non-Independent Director

Chartered Accountant (Malaysia), Member of the Malaysian Institute of Accountants
Fellow of the Association of Chartered Certified Accountants, United Kingdom
Certified Financial Planner, Financial Planning Association of Malaysia

Date of first appointment as a director:

1 June 2012

Length of service as a director (as at 31 December 2017):

5 years 7 months

Present directorships of public companies and listed issuers

- ▼ Oriental 1936 Berhad
- ▼ MIDF DFI Berhad

Present principal commitment (other than directorship in other listed company)

- ▼ Malaysian Industrial Development Finance Berhad (Chief Financial Officer/Head, Finance & Information Technology Division)

Background and working experience

- ▼ Vice President of Financial Services of Malaysian National Insurance Berhad (now known as Etiqa Insurance Berhad) (From 2001 to 2006)
- ▼ Financial Controller of PanGlobal Insurance Berhad (From 1996 to 2001)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- ▼ Nil

**TUAN HAJI ROSLI BIN ABDULLAH, 64,
MALAYSIAN (MALE)**

Non-Executive Independent Director

Post-Graduate, Diploma in Accounting, Universiti Malaya
Bachelor in Economics (Honours), Universiti Malaya
Master in Business Administration, Universiti Kebangsaan Malaysia
Chartered Accountant (Malaysia), Member of the Malaysian Institute of Accountants

Date of first appointment as a director:

6 July 2012

Length of service as a director (as at 31 December 2017):

5 years 5 months

Board committee served on

- ▼ Audit Committee (Chairman)

Present directorships of public companies and listed issuers

- ▼ Dagang NeXchange Berhad
- ▼ Malaysia Airports Holdings Berhad and Group
- ▼ I-VCAP Management Sdn. Bhd

Background and working experience

- ▼ Chief Executive Officer and Registrar of Malaysian Institute of Accountants (From 2009 to 2012)
- ▼ Adviser to Economic Planning Unit of Government of Malaysia (2008)
- ▼ Senior General Manager of Putrajaya Holdings Sdn. Bhd. (From 1996 to 2007)
- ▼ Financial Controller/General Manager of Finance of Kuala Lumpur International Airport Berhad (From 1994 to 1996)
- ▼ Director of Corporate Services at the Accountant General Department of Ministry of Finance (From 1993 to 1994)
- ▼ Bursar of Universiti Putra Malaysia (From 1991 to 1993)
- ▼ Chief Accountant at the Government Pension Department of Public Service Department (From 1989 to 1991)
- ▼ Chief Accountant in the Ministry of Education of Government of Malaysia (From 1983 to 1987)
- ▼ Chief Accountant in the Ministry of Works of Government of Malaysia (From 1981 to 1983)
- ▼ State Treasurer of the State of Kelantan (From 1978 to 1980)
- ▼ Accountant, Accountant General's office, Federal Treasury in the Ministry of Finance of Government of Malaysia (From 1976 to 1977)

Award

- ▼ Johan Setia Mahkota (J.S.M.), awarded by His Majesty Yang DiPertuan Agong on 1 June 2002

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- ▼ Nil

BOARD OF DIRECTORS PROFILE

**NG CHIH KAYE, 62,
MALAYSIAN (MALE)**

Non-Executive Independent Director

Chartered Accountant (Malaysia), Member of the Malaysian Institute of Accountants
Fellow of the Association of Chartered Certified Accountants, United Kingdom

Date of first appointment as a director:
6 July 2012

Length of service as a director (as at 31 December 2017):
5 years 5 months

Board committee served on

- ▼ Audit Committee (Member)

Present directorship of public companies and listed issuers

- ▼ Malaysia Debt Ventures Berhad

Background and working experience

- ▼ Various positions, Executive Vice President being the last position of Malayan Banking Berhad (From 1985 to 2010)
- ▼ Audit Senior of KPMG Kuala Lumpur (From 1983 to 1984)
- ▼ Audit Senior of Blinkhorn, Lyon & Golding, London (From 1978 to 1982)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- ▼ Nil

**RONALD TAY BOON HWEE, 49,
SINGAPOREAN (MALE)**

Non-Executive Non-Independent Director

Bachelor of Business (Honours), Nanyang Technological University of Singapore

Date of first appointment as a director:
1 January 2018

Board committees served on

- ▼ Corporate Disclosure Committee (Member)
- ▼ Executive Committee (Chairman)

Present directorship of public company and listed issuer

- ▼ Nil

Present principal commitment (other than directorship in other listed company)

- ▼ CapitaLand Singapore, Malaysia & Indonesia (CEO)

Background and working experience

- ▼ Chief Executive Officer of Ascott Residence Trust Management Limited (manager of Ascott Residence Trust) (From February 2012 to April 2017)
- ▼ Chief Investment Officer and Managing Director of India and GCC Sector of The Ascott Limited (From January 2007 to February 2012)
- ▼ Head of Business Development and Asset Management of Ascott Residence Trust Management Limited (manager of Ascott Residence Trust) (From January 2007 to February 2012)
- ▼ Head and Senior Vice President, Investment of CapitaLand Residential Limited (From January 2005 to December 2006)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- ▼ Nil

**NG KOK SIONG, 46,
SINGAPOREAN (MALE)**

Non-Executive Non-Independent Director

Bachelor of Accountancy (Honours), Nanyang Technological University of Singapore

Date of first appointment as a director:

10 June 2010

Length of service as a director (as at 31 December 2017):

7 years 6 months

Board committees served on

- ▼ Audit Committee (Member)
- ▼ Corporate Disclosure Committee (Member)
- ▼ Executive Committee (Member)

Present directorship of public company and listed issuer

- ▼ Nil

Present principal commitment (other than directorship in other listed company)

- ▼ CapitaLand Limited (Group Chief Digital Officer)

Background and working experience

- ▼ Chief Corporate Development Officer of CapitaLand Limited (From September 2014 to December 2017)
- ▼ Chief Financial Officer of CapitaLand Mall Asia Limited (From November 2009 to August 2014)
- ▼ Senior Vice President, Strategic Finance of CapitaLand Limited (From October 2008 to September 2009)
- ▼ Senior Vice President, CapitaLand Eurasia of CapitaLand Limited (From January 2007 to October 2008)
- ▼ Vice President, Office of the President of CapitaLand Limited (From September 2005 to January 2007)
- ▼ Strategy and Portfolio Manager of Shell Oil Products East (From August 2003 to September 2005)
- ▼ Planning and Appraisal Advisor of Shell Oil Products East (From July 2001 to August 2003)
- ▼ Regional Advisor of Exxon Mobil Asia Pacific Pte Ltd (From May 2000 to July 2001)
- ▼ Global Analyst of Esso Coordination Centre N.V. (From January 1999 to May 2000)
- ▼ Senior Planning Analyst of Esso Singapore Private Limited (From July 1998 to January 1999)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- ▼ Nil

**LEE HUI YEOW, 44,
MALAYSIAN (MALE)**

Alternate Director to Ng Kok Siong

Non-Executive Non-Independent Director

Bachelor of Science in Accounting (First Class Honours), University of Wales College of Cardiff
Fellow of the Association of Chartered Certified Accountants, United Kingdom

Date of first appointment as a director:

1 January 2017

Length of service as a director (as at 31 December 2017):

1 year

Present directorship of public company and listed issuer

- ▼ CMMT MTN Berhad
- ▼ Milky Way Properties Berhad

Present principal commitment (other than directorship in other listed company)

- ▼ CapitaLand Retail (Head of Finance)

Background and working experience

- ▼ Head of Finance of CapitaLand Mall Asia Limited (From 2014 to 2017)
- ▼ Financial Controller of CapitaLand Mall Asia Limited (From 2011 to 2014)
- ▼ Head of Finance & Corporate Services of CapitaMalls Malaysia REIT Management Sdn. Bhd. (now known as CapitaLand Malaysia Mall REIT Management Sdn. Bhd.) (From 2008 to 2011)
- ▼ Deputy Head of Finance of CapitaLand Retail China Trust Management Limited (From 2007 to 2008)
- ▼ Finance Manager of CapitaLand Limited (From 2005 to 2006)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- ▼ Nil

TRUST MANAGEMENT TEAM

LOW PECK CHEN **Chief Executive Officer**

Please refer to description under the section on 'Board of Directors'.

YUE PEI SAN, 42, **SINGAPOREAN (FEMALE)** **Head, Finance**

Ms Yue has about 20 years of experience in finance and accounting covering private companies, public listed corporations and real estate fund management. Prior to her current role, she was with CapitaLand Mall Fund Management Private Limited, a wholly owned subsidiary of CMA since June 2011 where she was responsible for the finance and accounting functions of the Private Real Estate Funds investing in retail properties in China. In 2012, she was involved in the establishment of a new Private Fund to invest in the development of shopping malls and properties predominantly used for retail purposes in China. Her responsibilities also include finance-related support for acquisitions and divestments of retail properties in China directly held by CMA. Before joining CMA, she worked with IMC Pan Asia Alliance Group and Singapore Press Holdings Ltd.

Ms Yue holds a Bachelor of Accountancy from Nanyang Technological University, Singapore and is a member of the Institute of Singapore Chartered Accountants.

FERN TAN FENG CHING, 45, **MALAYSIAN (FEMALE)** **General Manager, Retail Management**

Ms Tan has more than 20 years of experience in the retail property industry covering leasing, leasing administration, advertising and promotions, human resources and mall operations. Prior to joining the Manager, Ms Tan was with CMA Malaysia and responsible for the financial and operational performance of The Mines. She formulated and executed the major asset enhancement initiatives at The Mines in 2008 and 2009, which resulted in significant growth of the asset's income, occupancy and shopper traffic. Before this, she was the Deputy Leasing Head of CapitaRetail China and Group Leasing Manager for CMA in Singapore. Prior to joining CMA, Ms Tan worked for Crimson Berhad and Sungei Wang Plaza Sdn Bhd, which was under Landmark Bhd, and was also previously involved in marketing and leasing activities at Endah Parade and Sungei Wang.

Ms Tan holds a Bachelor of Science (Travel Industry Management) from Hawaii Pacific University, USA.

LAWRENCE TEH CHENG POH, 54, **MALAYSIAN (MALE)** **General Manager, Mall Management**

Mr Teh has close to 30 years of work experience in both retailing and retail real estate industry with vast exposure to retail operations, centre management and mall management. Mr Teh was previously Centre Manager of Gurney Plaza before being re-designated as the General Manager, Mall Management of the Manager. Prior to joining CMA, Mr Teh was the General Manager, Group Complexes for Berjaya Land Berhad. He has also previously been involved in the operations of shopping malls such as Sunway Pyramid and Sunway Carnival; hypermarket player Carrefour as well as food and beverage brands like KFC.

Mr Teh holds a Bachelor of Commerce (Accounting, Finance & System) from the University of New South Wales, Australia and was an Associate of Australian Society of Practicing Accountants from 1988 till 1991.

GRACE YAP MEI WAN, 50, **MALAYSIAN (FEMALE)** **Compliance Officer** **Head, Legal, Secretariat & Compliance**

With more than 20 years of work experience, Ms Yap served as a practicing lawyer for seven years and was an in-house legal counsel in both public listed and private limited companies for 16 years. Prior to joining the Manager, she was initially a legal practitioner involved in concessions/privatisation; management buy-outs; public listing; due diligence exercises; joint ventures, and mergers and acquisitions practices. Subsequently, Ms Yap pursued her career as an in-house legal counsel whereby she was instrumental in assisting large and diversified corporations with asset acquisitions; corporate finance; property development; conveyancing; project management as well as corporate advisory matters.

Ms Yap holds an LLB (Honours) degree from the University of Nottingham, England and was admitted to the English Bar and Malaysian Bar in 1991 and 1993 respectively.

**MAH KOK FOON, 45,
MALAYSIAN (MALE)
Head, Human Resource**

With about 20 years of experience in human resource management, Mr Mah is highly experienced in Manpower Planning and Recruitment, Training and Development, Compensation and Benefit, Performance Management, Industrial Relations & Employees Relations, Employees Engagement, Talent Management & Succession Planning, HR Technology Integration, Change Management, Compliance and Risk Management. Prior to his present position, Mr Mah led the Human Resources department of CMA Malaysia when he came on board in 2009. In this capacity, he has successfully rolled out series of enhanced employees' benefit programmes, implemented human resources-related policies and procedures in Malaysia, and also coordinated the rationalisation of salary and benefits packages for new staff during acquisition-related due diligence exercises and initiated a number of employees campaigns for cultural enhancement. Prior to joining CMA, he has worked with Prudential Services Asia Sdn. Bhd., GCH Retail Malaysia Sdn. Bhd. and Gurney Plaza Sdn. Bhd.

Mr Mah holds a Master of Business Administration and a Bachelor of Economics (Hons) from Northern University of Malaysia.

**IBRAHIM AHMAD, 57,
SINGAPOREAN (MALE)
Head, Operations**

Mr Ibrahim has over 25 years of experience in real estate in both project and property management. Prior to joining the Manager, he was the Head of Engineering and Technical Services of CMA Malaysia, and was responsible for the implementation of the standard operating procedures and emergency response procedures for the respective shopping malls. He was also involved in the preparation of operations and maintenance budgets, review of equipment performance, and procurement of service contracts. In addition to the above, he led the implementation of systems that resulted in the award of ISO9000, ISO14000 and ISO18000, as well as Singapore's Building and Construction Authority Green Mark certification, for malls within the portfolio.

Mr Ibrahim graduated with a Bachelor of Science (Real Estate Management) from Oxford Brookes University, United Kingdom and is a qualified Fire Safety Manager registered with the Fire Safety Bureau of Singapore.

**ELIZA KOW SHUK HAN, 40,
MALAYSIAN (FEMALE)
Deputy Head, Marketing & Communications**

Ms Kow has more than 15 years of experience in handling of sales and marketing, advertising and branding, digital marketing and retailer partner marketing with both local and regional exposure. Ms Kow is responsible for driving marketing and communications strategies and initiatives while ensuring synergy across CMMT's portfolio. Prior to joining the Manager, Ms Kow worked for Telekom Technology Malaysia, Sunway Lagoon Theme Park, eCurve, BIG Cinemas, Microsoft Malaysia, CGI Malaysia and Discovery Networks APAC where her responsibilities included driving various signature marketing campaigns.

Ms Kow holds a Master of Business Administration (Strategic Management) from International Islamic University of Malaysia and a Bachelor of Arts (Communications) from Charles Sturt University of Australia.

**JASMINE LOO PIK KWAN ABDULLAH,
39, MALAYSIAN (FEMALE)
Senior Manager, Investor Relations**

Ms Loo gained experience in corporate communications during her tenure with one of the oldest, listed property developers in Malaysia for more than five years. Prior to that, she established herself as a writer for several well regarded publications in the media industry, e.g. The New Straits Times Press and The Edge Communications for over five years.

Ms Loo holds a Bachelor of Arts (English Language) from Universiti Putra Malaysia.

CORPORATE GOVERNANCE

THE MANAGER

The primary role as the Manager of CMMT is to set the strategic direction of CMMT and make recommendations to the Trustee on the acquisition of new assets and divestment or enhancement of CMMT's assets in accordance with its stated investment strategy. The research, evaluation and analysis required for this purpose are coordinated and carried out by the Manager. The Manager is also responsible for the system of risk management and internal controls for CMMT.

The Manager has general powers of management over the assets of CMMT. The Manager's primary responsibility is to manage the assets and liabilities of CMMT for the benefit of the Unitholders of CMMT. This is done with a focus on generating rental income and enhancing asset values over time to maximise returns from the investments and ultimately, the distribution and total returns to Unitholders.

Other functions and responsibilities of the Manager include:

- (a) Using its best endeavours to conduct CMMT's business in a proper and efficient manner and to conduct all transactions on behalf of CMMT at arm's length;
- (b) Preparing annual property plans for review by the Manager's Directors, including forecasts on revenue, net income and capital expenditure, reasons for major variances in previous years' numbers, written commentaries on key issues and underlying assumptions for rental rates, operating expenses and other relevant assumptions;
- (c) Ensuring compliance with relevant laws and regulations, including but not limited to the Companies Act 2016, the Capital Markets and Services Act 2007 (CMSA), the Main Market Listing Requirements of Bursa Malaysia Securities Berhad (Bursa Malaysia) (Listing Requirements), the Securities Commission's (SC) Guidelines on Real Estate Investment Trusts (REITs Guidelines), Licensing Handbook, written directions, notices, codes and other applicable guidelines issued by SC and/or Bursa Malaysia and the tax rulings issued by the Inland Revenue Board of Malaysia on the taxation of CMMT and its Unitholders as well as any updates and amendments to such relevant laws and regulations;
- (d) Attending to all regular communications with Unitholders; and
- (e) Supervising Knight Frank Property Management Sdn. Bhd. and Zaharin Nexcap Property Management Sdn. Bhd. (the Property Managers), which pursuant to the property management agreements, perform the day-to-day property management functions (including leasing, accounting, marketing, promotion, operations coordination and other property management activities) for CMMT's properties namely Gurney Plaza, Sungei Wang¹, Tropicana City Mall and Tropicana City Office Tower, The Mines and East Coast Mall.

The Manager also considers sustainability issues (including environmental and social factors) as part of its responsibility. CMMT's Sustainability Management section is set out on pages 57 to 64.

The Manager administers the enterprise risk management and ensures that internal controls are in place to mitigate and manage the risks as set out on pages 52 to 54.

CMMT, constituted as a trust, is externally managed by the Manager. The Manager appoints experienced and well qualified individuals to run its day-to-day operations. All Directors and employees of the Manager are remunerated by the Manager and not CMMT.

The Manager was appointed in accordance with the terms of the trust deed dated 7 June 2010 (as amended and restated on 15 September 2015) (the Deed). The Deed outlines certain circumstances under which the Manager can be removed; through a special resolution passed by a majority consisting of not less than three-fourths of the Unitholders present and voting at a meeting of Unitholders duly convened and held in accordance with the provisions of the Deed, on grounds of a breach of its obligations under the Deed which the Manager failed to remedy despite the request to remedy from the Trustee.

1 CMMT's interest in Sungei Wang comprises (i) 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail floor area of Sungei Wang, and (ii) 100.0% of the car park bays in Sungei Wang.

The Manager is a subsidiary of CapitaLand Limited (CapitaLand) which holds a significant unitholding interest in CMMT. CapitaLand is a long-term real estate developer and investor and has strong inherent interests in the performance of CMMT. CapitaLand's retention of a significant unitholding interest in CMMT ensures its commitment to CMMT and aligns its interests with other Unitholders. The Manager's association with CapitaLand provides the following benefits to CMMT, amongst others;

- (a) a stable pipeline of property assets through CapitaLand's development activities;
- (b) wider and better access to banking and capital markets;
- (c) fund raising and treasury support; and
- (d) access to a bench of experienced management talent.

Our Corporate Governance Culture

Strong corporate governance has always been the priority of the Manager. The Manager recognises that an effective corporate governance culture is critical to the performance and consequently, to the success of CMMT.

INTENDED OUTCOME 1.0

Every company is headed by a board, which assumes responsibility for the company's leadership and is collectively responsible for meeting the objectives and goals of the company.

Practice 1.1: The board should set the company's strategic aims, ensures that the necessary resources are in place for the company to meet its objectives and review management performance. The board should set the company's values and standards, and ensure that its obligations to its shareholders and other stakeholders are understood and met.

The Board of Directors of the Manager (the Board) oversees the affairs of the Manager in furtherance to the Manager's primary responsibility to manage the assets and liabilities of CMMT for the benefit of Unitholders. The Board provides leadership to the Chief Executive Officer (CEO) and the management team (Management) of the Manager, and sets the strategic vision, direction and long-term objectives for CMMT. The CEO, assisted by Management, is responsible for the execution of the strategy for CMMT and the day-to-day operation of CMMT's business.

The Board establishes goals for Management and monitors the achievement of these goals. It ensures that proper and effective controls are in place to assess and manage business risks and compliance with requirements under the Listing Requirements, REITs Guidelines as well as any other applicable guidelines prescribed by Bursa Malaysia, SC or other relevant authorities and such other applicable laws. It also sets the disclosure and transparency standards for CMMT and ensures that obligations to Unitholders and other stakeholders are understood and met. The goals and achievements of CMMT are set in the Balance Scorecard approved by the Board and measured at the end of each financial year. The Board also receives periodic reports on the risks, compliance, conflicts of interest and internal controls managed and applied by Management for CMMT and the Manager.

The Board has established various committees to assist in the discharge of its functions. These Committees are the Audit Committee (AC), the Corporate Disclosure Committee (CDC) and the Executive Committee (EXCO)(Committees). The composition of the various committees are set out under Corporate Information of this Annual Report.

Each of these Committees operates under delegated authority from the Board and is governed by its own terms of reference, with the Board retaining overall oversight. The Board may form other committees as dictated by business imperatives. Membership in the various Committees is managed to ensure an equitable distribution of responsibilities among Board members, to maximise the effectiveness of the Board and to foster active participation and contribution from Board members. Diversity of experience and appropriate skills are considered in the composition of the respective Committees.

CORPORATE GOVERNANCE

The Board has adopted a set of internal controls which establishes approval limits for operational and capital expenditure, investments, divestments, bank borrowings and issuance of debt instruments. Apart from matters that specifically require the Board's approval, the Board delegates authority for transactions below those limits to the respective Committees and Management. Approval sub-limits are also provided at Management level to optimize operational efficiency.

The Board meets at least once every quarter, and as and when required by business imperatives. The Board and the Committee meetings are scheduled prior to the start of each financial year, to facilitate the deliberation of matters of strategic significance for CMMT, including any significant acquisitions and disposals, the annual budget, CMMT's and the Manager's business and financial performance reviews and approval for release of the quarterly and full-year results. Where exigencies prevent a Director from attending a Board meeting in person, the Constitution of the Manager permits the Director to participate via audio conferencing or video conferencing. The Board and the Committees may also make decisions by way of resolutions in writing. In each meeting which discusses matters requiring the Board's approval, all members of the Board participate in the discussions and deliberations; resolutions in writing are circulated to all Directors and are subject to the approval of the Directors. This principle of collective decisions adopted by the Board ensures that no individual unduly influences or dominates the decision making process.

A total of five Board meetings were held in FY 2017. A table showing the attendance record of the Directors at meetings of the Board and Committees in FY 2017 is set out on page 46 of this Annual Report. The Manager believes in the manifest contribution of its Directors beyond attendance at formal Board and Committee meetings. To judge a Director's contributions based on his attendance at formal meetings alone would not do justice to his overall contributions, which include being accessible to Management for guidance or exchange of views outside the formal environment of Board and Committee meetings. In addition to the formal meetings held in FY 2017, Management has received and benefitted from the strategic guidance of the Board through the Directors having had many interactive sessions with Management in person and also through electronic means.

In view of the increasingly demanding, complex and multi-dimensional roles of a director, the Board recognises the importance of continuous training and development for its Directors to maintain their professional standards. The Manager also maintains a training record to track the Directors' professional development. The costs of training are borne by the Manager. Upon appointment, each Director is provided with a formal letter of appointment and a copy of the Directors' Manual (which includes information on a broad range of matters relating to the role and responsibilities of a director). All Directors, upon appointment, also undergo an induction programme which focuses on orientating the Director to CMMT's business, operations, strategy, organisational structure, responsibilities of key management personnel, and financial and governance practices.

Following their appointment, Directors are provided with opportunities for continuing education in areas such as directors' duties and responsibilities, changes to regulations and accounting standards and industry-related matters, to enable them being updated on matters that affect or which may enhance their performance as Directors or Committee members. Directors are also encouraged to undertake self-learning by reading relevant reports and journals.

All Directors attended the Mandatory Accreditation Programme (MAP) and as prescribed by Bursa Securities, within four months of their appointments. Mr Ronald Tay Boon Hwee was appointed on 1 January 2018 and has until 30 April 2018 to attend the MAP. Training programmes, seminars and conferences attended by the Directors during FY 2017 are set out on page 47 of this Annual Report.

Practice 1.2: A Chairman of the board who is responsible for instilling good corporate governance practices, leadership and effectiveness of the board is appointed.

The Board presently comprises nine Directors, five of whom are independent directors. The Chairman of the Board is an independent director. Profiles of the Chairman and the Directors are provided on pages 17 to 21 of this Annual Report.

During FY 2017, the non-executive independent Chairman, Mr David Wong Chin Huat, has been responsible for:

- (a) Providing leadership to the Board so that the Board can perform its responsibilities effectively;
- (b) Overseeing the Board agenda and interfacing between Management and Board members for delivery of information required at each Board meeting;
- (c) Leading all five Board meetings and discussions;
- (d) Encouraging active participation and allowing dissenting views to be freely expressed by the Directors;
- (e) Managing the interface between Board and Management on all other matters;
- (f) Ensuring appropriate steps are taken to provide effective communication with stakeholders and that their views are communicated to the Board; and
- (g) Leading the Board in establishing and monitoring good corporate governance practices in the Company. To that end, the Company has endorsed the latest amendments to the Code in FY 2017 which was supported by the Chairman and the Board.

Practice 1.3: The positions of Chairman and CEO are held by different individuals.

To maintain an appropriate balance of power, increased accountability and greater capacity of the Board for independent decision making, the roles and responsibilities of Chairman and CEO are held by separate individuals. The division of responsibilities between the Chairman and the CEO facilitates effective oversight and a clear segregation of duties. The Chairman and the CEO are not related to each other and the Chairman is a Non-Executive Independent Director.

The Chairman plays a significant leadership role by providing clear oversight, advice and guidance to the CEO and Management on strategies and business operations.

The Chairman leads the Board to ensure the effectiveness on all aspects of its role and sets its agenda. He ensures that members of the Board receive accurate, clear and timely information, facilitates the contribution of Non-Executive Directors, encourages constructive relationships between Executive Directors, Non-Executive Directors and Management, ensures effective communication with Unitholders and promotes a high standard of corporate governance.

The Chairman also ensures that the Board works together with Management with integrity, competency and moral authority, and that the Board engages Management in deliberations on strategy, business operations and enterprise risks.

The CEO is a Board member and has full executive responsibilities over the business directions and operational decisions of CMMT and is responsible for implementing CMMT's strategies and policies in the conduct of CMMT's business.

The Chairman and the CEO are not family members. The separation of roles of the Chairman and the CEO and the resulting clarity of roles provide a healthy professional relationship between the Board and Management, and facilitate robust deliberations on the business activities of CMMT and the exchange of ideas and views to help shape CMMT's strategic process.

CORPORATE GOVERNANCE

Practice 1.4: The board is supported by a suitably qualified and competent Company Secretary to provide sound governance advice, ensure adherence to rules and procedures, and advocate adoption of corporate governance best practices.

The Board is supported by a suitably qualified and competent Company Secretary (the Secretary). The Secretary of the Manager works with the Chairman and Management to ensure that Board papers and agendas are provided to each Director at least five working days in advance of the Board meetings so that they can familiarise themselves with the matters prior to the Board meetings. The Board is entitled to have separate and independent access to the Management and the Secretary, and vice versa at all times. The Secretary provides the Board with the necessary assistance and is also responsible for assisting the Chairman in ensuring adherence to Board procedures and compliance with applicable laws and regulations. Under the direction of the Chairman, the Secretary's responsibilities include ensuring good information flow within the Board and its Committees and between Management and Independent Directors, as well as facilitating orientation of new directors and assisting with the professional development of the Directors as and when required. The Secretary attends all Board meetings and Committee meetings to take minutes. She is the corporate governance advisor on corporate matters to the Board and Management and will also attend to corporate secretarial administration matters.

Where necessary, the Manager will, upon request of the Directors (whether as a group or individually), provide them with independent professional advice, at the Manager's expense, to enable them to discharge their duties. The Secretary assists the Directors in obtaining such advice.

During FY 2017, the Secretary has provided updates on amendments to the Companies Act 2016, the Code, Listing Requirements and other related laws for the Company's and Board's information.

Practice 1.5: Directors receive meeting materials, which are complete and accurate within a reasonable period prior to the meeting. Upon conclusion of the meeting, the minutes are circulated in a timely manner.

The Manager recognises the importance of providing the Board with complete, adequate and timely information prior to Board meetings and on an on-going basis, to enable the Directors to make informed decisions to discharge their duties and responsibilities.

The Board meets regularly and Board meetings, in general, last up to half a day. At each Board meeting, the CEO provides updates on CMMT's business and operations as well as its financial performance. Presentations in relation to specific business areas are also made by key executives and external consultants or experts; which allows the Board to develop a good understanding of CMMT's business and also promotes active engagement between the Board and the key executives of the Manager.

As the Manager's practice, Board papers are sent to Board members at least five working days prior to each Board meeting, to allow members of the Board to prepare for the Board meetings and to enable discussions to focus on any questions that they may have.

In line with the Manager's commitment to limit paper wastage and reduce its carbon footprint, the Manager no longer provides printed copies of Board papers and Directors are instead provided with tablet devices to enable them to access and read Board and Committee papers electronically prior to and at meetings. This initiative also enhances data security as the papers are downloaded to the tablet devices through an encrypted channel. This initiative was launched by the Manager in 3Q 2017.

The Manager practices timely circulation of the minutes of the Board and Committee meetings within one week after meetings to the Directors and then to the Chairman of the Board and Committees for final approval within two weeks after each meeting. Minutes are complete and accurately reflect the deliberations and decisions of the Board and Committees, including whether any Director abstained from voting or deliberating on any matter.

INTENDED OUTCOME 2.0

There is demarcation of responsibilities between the board, board committees and management. There is clarity in the authority of the board, its committees and individual directors.

Practice 2.1: The board has a board charter which is periodically reviewed and published on the company's website. The board charter clearly identifies: -

- ▼ ***The respective roles and responsibilities of the board, board committees, individual directors and management; and***
- ▼ ***Issues and decisions reserved for the board.***

The Board's duties and responsibilities have been guided by a Board Charter and in FY 2017 include:

- (a) approving CMMT's broad policies, strategies and objectives;
- (b) approving annual budgets, major funding including capital management proposals, investment and divestment proposals;
- (c) reviewing at least annually the adequacy and effectiveness of the Group's risk management and internal control systems including financial, operational, compliance and information technology controls which relate to CMMT and the Manager;
- (d) reviewing and approving succession plans for Directors;
- (e) reviewing and approving the appointment of and succession plans for the CEO; and
- (f) reviewing and approving the Board's compensation.

The Board Charter is periodically reviewed to reflect changes to the Board's policies, procedures and processes as well as any development in statutes and regulations that may have an impact on the discharge of the Board's duties and responsibilities.

INTENDED OUTCOME 3.0

The board is committed to promoting good business conduct and maintaining a healthy corporate culture that engenders integrity, transparency and fairness.

The board, management, employees and other stakeholders are clear on what is considered acceptable behaviour and practice in the company.

Practice 3.1: The board establishes a Code of Conduct and Ethics for the company, and together with management implements its policies and procedures, which include managing conflicts of interest, preventing the abuse of power, corruption, insider trading and money laundering. The Code of Conduct and Ethics is published on the company's website.

The Manager adheres to an ethics and code of business conduct policy which deals with issues such as confidentiality, conduct and work discipline, corporate gifts and concessionary offers. Clear policies and guidelines on how to handle work place harassment and grievances are also in place.

The policies and guidelines are published on CapitaLand's Intranet which is accessible by all employees of the Manager. The policies that the Manager has implemented aim to help to detect and prevent occupational fraud mainly in three ways.

First, the Manager offers fair compensation packages, based on practices of pay-for-performance and promotion based on merit to its employees. The Manager also provides various healthcare subsidies and financial assistance schemes to alleviate the common financial pressures its employees face.

Secondly, clearly documented policies and work procedures incorporate internal controls which ensure that adequate checks and balances are in place. Periodic audits are also conducted to evaluate the efficacy of these internal controls.

CORPORATE GOVERNANCE

Finally, the Manager seeks to build and maintain the right organisational culture through its core values, educating its employees on good business conduct and ethical values. This is achieved through orientation training of new employees and periodic training updates for existing employees.

The Manager has also established a policy that its Directors recuse themselves from voting on or participating in any discussions concerning a transaction in which they may be in a conflict of interest situation. The Directors have complied with this policy and recused himself/herself from voting on or participating in any Board deliberations on any transaction which might potentially give rise to a conflict of interest.

Bribery and Corruption Prevention Policy

The Manager adopts a strong stance against corruption and bribery. In addition to clear guidelines and procedures for the giving and receipt of corporate gifts and concessionary offers, all employees of the Manager are required to make a declaration on an annual basis where they pledge to uphold the Manager's core values and not to engage in any corrupt or unethical practices. This serves as a reminder to all employees to maintain the highest standards of integrity in their work and business dealings.

The Manager's zero tolerance policy towards corruption and bribery extends to its business dealings with third parties. Pursuant to this policy, the Manager requires that certain agreements incorporate anti-bribery and anti-corruption provisions.

Anti-Money Laundering and Countering the Financing of Terrorism Measures

The Anti-Money Laundering, Anti-Terrorism Financing and Proceeds of Unlawful Activities Act 2001 lays down various activities which the said Act views as unlawful activities and which the Manager must be aware of. The Manager has applied a policy on the prevention of money laundering and terrorism financing and is alert at all times to suspicious transactions. As part of its business operational practices, the Manager performs due diligence checks on its counterparties in order to ensure that it is able to detect any suspicious money laundering and terrorist financing activities and it does not enter into business transactions with terrorist suspects or other high risk persons or entities.

Under this policy, the Manager must retain all relevant records or documents relating to business relations with its customers or transactions entered into for a period of at least seven years following the termination of such business relations or the completion of such transactions.

All prospective employees, officers and representatives of the Manager are also screened against various lists of terrorist suspects issued by SC. Periodic training has been provided by the Manager to its Directors, employees and representatives to ensure that they are updated and aware of applicable anti-money laundering and terrorist financing regulations and amendments thereto, the prevailing techniques and trends in money laundering and terrorist financing and the measures adopted by the Manager to combat money laundering and terrorist financing.

Practice 3.2: The board establishes, reviews and together with management implements policies and procedures on whistleblowing.

A whistle-blowing policy and other procedures are put in place to provide employees of the Manager and parties having official dealings with CMMT with well defined, accessible and trusted channels to report suspected fraud, corruption, dishonest practices or other improprieties in the workplace, and for the independent investigation of any reported incidents and appropriate follow up action.

The objective of the Whistle-Blowing Policy is to encourage the reporting of such matters so that employees or external parties making any reports in good faith will be able to do so with the confidence that they will be treated fairly, and to the fullest extent possible, be protected from reprisal. The Whistle-Blowing Policy facilitates complaints which can be raised to the AC Chairman through the Internal Auditor who reports quarterly to the AC.

INTENDED OUTCOME 4.0

Board decisions are made objectively in the best interests of the company taking into account diverse perspectives and insights.

Practice 4.1: At least half of the board comprises independent directors. For Large Companies², the board comprises a majority independent directors

The Board reviews from time to time the size and composition of the Board with a view of ensuring that the size of the Board is appropriate in facilitating effective decision making, taking into account the scope and nature of the operations of CMMT and its subsidiaries (CMMT Group), and that the Board has a strong independent element.

The Board presently comprises nine Directors, five of whom are independent directors. The Chairman of the Board is an independent Director. Profiles of the Directors are provided on pages 17 to 21 of this Annual Report reflecting that there is a majority of independent directors on the Board of the Manager being manager of CMMT.

Practice 4.2: The tenure of an independent director does not exceed a cumulative term limit of nine years. Upon completion of the nine years, an independent director may continue to serve on the board as a non-independent director. If the board intends to retain an independent director beyond nine years, it should justify and seek annual shareholders' approval. If the board continues to retain the independent director after the twelfth year, the board should seek annual shareholders' approval through a two-tier voting process

Practice 4.3: The board has a policy which limits the tenure of its independent directors to nine years (Step Up)

The independence of each Director is reviewed by the Board upon appointment, and thereafter annually through a Board performance evaluation exercise carried out by the Secretary on behalf of the Manager and by the Board as and when circumstances require. An Independent Director is one who has no relationship with the Manager, its related parties, its shareholders who hold 10% or more of the voting shares in the Manager or Unitholders who hold 10% or more units in issue of CMMT or its officers that could interfere, or be reasonably perceived to interfere with the exercise of independent judgement; and has not served on the Board for a continuous period of nine years or longer.

The Manager applies the Listing Requirements, the REITs Guidelines and the Code in determining if a Director is independent. The relevant non-executive Directors, namely Mr David Wong Chin Huat, Ms Tan Siew Bee, Dr Peter Tay Buan Huat, Tuan Haji Rosli bin Abdullah and Mr Ng Chih Kaye, have in FY 2017 provided declarations of their independence and which have been accepted by the Board.

The Board has considered whether each of Mr David Wong Chin Huat, Ms Tan Siew Bee, Dr Peter Tay Buan Huat, Tuan Haji Rosli bin Abdullah and Mr Ng Chih Kaye had demonstrated independence of character and judgement in the discharge of his/her responsibilities as a Director of the Manager in FY 2017, and is satisfied that each of them acted with independent judgement.

On the basis of the declarations of independence provided by the Directors and the guidance in the Code, REITs Guidelines and the Listing Requirements, the Board has determined that Mr David Wong Chin Huat, Ms Tan Siew Bee, Dr Peter Tay Buan Huat, Tuan Haji Rosli bin Abdullah and Mr Ng Chih Kaye are independent directors. Each member of the Board had recused himself/herself from deliberations on his/her own independence.

The Manager believes that Board renewal is a necessary and continual process, for good governance and ensuring that the Board has the skills, expertise and experience which are relevant to the evolving needs of CMMT's business; renewal or replacement of a Director therefore does not necessarily reflect his/her performance or contributions to date. The Board has established the guideline that an Independent Director will serve for an initial two three-years term and any extension of term up to a maximum period of nine years (inclusive of the initial two terms served) will be individually considered by the Board.

² Large Companies refers to (1) Companies on the FTSE Bursa Malaysia Top 100 Index; or (2) Companies with market capitalisation of RM2 billion and above, at the start of the companies' financial year.

CORPORATE GOVERNANCE

Practice 4.4: Appointment of board and senior management are based on objective criteria, merit and with due regard for diversity in skills, experience, age, cultural background and gender.

Practice 4.5: The board discloses in its annual report the company's policies on gender diversity, its targets and measures to meet those targets. For Large Companies, the board must have at least 30% women directors.

The Board undertakes the function of a nominating committee and therefore, the Manager does not have a nominating committee. The Board performs the functions that such a committee would otherwise perform, namely, it administers nominations to the Board, reviews the structure, size and composition of the Board, and reviews the performance and independence of Board members. The Board seeks to ensure that the composition of the Board provides an appropriate balance and diversity of skills, experience and knowledge of the industry and that the Directors, as a group, have the necessary core competencies relevant to CMMT's business. The current Board comprises individuals who are business leaders and professionals with financial, real estate, legal, investment and accounting backgrounds.

The Board recognises the benefits of having a diverse Board. Diversity in the Board's composition not only contributes to the quality of its decision making through diversity of perspectives in its boardroom deliberations, the varied backgrounds of the Directors also enable Management to benefit from their respective expertise and diverse backgrounds. The Board also considers gender an important aspect of diversity alongside factors such as the age, ethnicity and educational background of its members. The Board is committed to diversity and will continue to consider the differences in the skillsets, gender, age, ethnicity and educational background in determining the optimal composition of the Board in its Board renewal process. Currently, the Board has two (2) female Directors.

The Board is able to undertake the functions of a nominating committee because:

- (a) The Manager is a dedicated manager to only CMMT and has a more focused scope and scale of business compared to those of listed companies. For this reason, the Board's capacity would not be unduly stretched if the responsibilities of a nominating committee were also undertaken by the Board as the Board would be able to give adequate attention to such issues;
- (b) The focused scope of the business of CMMT also means a manageable competency requirement for the Board such that the Board is able to manage the duties of a nominating committee; and
- (c) The Independent Directors form a majority of the Board and the Chairman as an Independent Director demonstrates that the Independent Directors play a substantive role and assures the objectivity and independence of the decision-making process concerning nomination. This also mitigates any concerns of conflict which can be managed by having the conflicted directors abstain from the decision-making process. Further, conflict situations are less likely to arise in matters of nomination.

Practice 4.6: In identifying candidates for appointment of directors, the board does not solely rely on recommendations from existing board members, management or major shareholders. The board utilizes independent sources to identify suitably qualified candidates.

Practice 4.7: The Nominating Committee is chaired by an Independent Director or the Senior Independent Director.

The Board has adopted the following criteria and process for selecting, appointing and reappointing Directors and for reviewing the performance of Directors:

- (a) The Board will at least annually carry out a review of the Board composition as well as on each occasion when an existing Independent Director gives notice of his intention to retire or resign. This is to assess the collective skills, knowledge and experience of the Directors represented on the Board to determine whether the Board, on the whole, has the skills, knowledge and experience required to achieve the Manager's objectives for CMMT;
- (b) The Board will review the suitability of any candidates put forward by any Director for appointment, having regard to the skills required and the skills represented on the Board, whether a candidate's skills, knowledge and experience will complement the existing Board is, whether he has sufficient time available to commit to his responsibilities as a Director, and if he is fit and proper person for the office in accordance with the Licensing Handbook issued by the SC and the CMSA (which require the candidate to be, among other things, competent, honest and with integrity);

- (c) External consultants may be engaged from time to time to access a wide base of potential directors;
- (d) No member of the Board will be involved in any decision of the Board relating to his own appointment, reappointment or assessment of independence;
- (e) A newly appointed Director will receive a formal appointment letter and a copy of the Director's Manual (which includes information on a broad range of matters relating to the role and responsibilities of a director);
- (f) All Directors on appointment will undergo an induction programme both internally and as mandated by Bursa Malaysia to help familiarize them with matters relating to CMMT's business and the Manager's strategy for CMMT;
- (g) The performance of the Board, the various Committees and Directors will be reviewed annually using a board performance evaluation process which can either be an internal one or through engagement of independent and external consultants; and
- (h) The Board will proactively address any issues identified in the board performance evaluation.

The adopted process takes into account the requirements in the Code that the composition of the Board, including the selection of candidates for new appointments to the Board as part of the Board's renewal process, is determined using the following principles:

- (a) The Board should comprise Directors with a broad range of commercial experience, including expertise in fund management, the property industry, banking and legal fields; and
- (b) At least half of the Board should comprise Independent Directors and for Large Companies, the Board comprises presently of a majority of Independent Directors.

INTENDED OUTCOME 5.0

Stakeholders are able to form an opinion on the overall effectiveness of the board and individual directors.

Practice 5.1: The board should undertake a formal and objective annual evaluation to determine the effectiveness of the board, its committees and each individual director. The board should disclose how the assessment was carried out and its outcome. For Large Companies, the board engages independent experts periodically to facilitate objective and candid board evaluations.

The Manager believes that oversight from a strong and effective Board goes a long way in guiding a business enterprise to achieving success.

The Board strives to ensure that there is an optimal blend in the Board of background, experience and knowledge in business, finance and management skills critical to CMMT's business, and that each Director can bring to the Board an independent and objective perspective to enable balanced and well-considered decisions to be made in the interests of CMMT.

Whilst Board performance is ultimately reflected in the long-term performance of CMMT, the Board believes that engaging in a regular process of self-assessment and evaluation of board performance can identify key strengths and areas for improvement which are essential for effective stewardship and to achieve success for CMMT.

As part of the Manager's commitment towards improving corporate governance, the Board has approved and implemented a process to evaluate the effectiveness of the Board as a whole and the Committees on an annual basis. As part of the process, questionnaires were sent to the Directors, and the results were aggregated and reported to the Chairman of the Board. The areas of evaluation covered in the survey questionnaire included Board composition, Board processes, strategy, performance and governance, access to information and effectiveness of the Committees. The Board also evaluates whether the creation of value for unitholders has been considered in the decision-making process. The results of the survey were deliberated upon by the Board and the necessary follow up action taken with a view to enhancing the effectiveness of the Board in the discharge of its duties and responsibilities. Based on the survey findings, almost all the attributes in the survey areas received positive ratings with proposals to improve the performance and function of the Board in the future.

CORPORATE GOVERNANCE

The Board was also able to assess the Committees through their regular reports to the Board on their activities. In respect of individual Directors, their contributions can take different forms including providing objective perspectives on issues, facilitating business opportunities and strategic relationships, and accessibility to Management outside of the formal environment of Board and/or Committee meetings.

The Manager also believes that the collective Board performance and the contributions of individual Board members are also reflected in, and evidenced by, the collective and synergistic performance of the Board in discharging its responsibilities as a whole by providing proper guidance, diligent oversight and able leadership, also by lending support to Management in steering CMMT in the appropriate direction, as well as the long-term performance of CMMT whether under favourable or challenging market conditions.

INTENDED OUTCOME 6.0

The level and composition of remuneration of directors and senior management take into account the company's desire to attract and retain the right talent in the board and senior management to drive the company's long term objectives. Remuneration policies and decisions are made through a transparent and independent process.

Practice 6.1: The board has in place policies and procedures to determine the remuneration of directors and senior management, which takes into account the demands, complexities and performance of the company as well as skills and experience required. Remuneration policies and decisions are made through a transparent and independent process.

The Manager believes that a framework of remuneration for the Board and the Management should not be taken in isolation. It should be linked to the building of management bench strength and the development of key executives. This is to ensure continual development of talent and renewal of strong and sound leadership for a sustainable business and a lasting company in the best interest of CMMT.

In terms of the process adopted by the Manager for developing policies on remuneration and determining the remuneration packages for Directors and executive officers, the Manager, through an independent remuneration consultant, takes into account relevant industry benchmarks. It also considers the compensation framework of CapitaLand as a point of reference. The Manager is a subsidiary of CapitaLand, which also holds a significant stake in CMMT. The association with the CapitaLand Group puts the Manager in a better position to attract and retain better qualified management talent; provides the Manager with an intangible benefit such that it allows its employees to associate themselves with an established corporate group which can offer them the depth and breadth of experience and a career horizon. In FY 2017, an independent remuneration consultant, Mercer (Singapore) Pte Ltd (Mercer), was appointed to provide professional advice on Board and executive remuneration.

The principles governing the Manager's key management personnel remuneration policy are as follows:

Business Goals

- ▼ Generating rental income and enhancing asset value of CMMT over time to maximise returns from investments and ultimately, the distribution and total return to Unitholders.
- ▼ Secure sound, structured funding to ensure affordability and cost-effectiveness in line with performance goals.
- ▼ Enhance retention of key talent to build strong organisational capabilities.

Motivate Right Behaviour

- ▼ Pay for performance – align, differentiate and balance rewards according to multiple dimensions of business goals performance.
- ▼ Strengthen line-of-sight by linking rewards with business goals.

Fair & Appropriate

- ▼ Ensure competitive remuneration relative to the appropriate external talent markets.
- ▼ Manage internal equity such that the remuneration systems are being viewed as fair.

Effective Implementation

- ▼ Exercise appropriate flexibility to meet strategic business needs and practical implementation considerations.
- ▼ Facilitate employee undertakings to maximise the value of the remuneration programmes.

The fixed component for key executives comprises the base salary, fixed allowances and compulsory employer contribution to the employees' Employees Provident Fund. The variable cash component comprises an annual bonus plan which is linked to the achievement of annual performance targets for each key executive. Annual performance targets are in the form of both quantitative and qualitative measures that are aligned to the business strategy for CMMT Group and linked both to individual performance and the performance of CMMT. The market-related benefits provided are comparable with local market practices.

For FY 2017, remuneration for key management personnel comprises a fixed component, a performance-based variable cash component, a performance-based variable equity-based component or cash-based component and market related benefits. For the equity-based or cash-based component, for FY 2017, either shares of CapitaLand or cash were awarded pursuant to the share plan of CapitaLand.

Practice 6.2: The board has a Remuneration Committee to implement its policies and procedures on remuneration including reviewing and recommending matters relating to the remuneration of board and senior management. The Committee has written Terms of Reference which deals with its authority and duties and these Terms are disclosed on the company's website.

The Board undertakes the functions of a remuneration committee based on the following:

- (a) the Manager is a dedicated manager to only CMMT and in general, REITs (including CMMT) have a more focused scope and scale of business compared to those of listed companies. For this reason, the Board's capacity would not be unduly stretched when undertaking the responsibilities of a remuneration committee and the Board would be able to give adequate attention to such issues relating to remuneration matters; and
- (b) the independent directors form at least half of the Board and the Chairman is an independent director, which demonstrates that the independent directors play a substantive role and ensures the objectivity and independence of the decision making process concerning remuneration. This also mitigates any concerns of conflict which can be managed by having the conflicted Directors abstain from the decision making process. Further, conflict situations are less likely to arise in matters of remuneration. Moreover, there is an independent external consulting firm which provides guidance to the Board prior to approving the recommended remuneration based on market demands and norms.

In undertaking this function, the Board oversees the design and implementation of the remuneration policy and the specific remuneration packages for each Director and the CEO. No member of the Board, however, will be involved in any decision of the Board relating to his own remuneration.

INTENDED OUTCOME 7.0

Stakeholders are able to assess whether the remuneration of directors and senior management is commensurate with their individual performance, taking into consideration the company's performance.

Practice 7.1: There is detailed disclosure on named basis for the remuneration of individual directors. The remuneration breakdown of individual directors includes fees, salary, bonus, benefits in-kind and other emoluments.

The Directors' fees for FY 2017 are shown in the table on the following page. The CEO as an executive director does not receive any fees for serving as a Director. Instead, she is remunerated as part of the key management personnel of the Manager. Directors' fees are a fixed sum and generally comprise a basic retainer fee as a Director, an additional fee for serving on any of the Committees and an attendance fee for participation in meetings of the Board and any of the Committees, project meetings and verification meetings. The remuneration framework for the non-executive Directors remains unchanged from that of the previous financial year.

CORPORATE GOVERNANCE

▼ Directors' Fees¹

Board Members	FY 2017 (RM)	FY 2016 (RM)
David Wong Chin Huat	207,000	205,000
Low Peck Chen	–	–
Tan Siew Bee	135,000	130,000
Dr Peter Tay Buan Huat	99,000	89,000
Foo Wei Hoong ²	90,000	80,000
Tuan Haji Rosli Bin Abdullah	155,000	150,000
Ng Chih Kaye	135,000	130,000
Jason Leow Juan Thong ^{3,4}	155,000	145,000
Ng Kok Siong ³	180,000	200,000
Lee Hui Yeow [Alternate Director to Ng Kok Siong] ³	10,000	–
Ronald Tay Boon Hwee ⁵	–	–

1 Inclusive of attendance fees of (a) RM5,000 (local director) and RM8,000 (foreign director) per meeting attendance in person, (b) RM2,000 per meeting attendance via tele-conference or video conference, and (c) RM2,000 per project or verification meeting subject to a maximum of RM20,000 per Director per annum.

2 The Director's fees (excluding attendance fees) to Foo Wei Hoong are payable to Malaysian Industrial Development Finance Berhad (MIDF).

3 In respect of Directors who are nominees of CapitaLand or CapitaLand Mall Asia Limited (CMA), the Directors' fees are payable to CMA.

4 Resigned as a Director, Chairman of the Executive Committee and a Member of the Corporate Disclosure Committee with effect from 1 January 2018.

5 Appointed as a Director, Chairman of the Executive Committee and a Member of the Corporate Disclosure Committee with effect from 1 January 2018.

Practice 7.2: The board discloses on a named basis the top five senior management's remuneration component including salary, bonus, benefits in-kind and other emoluments in bands of RM50,000.

Practice 7.3: Companies are encouraged to fully disclose the detailed remuneration of each member of senior management on a named basis. (Step Up)

The remuneration for the CEO in bands of RM50,000, and a breakdown of the remuneration of the CEO and the top 5 senior management personnel of the Manager in percentage terms, are provided in the Key Management Personnel's Remuneration Table on page 48 of this Annual Report.

The Manager has decided (a) to disclose the CEO's remuneration in bands of RM50,000 (instead of on a quantum basis), and (b) not to disclose the remuneration of the key management personnel of the Manager (whether in bands of RM50,000 or otherwise). In arriving at its decision, it has taken into account the commercial sensitivity and confidential nature of remuneration matters. The Manager is of the view that disclosure in such a manner is not prejudicial to the interests of Unitholders as the indicative range for the CEO's remuneration, as well as the total remuneration for the CEO and key management personnel of the Manager, is made known to Unitholders, and sufficient information is provided on the Manager's remuneration framework to enable Unitholders to understand the link between CMMT's performance and the remuneration of the CEO and key management personnel. In addition, the remuneration of the CEO and key management personnel of the Manager is paid out of the fees that the Manager receives (of which the quantum and basis have been disclosed), rather than the assets of CMMT.

INTENDED OUTCOME 8.0

There is an effective and independent Audit Committee. The board is able to objectively review the Audit Committee's findings and recommendations. The company's financial statement is a reliable source of information.

Practice 8.1: The Chairman of the Audit Committee is not the Chairman of the board.

Practice 8.2: The Audit Committee has a policy that requires a former key audit partner to observe a cooling-off period of at least two years before being appointed as a member of the Audit Committee.

Practice 8.4: The Audit Committee should comprise solely of Independent Directors (Step Up)

The Chairman of the AC is not the Chairman of the Board. At present, the AC comprises four members, all non-executive, a majority of whom (including the Chairman of the AC) are independent. The members bring with them invaluable recent and relevant managerial and professional expertise in accounting, legal and related financial management domains. None of the AC members was previously a partner of the incumbent external auditors, KPMG LLP (KPMG), within the previous two years, nor do any of the AC members hold any financial interest in KPMG.

The AC has explicit authority to investigate any matter within its terms of reference. Management is required to provide the fullest cooperation in providing information and resources, and in implementing or carrying out all requests made by the AC. The AC has direct access to the internal and external auditors and full discretion to invite any Director or executive officer to attend its meetings. Similarly, both the internal and external auditors are given unrestricted access to the AC.

Practice 8.3: The Audit Committee has policies and procedures to assess the suitability, objectivity and independence of the external auditor.

The AC has established an External Auditors' Independence Guideline that considers among others:

- (a) The competence, audit quality and resource capacity of the external auditor in relation to the audit;
- (b) The nature and extent of the non-audit services rendered and the appropriateness of the level of fees; and
- (c) The written assurance obtained from the external auditors confirming that they are, and have been, independent throughout the conduct of the audit engagement in accordance with the terms of all relevant professional and regulatory requirements.

The AC has reviewed the nature and extent of non-audit services provided by the external auditors during FY 2017 and the fees paid for such services. The AC is satisfied that the independence of the external auditors has not been impaired by the provision of those services. The external auditors have also provided confirmation of their independence to the AC. The aggregate amount of fees paid and payable to the external auditors for FY 2017 was approximately RM215,000 of which audit fees and audit related fees amounted to approximately RM206,000 and non-audit fees amounted to approximately RM9,000.

Practice 8.5: Collectively, the Audit Committee should possess a wide range of necessary skills to discharge its duties. All members should be financially literate and are able to understand matters under the purview of the Audit Committee including the financial reporting process.

All members of the Audit Committee should undertake continuous professional development to keep themselves abreast of relevant developments in accounting and auditing standards, practices and rules.

At present, there is a level of financial literacy amongst the AC members who have sufficient understanding of the company's business.

CORPORATE GOVERNANCE

In the review of the financial statements, the AC has discussed with Management the accounting principles that were applied and their judgement of items that might affect the integrity of the financial statements and considered the clarity of key disclosures in the financial statements. The AC reviewed, amongst other matters, the following key audit matter identified by external auditors for the financial year ended 31 December 2017.

Key Audit Matter	How the AC reviewed the matter and what decisions were made
Valuation of investment properties	The AC considered the valuation methodologies applied by the valuers for investment properties including evaluation of the valuers' objectivity and competency. The valuers are rotated annually to provide fresh and independent perspectives to the valuation process. This practice has been consistently adhered to over time. The AC held discussions with the Management and external auditors to review the valuation methodologies including the reasonableness of the capitalisation rates adopted by the valuers. The valuation of investment properties was also an area of focus for the external auditors. No significant matter came to the attention of the AC during the review.

In FY 2017, the AC also met with the internal and external auditors, without Management's presence, to discuss the reasonableness of the financial reporting process, the system of internal controls, and the significant comments and recommendations by the auditors.

In FY 2017, changes to accounting standards, accounting systems and accounting issues which have a direct impact on the financial statements were reported to and discussed with the AC at its meetings.

INTENDED OUTCOME 9.0

Companies make informed decisions about the level of risk they want to take and implement necessary controls to pursue their objectives.

The board is provided with reasonable assurance that adverse impact arising from a foreseeable future event or situation on the company's objectives is mitigated and managed.

Practice 9.1: The board should establish an effective risk management and internal control framework.

The Manager has in place an adequate and effective system of risk management and internal controls addressing material financial, operational, compliance and information technology (IT) risks to safeguard Unitholders' interests and CMMT's assets.

The Board has overall responsibility for the governance of risk, including determining the risk strategy, risk appetite and risk limits, as well as risk policies. The EXCO and AC assist the Board in carrying out the Board's responsibility of overseeing the risk management framework and policies of CMMT Group.

The EXCO and AC, guided by their respective terms of reference, and in particular, during FY 2017:

- (a) made recommendations to the Board on CMMT Group's risk strategy, risk appetite and risk limits;
- (b) reviewed the risk management framework, including the processes and resources to identify and manage material risks;
- (c) oversaw Management in the design, implementation and monitoring of the system of risk management and internal controls;
- (d) reviewed the material risks faced by CMMT Group and the management thereof;
- (e) reviewed the adequacy and effectiveness of the system of risk management and internal controls covering material risks and the assurance given by Management, as well as the disclosures in the annual report; and
- (f) considered and advised on risk matters referred to it by Management or the Board.

Practice 9.2: The board should disclose the features of its risk management and internal control framework, and the adequacy and effectiveness of this framework.

The Manager adopts an Enterprise Risk Management (ERM) Framework which sets out the required legal, environmental and organisational components for managing risk in an integrated, systematic and consistent manner. The ERM Framework and related policies are reviewed annually.

The Manager consistently seeks to improve and strengthen its ERM Framework. As part of the ERM Framework, the Manager, among other things, undertakes and performs a Risk and Control Self-Assessment (RCSA) exercise at least annually. As a result of the RCSA, the Manager produces and maintains a risk register which identifies the material risks CMMT Group faces and the corresponding internal controls it has in place to mitigate those risks. The EXCO and AC also review the approach of identifying and assessing risks and internal controls in the risk register. The material risks, including the mitigating measures, are reviewed regularly by the EXCO and AC, who then report to the Board.

The Manager has established an approach on how risk appetite is defined, monitored and reviewed for CMMT Group. Approved by the Board, CMMT Group's Risk Appetite Statement (RAS), incorporates the risk limits and addresses the management of material risks faced by CMMT Group. Alignment of CMMT Group's risk profile to the RAS is achieved through various communication and monitoring mechanisms (including key performance indicators set for Management) put in place across the various functions within the Manager.

More information on the Manager's ERM Framework can be found in the Enterprise Risk Management section on pages 52 to 54 of this Annual Report.

The internal and external auditors conduct reviews on the adequacy and effectiveness of the material internal controls for CMMT Group addressing financial, operational, compliance and IT risks. This includes testing, where practicable, material internal controls in areas managed by external service providers. Any material non-compliance or lapses in internal controls together with corrective measures recommended by the internal and external auditors are reported to and reviewed by the EXCO and AC. The adequacy and effectiveness of the measures taken by the Manager in response to the recommendations made by the internal and external auditors are also reviewed by the AC.

The Board has received assurance from the CEO and the Head, Finance of the Manager that the system of risk management and internal controls in place for CMMT Group is adequate and effective in addressing the material risks faced by CMMT Group in its current business environment including material financial, operational, compliance and IT risks. The CEO and the Head, Finance of the Manager have obtained similar assurance from the respective risk and control owners.

Based on the ERM Framework established and the reviews conducted by Management and both the internal and external auditors, as well as the assurance from the CEO and the Head, Finance of the Manager that the Board concurs with the recommendation of the Exco and AC and is of the opinion, that CMMT Group's system of risk management and internal controls are adequate and effective to address the financial, operational, compliance and IT risks which CMMT Group considers relevant and material to its current business environment as at 31 December 2017.

CORPORATE GOVERNANCE

The Board notes that the system of risk management and internal controls established by the Management provides reasonable, but not absolute, assurance that CMMT Group, as it strives to achieve its business objectives, will not be significantly affected by any event that can be reasonably foreseen or anticipated. However, the Board also notes that no system of risk management and internal controls can provide absolute assurance in this regard, or absolute assurance against poor judgement in decision making, human error, losses, fraud or other irregularities.

INTENDED OUTCOME 10.0

Companies have an effective governance, risk management and internal control framework and stakeholders are able to assess the effectiveness of such a framework.

Practice 10.1: The Audit Committee should ensure that the internal audit function is effective and able to function independently.

The Manager has in place an internal audit function supported by CapitaLand's Internal Audit Department (CL IA) which reports directly to the AC. CL IA plans its internal audit schedules in consultation with, but independently of, Management and its plan is submitted to the AC for approval prior to the beginning of each year. The AC also meets with CL IA at least twice a year without the presence of Management. CL IA has unfettered access to the Manager's documents, records, properties and employees, including access to the AC. During FY 2017, CL IA has completed five audit assignments pursuant to the 2017 annual internal audit plan as agreed by AC and has also on a quarterly basis reported to AC a summary of the RPTs entered into by CMMT.

Practice 10.2: The board should disclose:

- ▼ ***whether internal audit personnel are free from any relationships or conflicts of interest, which could impair their objectivity and independence;***
- ▼ ***the number of resources in the internal audit department;***
- ▼ ***name and qualification of the person responsible for internal audit; and***
- ▼ ***whether the internal audit function is carried out in accordance with a recognised framework.***

CL IA is a corporate member of the Singapore branch of the Institute of Internal Auditors Inc. (IIA), with its headquarters in the United States of America. CL IA subscribes to, and is guided by, the International Standards for the Professional Practice of Internal Auditing (Standards) developed by the IIA and has incorporated these Standards into its audit practices. With respect to FY 2017, the AC has reviewed and is satisfied as to the adequacy and effectiveness of the IA function and the resources of CL IA.

None of the CL IA team members is related to the CEO nor Management. To ensure that internal audits are performed by competent professionals, CL IA recruits and employs suitably qualified professional staff with the requisite skill sets and experience. For instance, CL IA staff who are involved in IT audits are Certified Information System Auditors and members of the Information System Audit and Control Association (ISACA) in the USA. The ISACA Information System Auditing Standards provide guidance on the standards and procedures to be applied in IT audits. As of 31 December 2017, there are 24 professional and experienced staff that can service CMMT's portfolio, including Head, Group Internal Audit.

CL IA is headed by Dr. Monica Chia Fook Lan. She has more than 20 years of professional auditing and accounting practices in the banking industry and auditing sector in Singapore and Australia. Dr. Chia is a Chartered Accountant with the Institute of Singapore Chartered Accountants. She has a Bachelor in Commerce, Accounting and Information System (Merit) and Master in Commerce, Accounting (Auditing) from The University of New South Wales, Sydney, Australia. She was awarded the scholarship to undertake PhD in Accounting from The University of Western Australia and her dissertation was an empirical research on the determinants of the timing and size of discretionary write-offs.

CL IA identifies and provides training and development opportunities for its staff to ensure that their technical knowledge and skill sets remain current and relevant.

INTENDED OUTCOME 11.0

There is continuous communication between the company and stakeholders to facilitate mutual understanding of each other's objectives and expectations.

Stakeholders can make informed decisions with respect to the business of the company, its policies on governance, the environment and social responsibility.

Practice 11.1: The board ensures there is effective, transparent and regular communication with its stakeholders.

The Manager is committed to keeping all Unitholders and other stakeholders and analysts informed of the performance and changes in CMMT or its business which would be likely to materially affect the price or value of the Units, on a timely and consistent basis, to facilitate the investment decisions of Unitholders and investors.

The Manager has in place an Investor Relations and Corporate Communications team which facilitates effective communication with Unitholders, analysts, fund managers and the media.

The Manager actively engages with Unitholders and has put in place a Unitholders' Communication and Investor Relations Policy (Policy) to promote regular, effective and fair communication with Unitholders.

The Board has established the CDC which assists the Board in the discharge of its function to meet the obligations arising under the laws and regulations of Malaysia relating to and to conform to best practices in the corporate disclosure and compliance process. The views and approval of the CDC were sought in FY 2017 through emails on various announcements and news releases. In FY 2017, CMMT disclosed not only transactions involving related parties but also CMMT's asset enhancement initiatives, projects in the pipeline and relevant updates on its environment and corporate social responsibilities.

More information on the Manager's investor and media relations with Unitholders can be found in the Investor & Media Relations section on page 55 of this Annual Report.

CMMT's distribution policy is to distribute at least 90.0% of its taxable income (other than gains from the sale of real estate properties by CMMT which are determined to be trading gains), with the actual level of distribution to be determined at the Manager's discretion. FY 2017 saw distributions of approximately 100.0% of CMMT's distributable income to Unitholders.

INTENDED OUTCOME 12.0

Shareholders are able to participate, engage the board and senior management effectively and make informed voting decisions at General Meetings.

Practice 12.1: Notice for an Annual General Meeting should be given to the shareholders at least 28 days prior to the meeting.

The Manager is committed to treating all Unitholders fairly and equitably.

All Unitholders enjoy specific rights under the Trust Deed and the relevant laws and regulations. These rights include, among other things, the right to participate in profit distributions. They are also entitled to attend general meetings and are accorded the opportunity to participate effectively and vote at general meetings (including through proxies, if they are unable to attend in person, or if their Units are held through corporations).

All Unitholders were given at least 28 days' notice prior to Annual General Meetings which is beyond the minimum requirement of 21 days. The notice includes details of the resolutions proposed along with any background information and reports or recommendations that are relevant. The Annual General Meeting of CMMT for 2018 will take place on 29 March 2018. Full details and the notification can be found on pages 159 to 162 of this Annual Report.

CORPORATE GOVERNANCE

Practice 12.2: All directors attend General Meetings. The Chair of the Audit, Nominating, Risk Management and other committees provide meaningful response to questions addressed to them.

Practice 12.3: Listed companies with a large number of shareholders or which have meetings in remote locations should leverage technology to facilitate–

- ▼ ***voting including voting in absentia; and***
- ▼ ***remote shareholders' participation at General Meetings***

The Manager supports the principle of encouraging Unitholders' participation and voting at general meetings. Unitholders receive copies of CMMT annual report (abridged version) and notice of the annual general meeting. Full copies of the annual report will be provided upon request. As and when an extraordinary general meeting is to be held, Unitholders will receive a copy of the circular which contains details of the matters to be proposed for Unitholders' consideration and approval. Notices of the general meetings are also advertised in the press and issued via Bursa Link. All Unitholders are given the opportunity to participate effectively in and to vote at general meetings.

At general meetings, Unitholders are encouraged to communicate their views and discuss with the Board and Management matters affecting CMMT. Representatives of the Trustee, Directors (including the chairpersons of the Board and the AC), the Manager's senior management and the external auditors of CMMT, would usually be present at general meetings to address any queries from Unitholders.

To safeguard Unitholders' interests and rights, a separate resolution is proposed for each substantially separate issue at general meetings. To ensure transparency in the voting process and better reflect Unitholders' interest, the Manager conducts electronic poll voting for Unitholders/proxies present at the general meetings for all the resolutions proposed at the general meetings. Voting results and vote tabulation procedures are disclosed at the general meetings. An independent scrutineer is also appointed to validate the vote tabulation procedures. Votes cast for or against each resolution, and the respective percentages thereof, are tallied and displayed 'live on-screen' to Unitholders immediately at the general meetings. The total number of votes cast for or against the resolutions and the respective percentages are announced on Bursa Link after the general meetings. Voting in absentia and by email may only be possible following careful study to ensure that the integrity of information and authentication of the identity of Unitholders through the web are not compromised, and legislative changes are in place and effective to recognise remote voting.

Minutes of the general meetings recording the substantive and relevant comments made and questions raised by Unitholders are taken and are available to Unitholders for their inspection upon request. Minutes of annual general meetings have been made available since FY 2017 on CMMT's website at www.cmmt.com.my.

Unitholders also have the opportunity to meet with and communicate their views with the Board and Management, who are in attendance at the general meeting on matters affecting CMMT after the general meetings.

OTHERS

Dealing with Related Parties

Review Procedures for Related Party Transactions

In general, the Manager has established internal control procedures to ensure that all transactions involving the Trustee and a related party of CMMT (Related Party Transactions) are undertaken on an arm's length basis and on normal commercial terms, which are generally no more favourable than those extended to unrelated third parties. In respect of such transactions, the Manager would have to demonstrate to the AC that the transactions are undertaken on normal commercial terms which may include obtaining (where applicable) quotations from parties unrelated to the Manager, or obtaining valuations from independent valuers (in accordance with the REITs Guidelines).

In addition, the following procedures are generally followed:

- (a) Save and except for transactions for appointment or renewal of service providers related to the Manager, all non-real estate transactions less than RM250,000 shall be approved by the CEO followed by the advice of internal auditor and review by the AC;
- (b) Save and except for transactions for appointment or renewal of service providers related to the Manager, all non-real estate transactions greater than or equal to RM250,000 shall be approved by the Board upon the advice of internal auditor and review/recommendation by the AC. The same principles apply to real estate transactions less than 5% of the total asset value (TAV) of CMMT and are additionally subject to the Trustee's written confirmation based on the Board's approval;
- (c) Real estate transactions greater than or equal to 5% of TAV shall be approved by the Unitholders based on the Board's approval after internal auditor's advice and the AC's review/recommendation;
- (d) Save and except for transactions which fall within the ambit of Paragraph 10.08(11)(e) and (g)¹ of the Listing Requirements and such transactions highlighted to the SC and confirmed in their letters dated 19 September 2012 and 21 June 2016 (Exempted Related Party Transactions), the appointment or renewal of service providers related to the Manager shall be approved by the Independent Directors upon the advice of internal auditor and review/recommendation by the AC; and
- (e) Exempted Related Party Transactions shall be approved by the CEO followed by approval/ratification of the Independent Directors and considered adequately disclosed periodically through the Annual Report.

In dealing with any Related Party Transactions, it is the Manager's policy that all related party transactions carried out by or on behalf of CMMT should be:

- (a) Carried out on an arm's length basis and on normal commercial terms;
- (b) In the best interest of Unitholders of CMMT;
- (c) Adequately disclosed to the Unitholders of CMMT;
- (d) In relation to a real estate transaction:
 - (i) consented by the Trustee;
 - (ii) consistent with the investment objective and strategy of CMMT; and
 - (iii) transacted at a price that is equivalent to the value stated in the valuation report.

The acquisition/disposal may be transacted at a price other than as per the valuation report PROVIDED THAT:

- (a) the acquisition price is not more than 110% of the value assessed in the valuation report;
- (b) the disposal price is not less than 90% of the value assessed in the valuation report; and
- (c) the Trustee provides written confirmation that the transaction is based on normal commercial terms, at arm's length, and is not prejudicial to Unitholders' interest.

1 Paragraph 10.08(11)(e) of the Listing Requirements refers to the provision or receipt of financial assistance or services, upon normal commercial terms and in the ordinary course of business, from a corporation whose activities are regulated by any written law relating to banking, finance corporations or insurance and are subject to supervision by Bank Negara Malaysia.

Paragraph 10.08(11)(g) of the Listing Requirements refers to a transaction between a listed issuer or any of its subsidiaries and another person for the provision or receipt of goods or services which are Exempted Transactions where (i) the goods or services are purchased, sold or rendered based on a non-negotiable fixed price or rate which is published or publicly quoted; and (ii) all material terms including the prices or charges are applied consistently to all customers or classes of customers. Exempted Transactions are further defined to mean (aa) provision or usage of public utility services such as water, electricity, telecommunications, postal or courier services, insurance, unit trusts, stockbroking services, public transport, education, medical services, provision or usage of tolled highways, hotel facilities and recreational services, provision or consumption of fuel on retail or food and beverage at eateries, provision or purchase of goods at retail outlets such as supermarkets, hypermarkets or departmental stores; and (bb) such other types of transactions that may be prescribed by Bursa Securities from time to time.

CORPORATE GOVERNANCE

Role of the Audit Committee for Related Party Transactions

The Manager's internal control procedures are intended to ensure that Related Party Transactions are conducted at arm's length and on normal commercial terms, and are not prejudicial to Unitholders' interests. The Manager maintains a register to record all Related Parties of CMMT and Related Party Transactions which are entered into by CMMT (and the basis, including the quotations obtained to support such basis upon which they are entered into). All Related Party Transactions are subject to regular periodic reviews by the AC, with advice from the internal auditor to ascertain that the guidelines and procedures established to monitor Related Party Transactions, including the relevant provisions of the Listing Requirements and the REITs Guidelines, as well as any other guidelines which may from time to time be prescribed by Bursa Securities, the SC or other relevant authority, have been complied with. The review includes an examination of the nature of the transaction and its supporting documents or such other information deemed necessary by the AC. If a member of the AC has an interest in a transaction, he is to abstain from participating in the review and approval process in relation to that transaction.

Details of all Related Party Transactions entered into by CMMT during the financial year are disclosed on pages 144 to 145 of this Annual Report.

Dealing with Conflicts of Interest

The following principles and procedures have been established to deal with potential conflicts of interest which the Manager (including its Directors, executive officers and employees) may encounter in managing CMMT:

- (a) The Manager will be a dedicated manager to CMMT and will not manage any other REITs or be involved in any other real property business;
- (b) All executive officers of the Manager will be employed by the Manager;
- (c) All resolutions at meetings of the Board of the Manager in relation to matters concerning CMMT must be decided by a majority vote of the Directors, including at least one Independent Director;
- (d) In respect of matters in which CapitaLand and/or its subsidiaries have an interest, whether direct or indirect, any nominees appointed by CapitaLand and/or its subsidiaries to the Board will abstain from voting;
- (e) If the Manager is required to decide whether or not to take any action against any person in relation to any breach of any agreement entered into by the Trustee for and on behalf of CMMT with an affiliate of the Manager, the Manager shall be obliged to consult with a reputable law firm (acceptable to the Trustee) which shall provide legal advice on the matter. If the said law firm is of the opinion that the Trustee, on behalf of CMMT, has a prima facie case against the party allegedly in breach under such agreements, the Manager is obliged to pursue the appropriate remedies under such agreements. The Directors of the Manager have a duty to ensure that the Manager complies with the aforesaid. Notwithstanding the foregoing, the Manager shall inform the Trustee as soon as it becomes aware of any breach of any agreement entered into by the Trustee with an affiliate of the Manager, and the Trustee may take such action as it deems necessary to protect the rights of Unitholders and/or which is in the interests of Unitholders. Any decision by the Manager not to take action against an affiliate of the Manager shall not constitute a waiver of the Trustee's right to take such action as it deems fit against such affiliate; and
- (f) The Board shall comprise at least one-third of Independent Directors. Currently the Board comprises a majority of Independent Directors.

In addition, the Directors and executive officers of the Manager are expected to act with integrity and honesty at all times.

The Manager and the Trustee have been granted a right of first refusal (ROFR) by CMA where:

- (a) For so long as the Manager shall remain the manager of CMMT and a subsidiary of CMA, neither CMA nor any subsidiary of CMA, will (a) purchase any relevant retail property which CMA and/or its subsidiaries may identify and target for acquisition in the future without granting the ROFR to CMMT to purchase such relevant retail property at the offer price and based on the terms and conditions as proposed to the relevant member of CMA and its subsidiaries, subject to various procedural requirements, including notice provisions, as set out in the letters of undertakings; or (b) sponsor or act as the manager of another REIT or any listed company in Malaysia that competes or will compete for the acquisition of relevant retail property, save that (a) and (b) shall not be applicable to any relevant retail property which is the subject matter of any of the following:
 - (i) Joint venture or proposed joint venture with CMA and/or its subsidiaries and any third party or parties; or
 - (ii) A proposal made exclusively available to CMA and/or its subsidiaries; or
 - (iii) A fund or proposed fund managed by CMA and/or its subsidiaries.
- (b) In the event CMA should sponsor a Malaysian retail property fund for the acquisition and/or development of relevant retail property, CMA shall endeavour to procure that such fund shall grant to CMMT a ROFR in relation to any relevant retail properties of which the fund wishes to dispose.

This undertaking has the effect of limiting the ability of CMA from undertaking or participating in certain business opportunities, as described above.

Dealing in Securities

The Manager has issued guidelines to its Directors and employees which prohibit them from dealing in CMMT's units while in possession of material unpublished price-sensitive information and during the periods commencing 30 calendar days before the release of CMMT's quarterly results to one full market day after the release of the relevant results to Bursa Securities via Bursa LINK pursuant to the Listing Requirements. In addition, if any of such affected persons deal in CMMT's units during the closed periods or outside closed periods under the Listing Requirements, they are required to comply with the conditions as set out in Paragraphs 14.08 and 14.09 of the Listing Requirements respectively. They are also made aware of the applicability of the insider trading laws at all times.

Fees payable to the Manager

The methodology for computing the fees payable to the Manager is contained in Clause 18 of the Trust Deed, details of which are disclosed under Notes to Financial Statements.

The Management Fees, which are contained in Clause 18 of the Trust Deed, are fees earned by the Manager for the management of CMMT's portfolio. The Management Fees are fees earned by the Manager for the management of CMMT's portfolio. The Management Fee should be viewed holistically as a whole which comprise two components, namely the Base Fee and Performance Fee, which are elaborated further below:

Base Fee

The Base Fee enables the Manager to cover operational and administrative overheads incurred in the management of the portfolio. The Base Fee is calculated at a percentage of assets value as the asset value provides an appropriate metric to determine the resources for managing the assets.

CORPORATE GOVERNANCE

Performance Fee

The Performance Fee is calculated in reference to the net property income before payment of the Management Fee, for each Distribution Period based on the unaudited or as the case may be, the audited accounts of the Trust determined for the relevant Distribution Period but subject to reconciliation to the amount calculated by reference to the audited account of the Trust for the relevant Financial Year.

In addition, the Manager is also paid an Acquisition Fee or a Divestment Fee upon the successful completion of an acquisition or divestment respectively. Further details on the Acquisition Fee and Divestment Fee are provided below:

Acquisition Fee

The Acquisition Fee is contained in Clause 18.3 of the Trust Deed, is earned by the Manager upon the successful completion of an acquisition. This fee seeks to motivate and compensate the Manager for its efforts expended to continually seek out and acquire Distribution Per Unit accretive assets to increase longer term returns for Unitholders. In addition, the Acquisition Fee allows the Manager to recover the additional costs and resources incurred by the Manager in the course of seeking out new acquisition opportunities, including but not limited to, due diligence efforts and man hours spent in evaluating the transaction.

Divestment Fee

The Divestment Fee, which is contained in Clause 18.3 of the Trust Deed, is earned by the Manager upon the completion of a divestment. This fee seeks to motivate and compensate the Manager for its efforts expended to maximise value received by CMMT in the event of a divestment. In addition, the Divestment Fee allows the Manager to recover additional costs and resources incurred by the Manager for the divestment, including but not limited to due diligence efforts and man hours spent in marketing and maximising the divestment price.

Composition and Meeting Attendance in 2017

Board Members	Composition			Meeting Attendance		
	Audit Committee	Executive Committee	Corporate Disclosure Committee	Board Number of Meetings Held: 5	Audit Committee Number of Meetings Held: 4	Executive Committee Number of Meetings Held: 5
David Wong Chin Huat	–	–	Chairman	5	N.A.	N.A.
Low Peck Chen	–	Member	–	5	N.A.	5
Tan Siew Bee	Member	–	–	5	4	N.A.
Dr Peter Tay Buan Huat	–	–	–	5	N.A.	N.A.
Foo Wei Hoong	–	–	–	5	N.A.	N.A.
Tuan Haji Rosli Bin Abdullah	Chairman	–	–	5	4	N.A.
Ng Chih Kaye	Member	–	–	5	4	N.A.
Jason Leow Juan Thong ¹	–	Chairman	Member	5	N.A.	5
Ng Kok Siong	Member	Member	Member	3	3	5
Ronald Tay Boon Hwee ²	–	Chairman	Member	N.A.	N.A.	N.A.

N.A. – Not applicable

¹ Resigned as a Director, Chairman of the Executive Committee and a Member of the Corporate Disclosure Committee with effect from 1 January 2018.

² Appointed as a Director, Chairman of the Executive Committee and a Member of the Corporate Disclosure Committee with effect from 1 January 2018.

Training programmes, seminar and conferences attended by the Directors during FY 2017 were:

- ▼ Sustainability Forum for Directors/CEO – The Velocity of Global Change and Sustainability (Bursa Securities)
- ▼ Briefing on the new Companies Act 2016 (Messrs Arianti Dipendra Jeremiah)
- ▼ Conference on EMTechAsia “Emerging Technology Singapore” (MIT Technology)
- ▼ Assessor Certification Program for FAA Individual Accreditation (FAA)
- ▼ Seminar on Ecosystems Matter on Asian Corporate Governance Association (MINDA & ICLIF)
- ▼ Seminar on Understanding Liquidity Risk Management in Banking (FIDE & BNM)
- ▼ Audit Committee Conference (MIA & IIAM)
- ▼ MFRS 9: What the Board of Directors Need to Know About MFRS 9
- ▼ Advanced Business Management Programme on Managing Business Transformation in Uncertain Times (SIDC & IMB)
- ▼ Seminar on Corporate Governance for Development Financial Institutions (FIDE & ICLIF)
- ▼ Cyber Security Risk Management for the Boardroom and C-Suites (MINDA)
- ▼ Efficient Inefficiency on Making Board Effective in a Changing World – Professor Jeffrey Sampler (FIDE & BNM)
- ▼ Fintech on Opportunities for the Financial Services Industries in Malaysia (FIDE & BNM)
- ▼ Update on New Companies Act 2016 (Skrine & Co)
- ▼ Talent to Value Workshop by PNB Training Institute and Sandy Ogg of CEO Works
- ▼ Banks in the Digital Economy (Securities Commission)
- ▼ Crisis Proofing on Tackling Challenges Ahead with Practical Legal Measures (LHAG)
- ▼ Talk on Paying the Price for Fraudulent Trading (LHAG)
- ▼ Talk on Protecting Your Trade Mark – How Not Lose It (LHAG)
- ▼ Seminar on Fraud Risk Management Workshop (PWC)
- ▼ Arbitration Tips and Traps for Corporate Counsel (LHAG)
- ▼ In-house training on “CapitaLand Leaders Summit 2017” by CapitaLand Limited (CL)
- ▼ Seminar on Valuation on Mergers and Acquisitions by Malaysia Institute of Accountants (MIA)
- ▼ Seminar on Companies Act 2016: Practical Insights on Compliance by Malaysian Institute of Accountants (MIA)
- ▼ In-house training on “21st Century Corporate Governance” (MINDA)
- ▼ Malaysian Institute of Accountants 50th Anniversary Commemorative Lecture – Integrity: The Game Changer (MIA)
- ▼ 2nd Annual Aerotropolis Asia on Successful City of the Future (Trueventus)
- ▼ ProcureCon Asia 2017 on IT Spend Focus Day (ProcureCon Asia)
- ▼ AMLATFPUAA 2001 for Directors – Risks, Challenges and Vulnerabilities Towards Regulatory Compliance (Vision Business Solutions Sdn. Bhd.)
- ▼ Kuala Lumpur International Airport on Long Term Traffic Forecast Review, Terminal Capacity and Level of Service Assessment (IATA)
- ▼ Seminar on Equity Crowdfunding (ACCA)
- ▼ Leveraging Technology for Growth (FIDE BNM & Securities Commission)
- ▼ INSOL International (INSOL)
- ▼ Seminar on Leading Change @ The Brain Dr Thun Thamrongnawasawat (ICLIF & Bursa Securities)
- ▼ Seminar on Cyber Risk Management : A Primer for Directors (SIDC)
- ▼ 2017 Biz+ Seminar: “How to Win the Digital Minds & Analogue Hearts & Even Stomachs of Tomorrow’s Customer” (CL)
- ▼ Seminar on Shape Malaysia’s Future of Work (Talent Corporation Malaysia Berhad)
- ▼ Malaysian Institute of Accountants International Accountants Conference 2017 (MIA)

CORPORATE GOVERNANCE

Key Management Personnel's Remuneration Table for the Financial Year Ended 31 December 2017

Total Remuneration Bands	Salary Inclusive of AWS and Employer's EPF	Bonus and other Benefits inclusive of Employer's EPF ¹	Award of Units ²	Total
Above RM1,800,000 – RM1,850,000				
Low Peck Chen	38%	29%	33%	100%
Key Officers				
Lawrence Teh Cheng Poh				
Tan Feng Ching Fern	55%	27%	18%	100%
Yap Mei Wan Grace				
Yue Pei San				
Total for CEO and Key Officers		RM5,288,156		

¹ The amounts disclosed include bonuses earned and the other incentive plans which have been accrued for in FY 2017.

² The unit awards are based on the fair value of the units comprised in the contingent awards under the CapitaLand Restricted Share Plan 2017 (RSP) and Performance Share Plan 2017 (PSP) at the time of grant. The final number of units released under the contingent awards of units for RSP and PSP will depend on the achievement of pre-determined targets and subject to the respective vesting period under RSP and PSP.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

INTRODUCTION

Paragraph 15.26(b) of the Listing Requirements requires the board of directors of any given publicly listed issuer to include in its annual report a 'statement about the state of internal control of the listed issuer as a group' and the Board is guided by the Statement on Risk Management and Internal Control: Guidelines for Directors of Listed Issuers.

BOARD'S RESPONSIBILITY

In discharging the Board's stewardship responsibilities, the Board assumes the responsibility for the system of internal controls and risk management as set up by the Manager for CMMT. The Board is responsible for the adequacy and integrity of the system of risk management and internal controls. It is an essential part of the Board's responsibilities to identify principal risks, formulate the risk appetite of CMMT Group, set the key risk indicators/thresholds and ensure that appropriate systems and policies are in place to manage these risks and review the adequacy and integrity of such internal controls system and policies. However, the Board acknowledges that no system of risk management and internal controls can provide absolute assurance in this regard, or absolute assurance against poor judgment in decision making, human error, losses, fraud or other irregularities. A sound system of risk management and internal controls therefore provides a reasonable but not absolute assurance that CMMT Group will not be significantly affected by any event that can be reasonably foreseen as it strives to achieve its business objectives.

RISK MANAGEMENT

Effective risk management is a fundamental part of CMMT's business strategy. The key risks and control measures are described on pages 53 to 54. Recognising and managing risk is central to CMMT's business and to protect Unitholders' interests and value. CMMT operates within guidelines and parameters set by the Board for the Manager and CMMT. Based on the risk and control self assessment (RCSA), transactions are analysed to understand the risks involved. Responsibility for managing risk lies initially with the business unit concerned, working within the overall strategy endorsed by the Board.

The Manager's focus on risk management recognises that risk management is, prima facie, an issue for management. The risk management framework supports this focus but provides a structured context for Management to undertake a review of the past performance, and to profile the current and future risks it faces within its areas of responsibility. This risk information is consolidated and used as key input into the risk management review sessions which are held at least once a year to review CMMT's

strategic direction in detail, and include specific focus on the identification of key businesses and financial risks which could prevent CMMT from achieving its objectives. Management is then required to ensure that appropriate controls are in place to effectively manage those risks, and such risks and controls are monitored by the EXCO and AC respectively on a quarterly basis and by the Board annually. The internal audit plan is developed in conjunction with the risk management programme and is focused on ensuring that the operation of internal controls and assessment reflects the effectiveness and efficiency of the control environment.

The Manager has determined that significant risks for CMMT will likely arise when making property investment decisions and have identified these in the RCSA. Accordingly, the Manager has established procedures to be followed when making such decisions. In accordance with these procedures, the Board requires comprehensive due diligence to be carried out in relation to any proposed investment and a suitable determination is made as to whether the anticipated return on the proposed investment is appropriate, having regard to the level of risk.

The Board usually meets quarterly, or more often if necessary, to review and approve the financial performance of the Manager and of CMMT Group against a previously approved budget. The Board also reviews the risks to the assets of CMMT Group and acts upon any comments by the auditors of CMMT. In assessing business risks, the Board considers the economic environment and property industry risks. The Board and its EXCO review and approve all investment decisions and key treasury matters. Management meets monthly to review the operations of the Manager and CMMT and discuss continuous disclosure issues.

The Manager has a risk identification and management framework for CMMT Group. The Manager proactively identifies and addresses risks in CMMT Group. The ownership of these risks lies with the CEO and function heads of the Manager with stewardship residing with the Board. The EXCO and AC assist the Board to oversee management in the formulation, updating and maintenance of an adequate and effective risk management framework while the Board reviews the adequacy and effectiveness of the system of risk management and internal controls.

KEY INTERNAL CONTROL PROCESSES

The Manager has put in place systems of internal control and a set of procedures and processes to safeguard the assets of CMMT and interest of Unitholders as well as to manage risk. These are described in the following paragraphs.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

The Manager performs a RCSA exercise and maintains a risk register which identifies the material risks faced by the CMMT Group and the internal controls in place to manage or mitigate those risks. The risk register is reviewed and updated at least once a year by the CEO and function heads of the Manager and is also reviewed quarterly by the EXCO and AC and annually by the Board. The EXCO is tasked to review and it is reported to the AC as to what approach is taken in identifying and assessing risks and internal controls under the RCSA. The Manager has established an approach on how risk appetite is defined, monitored and reviewed for CMMT Group. Approved by the Board, CMMT Group's Risk Appetite Statement (RAS) incorporates the risk limits and addresses the management of material risks faced by the CMMT Group. Alignment of the CMMT Group's risk profile with the RAS is achieved through various communication and monitoring mechanisms (including key performance indicators set for Management) put in place across the various functions by the Manager. Internal and external auditors conduct audits that involve testing the effectiveness of the material internal control systems for CMMT Group including testing, where practical, material internal controls in areas managed by external service providers. Any material non-compliance or lapses in internal controls together with proposed corrective measures by internal auditors are reported to the Audit Committee. The system of risk management and internal controls is continually being refined by the Manager and reported to the AC and the Board for their approval.

The Board has also received assurance from the CEO and Head of Finance of the Manager that the risk management and internal control systems in place within the CMMT Group are adequate and effective in addressing the material risks in the CMMT Group in its current business environment including material financial, operational, compliance and information technology risks.

The CEO and Head of Finance of the Manager have obtained similar assurances from the function heads of the Manager.

The Board has adopted a set of internal controls which sets out the authority limits for investments and divestments, acceptance of banking facilities or treasury products, budgetary approval, capital and operating expenditure, lease renewals, marketing, professional services expenditure and other operational matters. The Board approves transactions exceeding certain threshold limits, while delegating authority for transactions within those limits to authorised personnel to facilitate operational efficiency. Only authorised personnel are empowered to approve a transaction (including payments) on behalf of the Board.

Internal control procedures are established to ensure that related party transactions are undertaken in compliance with the REITs Guidelines, the Listing Requirements and the Deed and are carried out on an arm's length basis and on normal commercial terms, which are in the best interest of the Unitholders. The Manager incorporates into its annual internal audit plan a review of all related party transactions. These established procedures are further explained on pages 42 to 43.

Policies, guidelines and processes are established for dealing with any potential conflicts of interest. This is explained in further detail on pages 44 to 45. In order to deal with any potential conflict of interest situations that may arise, the Manager's policy is that any such transactions carried out for and on behalf of CMMT shall be executed on terms that are the best available to CMMT and which are no less favourable to CMMT than transactions between independent parties. The Manager has outsourced its internal audit function to CapitalLand (CL IA) which reports directly to the AC.

CL IA subscribes to, and is guided by, the International Standards for the Professional Practice of Internal Auditing (Standards) developed by the Institute of Internal Auditors and has incorporated these Standards into its audit practices. To ensure that internal audits are performed by competent professionals, CL IA recruits and employs suitably qualified professional employees with the requisite skill set and experience relevant to the CMMT Group. For instance, CL IA employees who are involved in Information Technology (IT) audits are Certified Information System Auditors and members of the Information System Audit and Control Association (ISACA) in the United States of America. The ISACA Information System Auditing Standards provide guidance on the standards and procedures to be applied in IT audits. CL IA identifies and provides training and development opportunities for its employees to ensure that their technical knowledge and skill set remain current and relevant.

The AC reviews the internal audit reports and activities on an on-going basis. The AC also reviews and approves the annual internal audit plan with respect to CMMT. The AC is of the view that the internal audit department is adequately resourced to perform its functions and has, to the best of its ability, maintained its independence from the activities that it audits. Information about CL IA is on page 40.

The scope of the internal audit function for FY 2017 included the following:

- (a) Carried out scheduled audit assignments in accordance with the 2017 annual internal audit plan approved by the AC;
- (b) Reported to the AC on key findings and management's agreed actions;
- (c) Updated the AC on the implementation status of management's agreed actions on a quarterly basis;
- (d) Reviewed related party transactions and presented the findings of the review to the AC on a quarterly basis;
- (e) Investigated various matters when required and as directed by the AC; and
- (f) Prepared the 2018 annual internal audit plan for submission to the AC for approval.

The AC has put in place a whistle blowing policy to provide employees of the Manager and CMMT with procedures and accessible channels to report suspected fraud, corruption, dishonest practices or other similar matters relating to CMMT and the Manager and for independent investigation of any reports by employees and appropriate follow up action. This whistle blowing policy has been established to promote fraud awareness and to encourage the reporting of such matters in good faith, with the confidence that employees making such reports will be treated fairly and, to the extent possible, be protected from reprisals. The whistle blowing policy adopted is further explained on page 30.

The AC reviews, monitors and evaluates the effectiveness and adequacy of CMMT's internal controls and financial and risk management issues raised by the external and internal auditors, regulatory authorities and Management. The AC also reviews written reports issued by the internal and external auditors, and ensures that appropriate and prompt remedial actions are taken by Management where deficiencies in internal controls have been identified. In FY 2017 the issues raised were attended to and responded by Management to the internal and external auditors with agreed actions to be undertaken by Management. The AC also convenes meetings with both external and internal auditors without the presence of Management.

In addition, the AC has undertaken an assessment of the scope, functions and competency of the internal audit function. The AC also reviews and evaluates the procedures established to ensure compliance with applicable legislation, the Listing Requirements and the REITs Guidelines.

The Board reviews and approves, inter alia, the following reports from Management, upon recommendation of the AC and EXCO, on a periodic basis:

- (a) CMMT Group's quarterly financial results and major variance explanation against the approved budget for the relevant period;
- (b) Status update of major asset enhancement works carried out on the properties as planned;
- (c) Status update of treasury matters including debt profile, maturity and interest rate management; and
- (d) Status update of other operational matters.

Based on these reviews, the Board opined, with the concurrence of the AC, that there are adequate internal controls in place within CMMT Group addressing financial, operational, compliance and information technology risks.

ENTERPRISE RISK MANAGEMENT

Risk management is an integral part of CMMT Group's business at both the strategic and operational levels. A proactive approach to risk management supports the attainment of CMMT Group's business objective and strategy, thereby creating and preserving value.

The Manager recognises that risk management is just as much about opportunities as it is about threats. To capitalise on opportunities, the Manager has to take measured risks. Risk management is not about pursuing risk minimisation as a goal, but rather optimising the risk-reward relationship within known and agreed risk appetite levels. The Manager therefore takes risks in a prudent manner for justifiable business reasons.

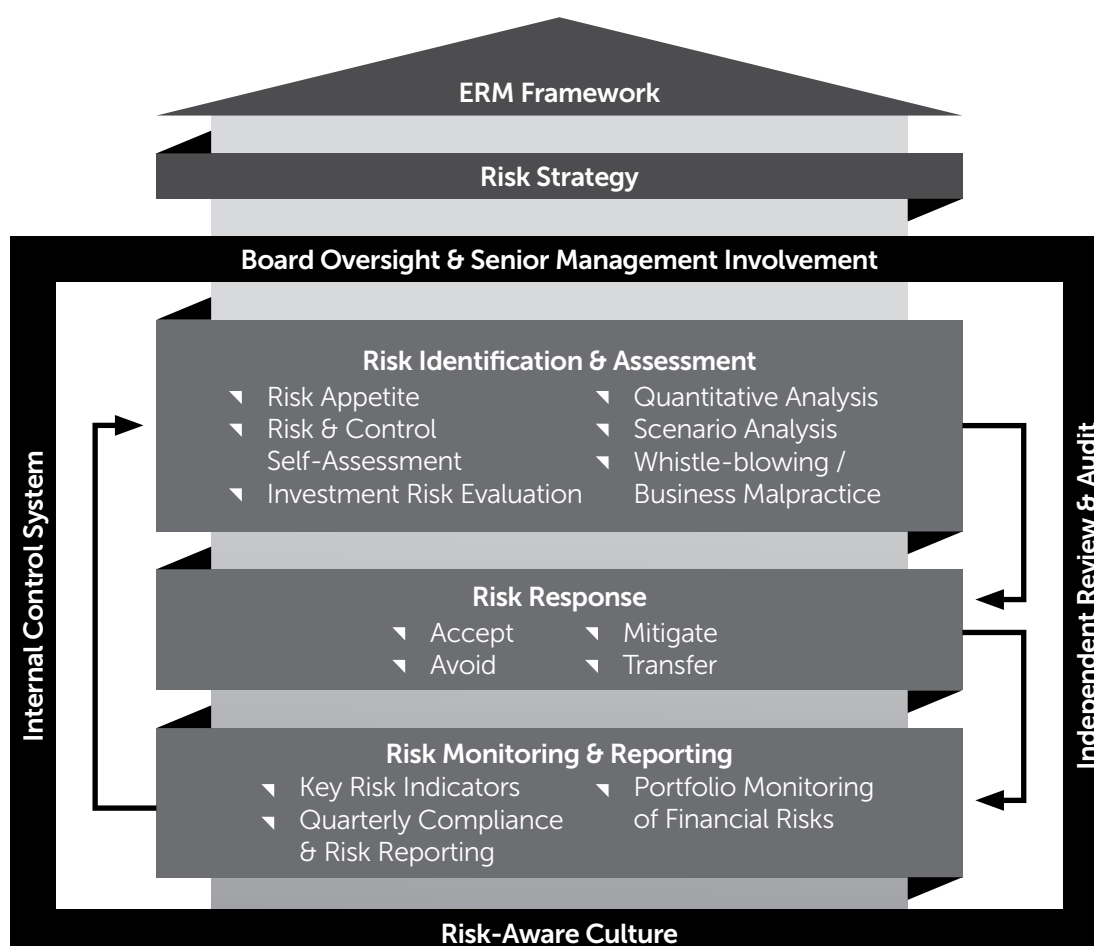
The Board is responsible for the governance of risk across CMMT Group. The responsibilities include determining CMMT Group's risk appetite, overseeing the Manager's Enterprise Risk Management (ERM) Framework, regularly reviewing CMMT Group's risk profile, material risks and mitigation strategies, and ensuring the adequacy and effectiveness of risk management framework and policies.

For these purposes, it is assisted by the EXCO and AC which provide dedicated oversight of risk management at the Board level.

The EXCO currently comprises three non-independent Board members while the AC comprises three independent Board members and one non-independent Board member. Both the EXCO and AC meet on a quarterly basis. The EXCO and AC meetings are attended by the CEO as well as other key management staff of the Manager.

The Board approves CMMT Group's risk appetite, which determines the nature and extent of material risks that the Manager is willing to take to achieve CMMT Group's strategic and business objectives. CMMT Group's Risk Appetite Statement (RAS) is expressed via formal, high-level and overarching statements and accompanying risk limits which determine specific risk boundaries established at an operational level. Having considered the key stakeholders' interests, the RAS sets out explicit and forward-looking views of CMMT Group's desired risk profile and is aligned to CMMT Group's strategic and business plans.

ENTERPRISE RISK MANAGEMENT FRAMEWORK



The Manager's ERM Framework is adapted from the International Organization for Standardization Organisation (ISO) 31000 International Risk Management Standards, and makes reference to the Committee of Sponsoring Organizations of the Treadway Commission (COSO) Internal Control-Integrated Framework and the other relevant best practices and guidelines. It sets out the required environmental and organisational components which enable the Manager to manage risks in an integrated, systematic and consistent manner. The ERM framework and related risk management policies are reviewed annually and have been validated by external consultants.

A robust internal control system and an effective, independent review and audit process are the twin pillars that underpin the Manager's ERM Framework. While the line management is responsible for the design and implementation of effective internal controls using a risk-based approach, the outsourced Internal Audit function from CapitaLand reviews such design and implementation to provide reasonable assurance to the AC on the adequacy and effectiveness of the internal control system.

The Manager believes that having the right risk culture and people with the right attitude, values and knowledge are fundamental to CMMT Group's success. Therefore, the Manager works closely with CapitaLand's Risk Assessment Group to proactively enhance risk management knowledge by conducting regular workshops for all levels and functions, and to promote a culture of risk awareness which embeds risk management principles in the decision-making and business processes.

Annually, the Manager facilitates and coordinates CMMT Group's Risk and Control Self-Assessment (RCSA) exercise that requires the respective risk owners to proactively identify, assess and document material risks as well as the corresponding key controls and mitigating measures needed to address them. Material risks and their associated controls are consolidated and reviewed by the Manager before they are presented to the EXCO, AC and the Board.

MANAGING MATERIAL RISKS

The Manager undertakes an iterative and comprehensive approach to identifying, managing, monitoring and reporting material risks across CMMT Group. Such material risks include:

Business Interruption Risk

CMMT Group is exposed to business interruption risk arising from sudden and major disaster event such as fire, prolonged power outages or other major infrastructure failures which may significantly disrupt operations at our malls or data centres. The Manager manages such risks through proactive facilities management (for example, routine inspection and scheduled maintenance) and having crises management procedures at each property. In addition, the centralised Group Technology (GT) team from CapitaLand has a defined disaster recovery plan which is reviewed and tested annually.

Competition Risk

CMMT Group faces keen competition from established players, online businesses and new market entrants which are likely to affect shopper traffic and tenants' sales. The Manager adopts a relentless approach to strengthening CMMT Group's competitiveness through optimising tenant mix, differentiating its products and service offerings, refreshing mall concepts, and undertaking asset enhancement initiatives. The Manager also promotes tenant and customer loyalty through customer-centric initiatives and shopper loyalty programmes to generate sustainable demand for our retail space.

Credit Risk

Credit risk is the potential volatility in earnings caused by tenants' failure to fulfill their contractual lease payment obligations, as and when they fall due. The Manager has in place a stringent collection policy to ensure that credit risk is minimised. In addition to the requirement for upfront collection of security deposit of an amount typically equivalent to three months' rent, the Manager also establishes vigilant debt monitoring and proactive collection procedures.

Economic Risk

CMMT Group is exposed to economic, financial and property markets developments in Malaysia. These developments may reduce revenue, increase costs and result in downward revaluation of our assets. Market illiquidity during a financial crisis makes asset investment and/or divestment challenging and this can affect CMMT Group's investment and strategic objectives. The Manager manages this by adopting a disciplined approach to financial management and having a well-balanced portfolio with its malls being established as necessity shopping malls.

ENTERPRISE RISK MANAGEMENT

Information Technology (IT) Risk

IT comprises cyber risk, information security risk and technology infrastructure risk. IT is an integral part of CMMT Group's business and security of sensitive information (e.g. shopper/tenant details and financial information) is crucial. Increasing threats to information security like hacking, website defacement, etc may pose risk of data leakage and damage to CMMT Group's reputation. With increased reliance on IT as a business enabler, the centralised GT team from CapitaLand has in place Group-wide policies and procedures which set out the governance and control systems for IT risks, including cyber risks. Appropriate measures are in place to ensure the confidentiality, integrity, and availability of CapitaLand's information assets. This includes implementing access controls; building up data security; raising staff's IT Security awareness through activities such as phishing campaigns, and conducting IT disaster recovery exercise annually to ensure business recovery objectives are met.

Interest Rate Risk

Some of CMMT Group's existing debts carry floating interest rates, and consequently, the interest cost for such loans will be subject to fluctuations in interest rates. Interest rate risk is managed on an ongoing basis through regular reviews on the optimal mix of fixed and floating rate borrowings, with the primary objective of minimising the impact on net interest expenses that is caused by adverse movements in interest rates. The Manager also proactively seeks to minimise the level of interest rate risk by locking in most of the borrowings of CMMT Group at fixed rates. If required, the Manager will enter into hedging transactions to mitigate the risk of such interest rate fluctuations through the use of interest rate swaps.

Investment Risk

The main sources of growth for CMMT Group are AEI and acquisition of properties. The risks involved in such investment activities are managed through a rigorous set of investment criteria which includes potential for growth in yield, rental sustainability and potential for value creation. The Manager conducts due diligence reviews in relation to any investment or divestment proposal, and performs risk assessments on major investments where key financial assumptions are reviewed and sensitivity analysis are performed on key variables. The potential risks associated with proposed projects and the issues that may prevent their smooth implementation or attainment of projected outcomes are identified at the evaluation stage. This is to enable the Manager to devise action plans to mitigate such risks as early as possible.

Liquidity Risk

The Manager actively monitors the cash flow position of CMMT Group to ensure that there is sufficient liquid reserves, in the form of cash and banking facilities, to finance CMMT Group's operations and AEIs. Given CMMT Group's reliance on external sources of funding, the health of the debt markets directly affects CMMT Group. In addition to the banking facilities, CMMT Group has access to the debt market through its Medium Term Notes (MTN) Programme to raise funds for (a) investment activities which include acquisitions and capital expenditure (including AEIs) and/or (b) refinancing of existing and/or future debts. CMMT Group's ability to raise funds from both banks and capital markets has enabled it to minimise over-reliance on a single source of funds for any funding or refinancing requirements. The Manager will continue to proactively manage the capital structure of CMMT Group by ensuring its debt maturity profile is spread out without major concentration of debts maturing in a single year, and maintaining an optimal aggregate leverage. The Manager also monitors covenants closely to ensure compliance.

Leasing Risk

Strong competition, poor economic and market conditions are some of the key factors that could result in key tenants not renewing their leases, and adversely affecting the leasing performance of CMMT's properties. The Manager establishes a diversified tenant base and sustainable trade mix and has in place proactive tenant management strategies which are in line with the malls' positioning. It is also the Manager's priority to closely monitor tenants' sales performance and maintain positive relationships and rapport with retailers to build their loyalty to CMMT Group's malls.

Regulatory & Compliance Risk

Due to the nature of CMMT's business, CMMT is required to comply with the applicable and relevant legislation and regulations that include the Capital Markets and Services Act 2007, the Main Market Listing Requirements of Bursa Malaysia Securities Berhad, the Securities Commission's Guidelines on Real Estate Investment Trusts and the tax rulings issued by the Inland Revenue Board of Malaysia on the taxation of CMMT and its Unitholders. The Manager has in place a robust framework that proactively identifies applicable laws and regulatory obligations, which in addition to the above also includes the Companies Act 2016, and embeds compliance into the day-to-day operations.

INVESTOR AND MEDIA RELATIONS

An effective investor and media relations strategy is vital in order to bridge the information gap between management and investors, analysts, brokers and the media, and thus facilitate the fair valuation of CMMT's units.

CMMT's investment proposition and performance is communicated through various mechanisms, such as news releases, its website, media and analyst briefings, one-on-one meetings, conferences, roadshows, site visits and email alerts. Briefing sessions are conducted for analysts, investors and the media on a half yearly basis for quarterly results and on an ad hoc basis for material transactions and developments relating to CMMT. Mall tours are conducted

occasionally for analysts and investors who are keen to visit CMMT's properties to further enhance their understanding of the respective mall's market positioning, tenant mix and operations, as well as of any past or planned AEs.

Announcements, press releases, presentations, circulars and annual reports are uploaded to both CMMT's and Bursa Securities' websites. CMMT's unit price performance information is also available on CMMT's website with 15-minutes lag time. The general public can also post questions to CMMT via an 'Ask Us' email and queries are answered accordingly.

Investor and Media Relations Calendar 2017

1st Quarter	- Full year 2016 Results Press Release and Media and Analysts' Results Briefing/Conference Call - Annual General Meeting
2nd Quarter	1Q 2017 Results Press Release and Analysts' Results Briefing/Conference Call - Engagement with institutional investors (Non Deal Roadshow in Kuala Lumpur and Singapore)
3rd Quarter	1H 2017 Results Press Release and Media and Analysts' Results Briefing/Conference Call - Engagement with institutional investors (Non Deal Roadshow in Bangkok)
4th Quarter	3Q 2017 Results Press Release and Analysts' Results Briefing/Conference Call - CapitaLand Volunteer Day in Malaysia and My Schoolbag Event Press Release

UNITHOLDERS' ENQUIRIES

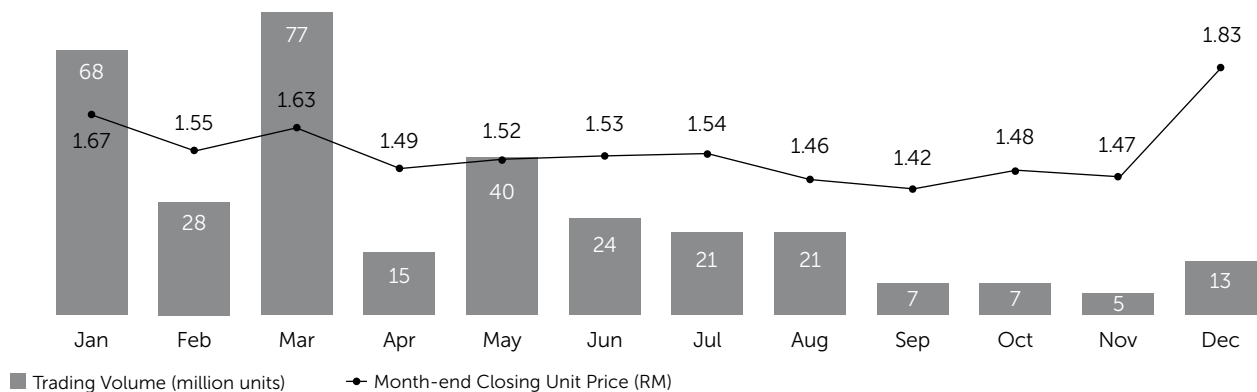
If you have any enquiries or would like to find out more about CMMT, please contact:

Jasmine Loo
Investor Relations

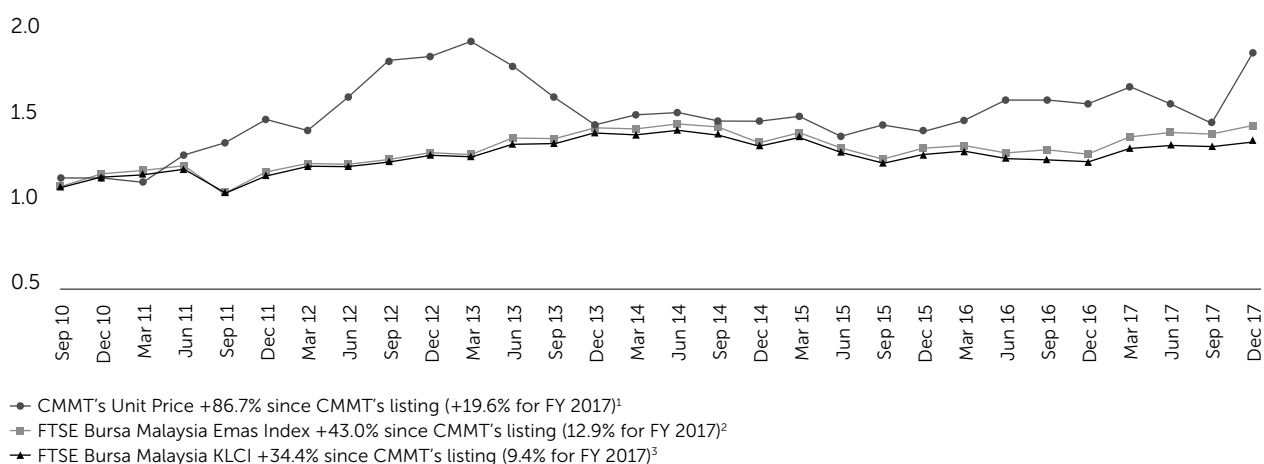
Tel: +60 3 2279 9888
Fax: +60 3 2279 9889
E-mail: ask-us@cmmt.com.my
Website: www.cmmt.com.my

UNIT PRICE PERFORMANCE

CMMT's Monthly Trading Performance for 2017

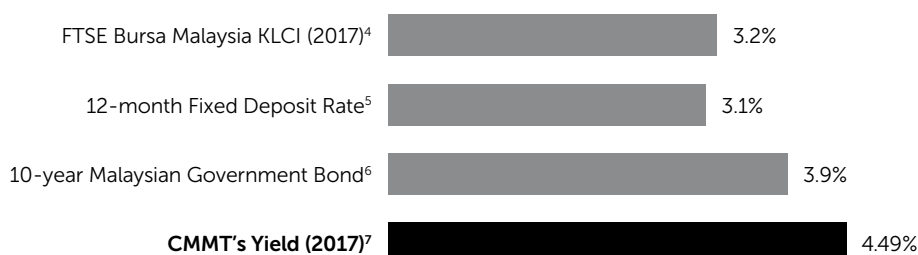


CMMT's Unit Price versus Performance Benchmarks



- 1 Based on the opening unit prices of RM0.98 on 16 July 2010 and RM1.53 on 3 January 2017 and the closing unit price of RM1.83 on 29 December 2017.
- 2 Based on the opening index values of 9,020 on 16 July 2010 and 11,467 on 3 January 2017 and the closing index value of 12,943 on 29 December 2017.
- 3 Based on the opening index values of 1,334 on 16 July 2010 and 1,642 on 3 January 2017 and the closing index value of 1,797 on 29 December 2017.

Comparative Yields



- 4 Dividend Yield of FTSE Bursa Malaysia KLCI as at 29 December 2017 (Source: Bloomberg).
- 5 Average 12-month Fixed Deposit Rate (RM) as at 29 December 2017 (Source: Bloomberg).
- 6 10-year Malaysian Government Bond as at 29 December 2017 (Source: Bloomberg).
- 7 Based on the DPU of 8.22 sen for FY 2017 and the closing price of RM1.83 on 29 December 2017.

SUSTAINABILITY MANAGEMENT

ABOUT CMMT

Listed on the Main Market of Bursa Malaysia Securities Berhad (Bursa Securities) on 16 July 2010, CMMT is a shopping mall-focused REIT in Malaysia with an income-producing and geographically-diversified portfolio of five shopping malls and a complementary office block. As at 31 December 2017, CMMT had a market capitalisation of approximately RM3.7 billion and its portfolio was independently valued at approximately RM4.0 billion.

REPORTING SCOPE AND PERIOD

This report covers CMMT's portfolio from 1 January to 31 December 2017, which is aligned with CMMT's financial year.

SUSTAINABILITY COMMITMENT

As CMMT is part of CapitaLand Group (CapitaLand or CL Group), the Manager has aligned and adopted CapitaLand's established sustainability structure and framework of policies and guidelines, as well as ethics and code of business conduct for CMMT where relevant and appropriate.

CMMT's sustainability focus is aligned with CapitaLand's, which is based on its credo 'Building People. Building Communities.' And is integrated with CMMT's asset and portfolio strategies, daily operations management and stakeholder engagements. There is regular review, assessment and feedback in the areas of environment, social and governance (ESG) in line with CapitaLand's practices.

TOP MANAGEMENT SUPPORT AND STAFF INVOLVEMENT

Members of CapitaLand's top management constitute a Sustainability Council which oversees sustainability management and receives support from its Sustainability Steering Committee (SSC). Representatives from all CapitaLand's business units (BUs) formed the SSC and two working teams. SSC manages the working teams with the aim of furthering CapitaLand's progress in terms of ESG performance. The Chief Executive Officers of the BUs are responsible for their respective BU Environmental, Health and Safety (EHS) performance in their role as BU EHS Champions.

The Manager identifies and reviews material issues which could have significant impact to CMMT's business and operations as well as others derived through regular stakeholder engagements.

MATERIALITY

Through regular stakeholder engagement, the Manager identifies and reviews material issues that are most relevant and significant to its stakeholders. Priorities are ranked based on the likelihood and potential impact of issues affecting business continuity and development. For external stakeholders, priority is given to issues important to society and applicable to CMMT. The Manager therefore prioritises its sustainability efforts and reporting on issues that are most material to its business and stakeholders. The following areas are the issues that are most material to CMMT:

Financial Performance

For detailed financial results and performance, please refer to the following sections of this Annual Report – Financial Highlights (page 3), 2017 Highlights (page 2), Financial Review (pages 70 to 72) and Financial Statements (pages 101 to 154).

Governance

The Manager is committed to the highest level of corporate governance and transparency in its policies and processes. We see governance as essential for the sustainable value and success of CMMT and to be in the best interests of our Unitholders. For details on CMMT's Corporate Governance, please refer to pages 24 to 48 of this Annual Report.

As a member of the Malaysian Investor Relations Association (MIRA) and The Malaysian REIT Managers Association (MRMA), CMMT actively participates and supports the activities organised by these associations.

Enterprise Risk Management (ERM)

An integral part of good corporate governance, a comprehensive ERM framework enables CMMT to proactively identify, communicate and manage risks and exposures in an integrated, systematic and consistent manner. In driving risk awareness, decision-making and business processes are put through prudent risk assessment. Fraud and corruption risks and property management risk have been identified as material to ensure sustainability. Details on ERM can be found on pages 52 to 54 of this Annual Report.

STAKEHOLDER ENGAGEMENTS

Stakeholders are the groups that our business has a significant impact on and those with a vested interest in our operations. CMMT's key stakeholders include shoppers, tenants, suppliers, investors, employees and the local community. Through the various engagement channels, CMMT seeks to understand our stakeholders' views, communicate effectively with them and respond to their concerns.

SUSTAINABILITY MANAGEMENT



▼ SHOPPERS

Why We Engage

To increase stickiness with local communities and followers online and convert to offline shoppers

Issues/Interests

- ▼ Shopping malls with local communities' engagement
- ▼ Increase usage trend in Uber and Grab
- ▼ Increase online store offerings by tenants
- ▼ Shopping rewards

How We Engage

- ▼ Social media content management and engagement strategy skewed towards interest and lifestyle of shoppers and communities
- ▼ Loyalty programmes new offering – car park rebates
- ▼ Experiential events and offline engagement with social media influencers
- ▼ Increase partnerships with Uber and Grab



▼ TENANTS

Why We Engage

To understand our tenants' needs and support tenants' initiatives to help drive shopper traffic

Issues/Interests

- ▼ Embark on CapitaStar loyalty programmes
- ▼ Opening of new shops/malls
- ▼ Introduce tenants' new offerings and new concept stores
- ▼ Knowledge sharing

How We Engage

- ▼ Biz+ Series event
- ▼ Extend social media influencers engagements to tenants' offerings
- ▼ Extend CapitaStar recruitment initiatives to tenants' customers



▼ SUPPLIERS

Why We Engage

To be a fair and reasonable buyer of goods and services and sharing industry best practices

Issues/Interests

- ▼ Fair and reasonable treatment
- ▼ Ensure alignment with ESG objectives

How We Engage

- ▼ Term contractor/vendor evaluation system
- ▼ Standard operating procedures, guidelines and house rules for compliance
- ▼ Share CapitaLand's EHS policy with suppliers
- ▼ Collaborate with suppliers to handle EHS challenges



▼ INVESTORS

Why We Engage

To create an informed perception of CMMT and manage investors' expectations

Issues/Interests

- ▼ Business performance
- ▼ Business expectations and strategy
- ▼ Economic, social and environmental concerns

How We Engage

- ▼ Annual general meetings
- ▼ Bursa Securities announcements
- ▼ Annual reports, results briefings to analysts and media
- ▼ Website updates
- ▼ Roadshows, conferences and meetings
- ▼ CMMT mall tours



▼ EMPLOYEES

Why We Engage

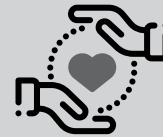
To develop employees to achieve optimal levels, align their personal goals with company performance and create a positive work environment for them

Issues/Interests

- ▼ Communicating business strategy and developments
- ▼ Reward and recognition
- ▼ Training and development
- ▼ Employee wellbeing

How We Engage

- ▼ Intranet, emails, staff communication
- ▼ Recreational and team building sessions
- ▼ Employee engagement surveys
- ▼ Performance appraisals
- ▼ Training courses



▼ COMMUNITY

Why We Engage

To contribute to the communities in which we operate in

Issues/Interests

- ▼ Philanthropy
- ▼ Environment

How We Engage

- ▼ Employee volunteerism
- ▼ Management of ESG issues
- ▼ Corporate social responsibility programmes

SUSTAINABILITY MANAGEMENT

CUSTOMERS

To reinforce our relationship with customers, we focused on key areas of social media content management, brand presentation and social media influencers engagement. Our social media content strategy was revised to increase organic growth of geo-targeted followers and content engagement. Content of social media was revamped and skewed towards lifestyle and community updates as well as observing feedback from our followers. We increased engagement with social media influencers and YouTubers to extend the reach of social media content particularly

content that were in relation to tenants' products and services, as well as our malls' campaigns. We tailored the CapitaStar rewards to skew towards seasonal festive, Asian culture as well as in-mall ongoing campaigns to ensure our members enjoyed extra privileges such as discounts and additional rewards when shopping at our malls. Car park rebates were introduced from June 2017 across Gurney Plaza, Tropicana City Mall, The Mines and East Coast Mall as one of the key initiatives to encourage patronage and stickiness.

ENVIRONMENT

CMMT is committed to environmental sustainability and the enhancement of value as a real estate owner. By leveraging on technologies and analytics in optimising the usage of energy, water as well as waste management across our properties, we believe that we can manage our business better and create long-term value for all stakeholders.

Having identified key environmental issues, CMMT keeps track of its performance to ensure its properties are on track to meet CL Group's targets.

Key Environmental Issue	CL Group's Targets	CMMT Performance 2017
Operational Efficiency	- Reduce carbon emissions intensity by 23% by 2020, and 30% by 2030. - Reduce energy intensity by 20% by 2020, and 25% by 2030 - Reduce water intensity by 20% by 2020, and 30% by 2030 (Using 2008 as base year)	Achieved 11.4% carbon emissions intensity reduction, 17.1% of Energy Intensity reduction and 21.1% water intensity reduction. (Using 2009 as base year)
Resources Consumption Management	To achieve Green Building ratings for all properties by 2020	Three CMMT malls – Gurney Plaza, The Mines and East Coast Mall – have achieved Green Mark Gold certification awarded by the Building and Construction Authority of Singapore
Environment Management System	- ISO 14001 certification - Risk management of environmental aspects and impacts	- Retained ISO 14001 certification - No environmental non-compliance
Stakeholder Engagement	Organise environmental outreach activities to cultivate an environmental mindset among stakeholders	- All CMMT malls participated in Earth Hour organised by CapitaLand - All CMMT malls participated in the recycling of waste programme

The Manager incorporated EHS key performance indicators linked to the remuneration of all staff, as well as top management. These include:

- ▼ **Energy and Water Usage Reduction:** The rainwater harvesting system, which provides the cooling towers and the restroom/urinal flushing system, has been operational since 2013 at Gurney Plaza, The Mines and East Coast Mall. Water efficient fittings (endorsed by the Water Efficiency Labelling Scheme) are installed in the restrooms.
- ▼ **Zero Fatality/Permanent Disability:** In 2017, no CMRM staff met with work-related fatality or permanent injury.
- ▼ **Stakeholder engagement initiatives:**
 - ▼ **Earth Hour: Pedal for Power Fun Ride**
In conjunction with Earth Hour in March, Tropicana City Mall joined Singapore, China, India and Japan malls under CapitaLand in creating awareness of green environment through the Pedal for Power Fun Ride. Approximately 401 cyclists joined this worthy cause in creating awareness of alternative transportation by clocking the earth's equatorial circumference of 40,075 km on bikes.
 - ▼ **Community Development:** On 28 Nov 2017, more than 150 staff volunteers participated the first Volunteer Day in Malaysia in conjunction with the inaugural philanthropic programme, My Schoolbag, by helping to refurbish three children charity homes in Kuala Lumpur, Penang and Kuantan. 322 underprivileged children benefited from a donation of school and daily necessities worth approximately RM165,000.
 - ▼ **Biz+ Series:** The 7th instalment of CapitaLand's Biz+ Series was organised in October 2017 and was about "Digilogue: How to Win the Digital Minds & Analogue Hearts and Even Stomachs of Tomorrow's Customers" by renowned futurist Anders Sorman-Nilsson. A special guest, the award-winning Chef Ian Kittichai, made a special appearance to share about his entrepreneurial journey and secrets in managing successful restaurants around the world.

Our People

As an externally managed REIT, CMMT has no employees and is managed by CMRM, the Manager of CMMT, a 70% indirect wholly owned subsidiary of CapitaLand. Meanwhile, Knight Frank Property Management Sdn. Bhd. is the property manager for Gurney Plaza, Tropicana City Mall and Tropicana City Office Tower, The Mines and East Coast Mall. Zaharin Nexcap Property Management Sdn. Bhd. manages CMMT's majority interest in Sungei Wang.

The teams behind the Manager and Property Managers responsible for property and portfolio operations in Malaysia are identified as people or employees that are integral to CMMT's success.

Fairness and Diversity

Both the Manager and the Property Managers have a common goal of developing a high performance culture that embraces diversity and teamwork.

The Manager and the Property Managers have in place an integrated human capital strategy designed to recruit, develop and motivate employees. It adopts stringent principles of fair employment and equal remuneration. Both define the human resource policy on equal opportunities and fair employment practices and all job applicants are treated fairly regardless of ethnicity, age or gender. The Manager and the Property Managers adhered to CapitaLand Group's policies on non-discriminatory employment practices, to attract top talent, all job opportunities in the Manager and the Property Managers are with selections based entirely on merit. Skill and ability are the key criteria in the selection process. CapitaLand has signed the Employers' Pledge for Fair Employment Practices with The Tripartite Alliance for Fair and Progressive Employment Practices. CapitaLand adheres to five key principles of fair employment:

- ▼ Recruit and select employees on the basis of merit, such as skill, experience and ability, regardless of age, race, gender, religion or family status
- ▼ Treat employees fairly and with respect and implement progressive human resource management systems
- ▼ Provide employees with equal opportunities for training and development based on their strengths and needs, to help them achieve their full potential
- ▼ Reward employees fairly based on their ability, performance, contribution and experience
- ▼ Abide by labour laws and adopt Tripartite Guidelines which promote fair employment practices

The total workforce comprises an almost equal proportion of male (54.0%) and female (46.0%) employees. The female employees are well represented with 50.0% at the middle and senior management levels.

As per CapitaLand's non-discriminatory employment practices, to attract top talent, all job opportunities in the Manager and Property Managers are advertised publicly via online job portals and newspapers, with selections based entirely on merit. Skill and ability are the key criteria in the selection process.

SUSTAINABILITY MANAGEMENT

Human Rights

In adherence to CapitaLand's principle of Human Rights, one of the common goals for the Manager and Property Managers is to uphold the spirit of international human rights conventions, such as the Universal Declaration of Human Rights and the International Labour Organisation (ILO) Conventions, against coerced labour and discrimination in any form. There has no acts of discrimination or human rights violation reported in 2017.

Positive Work Environment

The Manager and Property Managers are committed to provide staff with a positive and vibrant workplace that promotes personal development, good health and well-being as well as a rewarding career, which in turn results in a high-performance culture and work-life harmony. Initiatives include flexible work hours, a flexible medical and benefits plan, flexible work arrangements and employee engagement programmes.

The Manager and Property Managers advocate a pay-for performance philosophy to drive ownership of collective goals, leading to a high-performance culture which creates long-term unitholder value. The robust performance management system ensures that all employees receive regular performance and career development reviews.

In 2017, 11 eligible female employees went on maternity leave and all returned to work. In Malaysia, the Employees Provident Fund (EPF) is a comprehensive social security savings plan introduced by the Malaysian Government to enforce savings by salaried workers to help EPF members work towards a secure retirement. Similarly, both employees and employer are required to register and contribute to Social Security Fund. The Social Security Organization (SOCSO) provides social security protection by social insurance including medical and cash benefits, provision of artificial aids and rehabilitation to employees to reduce the sufferings and to provide financial guarantees and protection to the family. Under the EPF and SOCSO scheme, employees and employer make monthly contributions to the employees' EPF and SOCSO accounts in accordance with the prevailing regulations.

Talent Management and Succession Planning

The Manager and Property Managers actively seek innovative, dynamic and talented employees both internally and externally to strengthen the Management's bench strength in order to optimise the performance of the assets in CMMT's portfolio and facilitate CMMT's future expansion within Malaysia. High potential individuals are recruited at different points in their careers, from fresh graduates to young, mid-career professionals and industry veterans.

A robust succession planning and talent management strategies are in place to ensure that the Manager's and Property Managers' current and future human capital requirements are met. For members of the management team with proven track records and leadership potential, the Manager and the Property Managers partner with CapitaLand Institute of Management and Business (CLIMB) to provide leadership and management programmes to sharpen their management, leadership and business skills.

Compensation and Benefits

The Manager and Property Managers' remuneration policy and process reiterate their corporate philosophy to attract and retain the best talent as well as to reward high achievers. The total rewards scheme includes both short-term incentives, in the form of cash bonuses, and long-term incentives, in the form of either restricted shares (equity) or restricted shares (cash). The total rewards scheme strengthens organisation-employee alignment as employees are rewarded based on business performance, and encourages talent retention.

A flexible benefits plan is provided to cater for the diverse needs of employees which enables them to complement their personal medical and insurance needs. Employees can then customise their benefits for themselves and their families.

The Manager and Property Managers conduct regular benchmarking exercises across markets and seek to be innovative in developing compensation strategies to remain competitive in attracting and retaining talent.

Almost 50.0% of employees have been with the Manager and Property Managers for five years or longer. Resigning employees will be interviewed as part of the continuing efforts to improve retention policies and initiatives.

Learning and Development

The Manager and Property Managers believe that continual learning is the fundamental building block of growth, which offers comprehensive training and development programmes for employees to acquire relevant knowledge and skills to achieve business excellence.

In 2017, about 1.1% of the annual payroll was allocated for programmes relating to employee learning and growth. There is a training roadmap in place with a wide variety of courses, ranging from core competency development programmes, skills development programmes to jobs rotations/special projects/new assignments.

At the core of the staff development programme is a systematic programme for all new hires to gain insights of the business operations, strategies, core values and management philosophy. As part of their orientation, new hires can gain easy access to company information, policies and processes during their initial day of familiarisation.

Staff are also being sponsored for diplomas, degrees and masters programmes which helps in their career advancement. Throughout the year, staff also participated in overseas study visits to gain exposure to new retail trends, mall management concepts and network with industry players in different parts of the world.

A new programme namely "Fireside Chat" was introduced to Malaysia in 2017 with the aim to equip staff with knowledge to navigate the digital age and to inculcate a spirit of lifelong learning. Fireside Chat is a fun and informal learning platform where industry experts share insights on topics and trends. Two sessions were held in 2017 with theme "Retail of the Future" and "Redefining Spaces".

In 2017, staff clocked an average of 52 training hours per employee, which was well above the recommended industry guide of 40 hours. 99.3% of staff attended at least one training event. Staff are encouraged to upgrade themselves by attending courses or obtaining professional qualifications relevant to their work. Staff are granted with paid examination leave for their studies.

Job Security

The Manager and Property Managers are committed to providing meaningful jobs for its employees.

There are various arrangements to ensure job security such as providing company retraining programmes for employees, redeployment of employees to alternative areas of work and implementing flexible work arrangements.

In the event of termination or employee resignation, there is a minimum notice period of one month that needs to be fulfilled, depending on the employee's job grade.

Re-employment Opportunities

The Manager and Property Managers have a re-employment policy in place for employees who have reached the mandatory retirement age of 60 but are still able and willing to continue working for the Company. In 2017, there was six employees who were above retirement age.

Ethics and Integrity

The Manager and Property Managers adopt a strong stance against bribery and corruption. In addition to clear guidelines and procedures for the giving and receipt of corporate gifts and concessionary offers, employees are required to make declaration on an annual basis where they pledge to uphold CapitaLand's core values and not to engage in any corrupt or unethical practices. This serves as a reminder to all employees to maintain the highest standards of integrity in their work and business dealings. The zero tolerance policy towards bribery and corruption also extends to business dealings with third parties.

A whistle-blowing policy and other procedures are put in place to provide employees and parties who have dealings with CMRM and CMMT with well defined, accessible and trusted channels to report suspected fraud, corruption, dishonest practices or other improprieties in the workplace, and for the independent investigation of any reported incidents and appropriate follow up action. The objective of the whistle-blowing policy is to encourage the reporting of such matters so that employees or external parties making any reports in good faith will be able to do so with the confidence that they will be treated fairly and, to the fullest extent possible, be protected from reprisal.

The Manager and Property Managers adhere to an ethics and code of business conduct policy which deals with issues such as confidentiality, conduct and work discipline, corporate gifts and concessionary offers. Clear policies and guidelines on how to handle workplace harassment and grievances are also in place. The policies implemented aim to help to detect and prevent occupational fraud in the following ways:

- ▼ Offer of fair compensation packages based on practices of pay-for performance and promotion based on merit, to employees. There are various healthcare subsidies and financial assistance schemes provided to alleviate the common financial pressures employees face.
- ▼ Clearly documented policies and work procedures incorporate internal controls which ensure that adequate checks and balances are in place. Periodic audits are also conducted to evaluate the efficacy of these internal controls.
- ▼ Initiatives to build and maintain the right organisational culture through CapitaLand's core values, educating employees on good business conduct and ethical values.

SUSTAINABILITY MANAGEMENT

This is reinforced by CapitaLand's policy and procedure on Business Malpractice Incidents (BMIs) that facilitates functional managers to swiftly report any BMI discovered in their workplace or in the course of their work directly to their respective Chief Executive Officers. Substantiated BMI cases are reported quarterly to the Audit Committee and shared with the risk champions regularly. Actions taken could include the termination of staff contract, and/or reporting to the appropriate external authorities.

To instill CapitaLand's core values and principles, new hires undergo the Orientation Programme which includes a mandatory module on anti-corruption policies and procedures. Employees were retrained to see how these values can apply to their daily work.

People Engagement

The Manager and Property Managers endeavour to foster an open work culture with a focus on communication, teamwork and open exchange of ideas. In line with this staff engagement strategy, senior management conducts regular staff communication sessions to keep staff abreast of strategies, new developments and financials with a view to encourage the sharing of ideas, views and suggestions for business improvements.

The HR shared folder is a valuable platform for employees to find out the details of employment terms, benefits, human resource policies and practices including the whistle-blowing policy, as well as ethics and code of business conduct policy. The Manager also publishes a newsletter to provide quarterly updates to employees on the latest development within the Manager including highlights of the staff activities and key events. In addition, recreational and teambuilding events are regularly organised to foster cohesiveness and team spirit.

People Welfare

The Manager and Property Managers organise various welfare and health-related activities to encourage a well-balanced and healthy lifestyle among employees. Activities include thematic dinner and dance, family movie screening, offsite staff gatherings, health talks and workout classes. The Manager and the Property Managers are committed to preserving a culture that embraces diversity and fosters inclusion. To promote mutual respect and a harmonious working environment among the different ethnic groups within the organisation, a series of cultural festive celebrations were organised, including Raya get-together, Deepavali gathering, Chinese New Year yee sang (prosperity) tossing ceremonies and Christmas get-together and gift exchange.

The Manager and Property Managers value and care for employees as the success of an organisation will be shaped by the people. The Manager and Property Managers will endeavor to continue to develop the human capital to achieve optimal performance.

Health and Safety

All employees are expected to take ownership of Occupational Health and Safety (OHS) issues, and are encouraged to be proactive in reporting all OHS-related incidences alongside non-compliance and non-conformities.

In 2017, the Manager and Property Managers recorded a zero absentee rate of seven days with no workplace injuries, fatal workplace injuries nor occupational diseases cases reported.

We have a duty of care to ensure occupational health and safety of all employees and monitor our operations to ensure safety risks are controlled. We have adopted an OHSMS which was certified to OHSAS 18001 international standards in 2009. The OHSMS is audited by a third-party accredited certification body. Our OHS targets are:

- ▼ Zero incident resulting in staff permanent disability or fatality
- ▼ All main contractors for major projects have to be OHSAS 18001 certified (or equivalent)

We comply fully with OHS laws and regulations in Malaysia. During the year, we reported zero staff work-related permanent disability or fatality. All main contractors appointed in 2017, for projects with GFA of at least 2,000 square metres, were ISO 14001 and OHSAS 18001 certified.

OPERATIONS REVIEW

LEASE RENEWALS AND NEW LEASES

For leases that expired in 2017, the rental of the first year of the renewed/new lease term decreased by 1.3% on a portfolio basis compared to the preceding rate, i.e. the last year's rental of the preceding term. Excluding Sungei Wang, the figure would have been a positive 0.6%.

Having enjoyed solid growth for a number of years, Sungei Wang is now in a transitional period. The redevelopment of Bukit Bintang Plaza has also impacted Sungei Wang's shopper traffic as the entrance via Jalan Bulan will remain closed. Back in 2014, we embarked on a market rental

adjustment strategy to ensure a sustainable occupancy rate for CMMT units. As a result, the mall experienced negative rental reversion as our key objectives were to assist our tenants in maintaining a sustainable occupancy cost and to introduce new trades or concepts to the mall. Nonetheless, we are positive about its longer term prospects as it is an established asset located in the prime shopping district of Bukit Bintang, well connected by several strategic transportation nodes.

Summary of Renewals/New Leases

(as at 31 December 2017) (excluding newly created and reconfigured units)

Property	Number of Renewals/New Leases	Net Lettable Area (sq ft)	Percentage of Mall (%)	Change in Rental Rates ¹ (%)
Gurney Plaza	138	896,798	25.9	2.0
Sungei Wang	54	453,768	14.5	-16.9
Tropicana City Mall & Tropicana City Office Tower	39	567,723	28.3	0.6
The Mines	67	735,050	13.7	-7.2
East Coast Mall	63	485,088	40.6	3.3
Total	361	3,138,427	23.2	-1.3

PORTFOLIO LEASE EXPIRY PROFILE

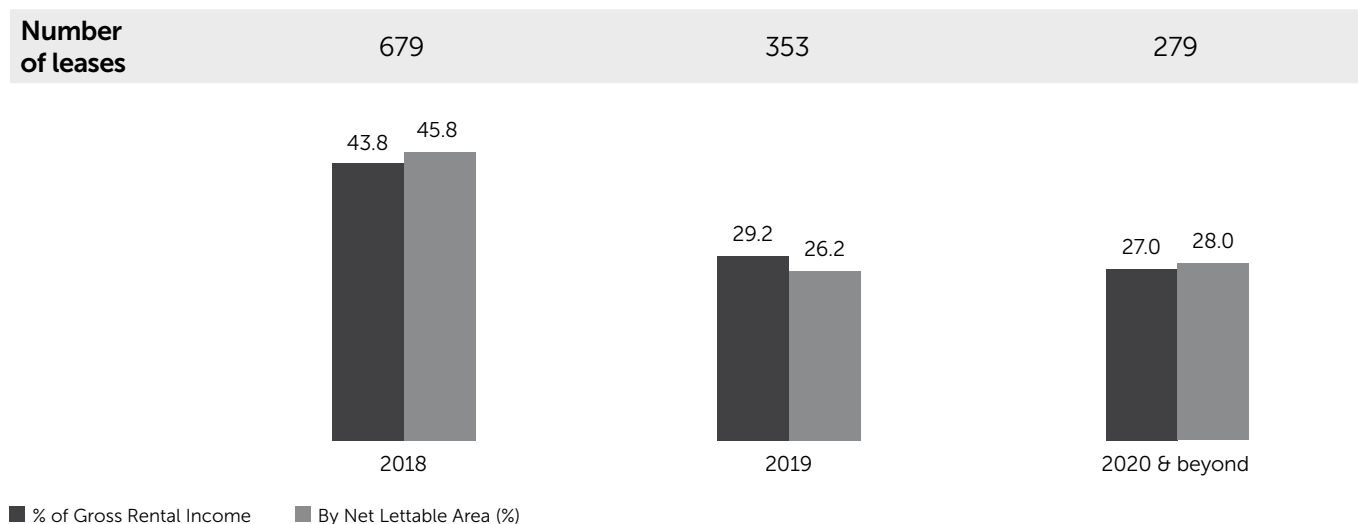
CMMT tenants are typically on a three-year tenancy term. The portfolio lease expiry spread out as at 31 December 2017 with 43.8% and 29.2% of tenancies by gross rental income due for renewal in 2018 and 2019 respectively, with the balance expiring from 2020 onwards. About 679

leases are due to expire in 2018. For the portfolio lease expiry profile as at 31 December 2017 by gross rental income, 9.1% is made up by the lease expiry cases of anchor tenants.

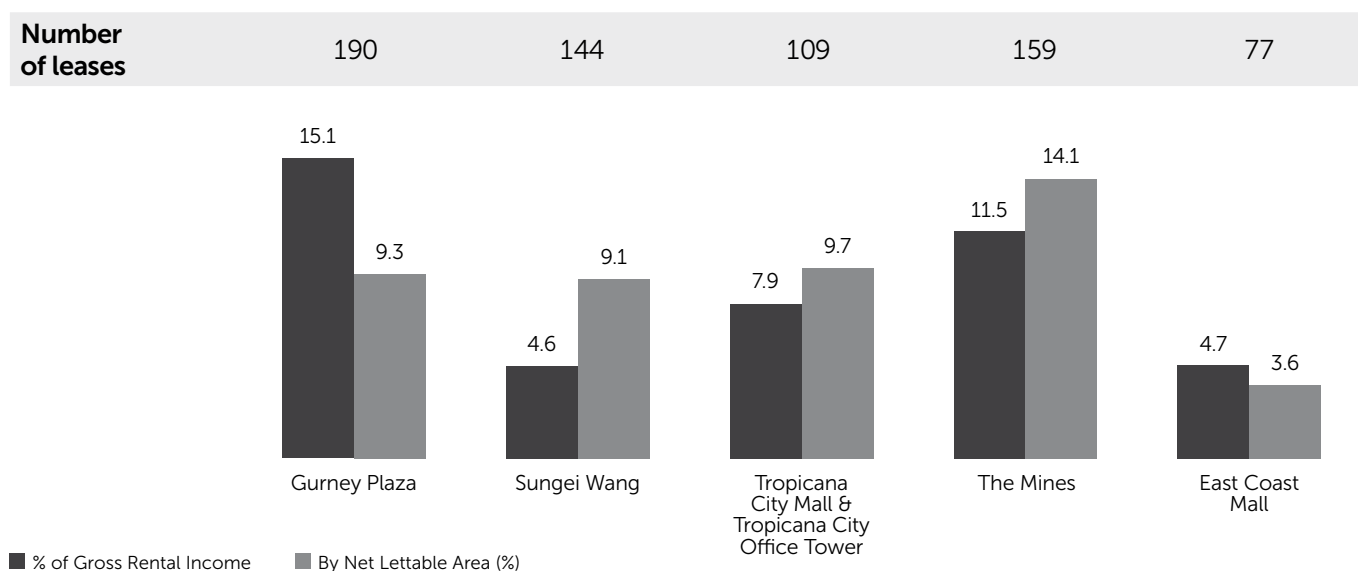
¹ Change in the current rental rates versus the preceding rental rates.

OPERATIONS REVIEW

Portfolio Lease Expiry Profile (as at 31 December 2017)



Portfolio Lease Expiry Profile for 2018 (as at 31 December 2017)



TOP 10 TENANTS

CMMT's gross rental income is well distributed within its portfolio of over 1,333 leases. Collectively, the 10 largest tenants accounted for about 14.6% of the total gross rental income.

10 Largest Tenants by Total Gross Rental Income
 (as at 31 December 2017)

Tenant	Trade Sector	By Gross Rental Income (%)	Expiry Date ¹
Parkson	Departmental Store	4.5	31 Mar 2018 to 19 Jun 2020
AEON Big	Supermarket/Hypermarket	1.7	23 May 2018 to 31 Dec 2020
Giant	Supermarket/Hypermarket	1.6	28 Feb 2018 to 15 Oct 2020
Golden Screen Cinemas	Leisure & Entertainment/ Sports & Fitness	1.1	22 Jun 2018 to 14 Jan 2019
F.O.S	Fashion/Accessories	1.1	31 Mar 2018 to 31 Dec 2020
Padini Concept Store	Fashion/Accessories	1.0	31 Jan 2018 to 30 Apr 2020
Voir Gallery	Fashion/Accessories	1.0	31 Jan 2018 to 31 Mar 2018
Nando's	Food & Beverages	0.9	29 Jan 2018 to 15 May 2021
Tropicana Golf and Country Resort Berhad	Others	0.9	9 Jul 2018
Uniqlo	Fashion/Accessories	0.8	31 Jan 2018 to 10 Jul 2020

1 In cases where leases have more than one expiry date (i.e. the tenants have several leases in more than one mall), lease expiry dates are shown as a range.

OPERATIONS REVIEW

TRADE SECTOR ANALYSIS

CMMT's portfolio is well-diversified and relies on various different trade sectors for rental income. As at 31 December 2017, fashion/accessories remained the largest contributor to gross rental income at 31.9% of the total portfolio. The food and beverage trade remained the second largest contributor to gross rental income at 20.1% and occupied 14.0% of the total net lettable area.

Portfolio Trade Sector Analysis (as at 31 December 2017)

Trade Sector	By Gross Rental Income (%)	By Net Lettable Area (%)
Fashion/Accessories	31.9	21.1
Food & Beverages	20.1	14.0
Beauty/Health	12.4	8.2
Services	6.2	4.9
Departmental Store	4.8	13.0
Leisure & Entertainment/ Sports & Fitness	5.4	9.5
Electronics/I.T.	5.3	3.8
Supermarket/Hypermarket	4.5	11.3
Gifts/Specialty/Books/Hobbies/Toys/ Lifestyle	3.5	4.2
Houseware/Furnishings	3.1	5.1
Others	2.8	4.9

OCCUPANCY RATE

As a result of active mall management, proactive leasing strategy and access to CapitaLand's extensive network of local and international retailers, CMMT's occupancy rate remained stable. The portfolio occupancy rate was 95.4% as at 31 December 2017, a nominal decrease from 96.5% occupancy rate achieved in the preceding year.

SHOPPER AND VEHICULAR TRAFFIC

Shopper traffic for the portfolio stood at 59.0 million while vehicular traffic recorded at 9.4 million. With the recent commencement of the Sungai Buloh-Kajang Mass Rapid Transit line, we expect Sungei Wang to benefit in the long term.

ASSET ENHANCEMENT INITIATIVE

Gurney Plaza completed the reconfiguration works at Basement 1 in 4Q 2017. It involved reconfiguration of the Basement 1 food court into smaller and higher yielding units while the underutilised basement car park ramp has been converted to leaseable area to cater to more F&B variety. Costing RM2.2 million, the AEI has increased the mall's net lettable area by approximately 1,500 sq ft. New-to-market brands such as French fashion jewellery Les Nereides and Australia's Smiggle stationery have opened while F&B offerings included Japan's Doutor Coffee and An Viet have delighted shoppers.

To attract new shoppers and improve shopper traffic, Sungei Wang has introduced Blastacars indoor kart drifting at the former car park on Level 5. Other supplementary activities include virtual reality experiences, archery and shooting battlezone. As part of ongoing efforts to stay relevant and attractive to shoppers, Singapore's Refash is the first online to brick-and-mortar store which opened at Sungei Wang offering quality second-hand fashion apparel.

To strengthen its positioning as a gourmet dining destination, more F&B choices were brought in to Tropicana City Mall's external F&B cluster on the Ground Floor such as Korean fusion restaurant and bar Powerplant and casual chic Japanese restaurant Yakitori Kurenai. Other dining variety include KD Hong Kong and Hometown Hainan Coffee on Level 1. Chinese restaurant Kingdom Palace also expanded an additional 7,000 sq ft to offer banquet services. To further strengthen the mall's appeal, Oliver Gourmet, a new Malaysian gourmet food hall operator, opened its first outlet at Tropicana City Mall. Beauty services provider Nulnu on Level 2 offers salon and other beauty-related services.

At The Mines' main entrance on Level 3, we have further strengthened its appeal with the opening of the second Oliver Gourmet outlet in July 2017 and improved the F&B choices with the opening of Go Noodle House, Kimosasa Café and Ah Mah Traditional Homemade Egg Sponge Cake. Meanwhile, Level 4's digital zone, known as DigitaMart, underwent a reconfiguration exercise to strengthen the service offerings to better suit the needs of shoppers. DigitaMart's enhancement has been successful with the opening of new concept stores by HTC, SONY, Huawei, OPPO Service Centre, Thunder Match MegaStore, HP, OLIKE and Vivo Service Centre. Several other new brands which opened at The Mines in 2017 were Natural Health Farm, MR. D.I.Y., Fun Factory and fashion labels LOL and DRUM.

During the year under review, several initiatives were carried out to enhance the value of our assets. At Gurney Plaza, we upgraded the liquefied petroleum gas tank to ensure operational reliability and efficiency that would also enable it to cater for more F&B capacity in future. As part of its cost savings and energy efficiency initiatives, new chilled water pipes were installed from Tropicana City Mall central chiller plant room to Tropicana City Office Tower, and the lights on the lower and Ground Floors were changed to LED versions. Additional T5 lightings were added to brighten up The Mines' car park area while smoke detectors were upgraded to enhance the effectiveness of the fire prevention system.

Meanwhile, the mall's toilets have been accredited with a 5-star rating for cleanliness by the Department of Health, Majlis Perbandaran Subang Jaya. At East Coast Mall, additional security features were carried out at Level 4 car park including installation of additional security fencing, LED lights and more CCTV cameras to further improve shoppers' safety. To ensure better operational efficiency, the AHU cooling coils were replaced and additional fresh air/exhaust fan system were installed on Level 3 for the new F&B kiosk area.

FINANCIAL REVIEW

GROSS REVENUE

Gross revenue for FY 2017 of RM368.9 million was RM3.7 million or 1.0% lower than FY 2016. The decrease was mainly due to negative rental reversions from Sungei Wang¹ (SW), as SW was temporarily affected by the Mass Rapid Transit works in 1H 2017 and continues to be affected by the closure of Bukit Bintang Plaza. Lower gross revenue was recorded for The Mines (TM) mainly due to lower rental rates and occupancy whilst lower gross revenue

in Tropicana City Mall and Tropicana City Office Tower (collectively known as Tropicana City Property (TCP)) was mainly due to lower occupancy at the office tower and softer demand for promotional space at the mall. The decrease was mitigated by better performance from Gurney Plaza (GP) and East Coast Mall (ECM) on the back of higher rental rates and gross turnover rent.

Gross Revenue by Property	FY 2017 RM'000	FY 2016 RM'000	Change %
Gurney Plaza	145,669	137,655	5.8
Sungei Wang	37,888	45,290	(16.3)
Tropicana City Mall and Tropicana City Office Tower	50,310	52,331	(3.9)
The Mines	75,615	80,216	(5.7)
East Coast Mall	59,452	57,125	4.1
Total	368,934	372,617	(1.0)

NET PROPERTY INCOME

Net property income (NPI) for FY 2017 of RM237.1 million was RM5.3 million or 2.2% lower than FY 2016. The decrease was a result of the abovementioned decrease in gross revenue as well as the increase in property operating expenses by RM1.7 million or 1.3% to RM131.8 million. The increase in property operating expenses was largely attributed to the increase in service charge at SW and higher

property maintenance as well as marketing expenses, offset by lower utilities consumption and reimbursable staff costs. Overall, GP and ECM turned in stronger performances with higher NPI contribution by 7.9% and 7.4% respectively, which partially mitigated the lower NPI contribution from the Klang Valley² shopping malls and the office tower.

Net Property Income by Property	FY 2017 RM'000	FY 2016 RM'000	Change %
Gurney Plaza	104,601	96,921	7.9
Sungei Wang	16,477	27,258	(39.6)
Tropicana City Mall and Tropicana City Office Tower	29,057	30,003	(3.2)
The Mines	47,660	51,664	(7.8)
East Coast Mall	39,351	36,646	7.4
Total	237,146	242,492	(2.2)

1 CMMT's interest in Sungei Wang comprises (i) 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail floor area of Sungei Wang, and (ii) 100.0% of the car park bays in Sungei Wang.

2 Made up of Sungei Wang, Tropicana City Mall and The Mines.

DISTRIBUTIONS

For FY 2017, CMMT declared a distribution per unit (DPU) of 8.22 sen. During the financial year, CMMT made two income distributions to Unitholders, totaling RM170.2 million or 8.37 sen per unit, which comprised (i) a final income distribution for FY 2016 of 4.23 sen per unit for the period from 1 July 2016 to 31 December 2016, which was paid on 28 February 2017 and (ii) the first income distribution for FY 2017 of 4.14 sen per unit for the period from 1 January 2017 to 30 June 2017, which was paid on 25 August 2017. CMMT's final income distribution for FY 2017 of 4.08 sen per unit for the period from

1 July 2017 to 31 December 2017 will be distributed to its Unitholders on 28 February 2018. This represents a payout of approximately 100.0% of CMMT's FY 2017 distributable income of RM167.4 million.

CMMT's DPU fell 2.5% year-on-year, from 8.43 sen in FY 2016 to 8.22 sen in FY 2017. The lower DPU was mainly due to lower NPI contribution from the Klang Valley shopping malls and the office tower, partly mitigated by higher NPI contribution from GP and ECM.

▼ Distribution History

Period Start	Period End	DPU sen	Distributions RM'000
FY 2013			
01-Jan-13	30-Jun-13	4.35	77,012
01-Jul-13	31-Dec-13	4.50	79,777
Total		8.85	156,789
FY 2014			
01-Jan-14	30-Jun-14	4.53	80,456
01-Jul-14	31-Dec-14	4.38	77,919
Total		8.91	158,375
FY 2015			
01-Jan-15	8-Jul-15	4.61	82,011
09-Jul-15	31-Dec-15	3.99	80,789
Total		8.60	162,800
FY 2016			
01-Jan-16	30-Jun-16	4.20	85,189
01-Jul-16	31-Dec-16	4.23	85,931
Total		8.43	171,120
FY 2017			
01-Jan-17	30-Jun-17	4.14	84,234
01-Jul-17	31-Dec-17	4.08	83,140
Total		8.22	167,374

FINANCIAL REVIEW

FINANCIAL POSITION

The total assets for CMMT Group were RM4,177.9 million as at 31 December 2017 compared to RM4,148.9 million as at 31 December 2016. The increase of RM29.0 million was primarily derived from the fair value gain on investment properties of RM4.2 million and the capitalisation of capital expenditure of RM23.8 million. The capital expenditure incurred during the year includes tenancy works at GP, TM, TCP and ECM, upgrading of LPG tank and asset enhancement works on Basement 1 at GP, asset enhancement works on Ground Floor and building works at Tropicana City Mall, chiller piping installation works at the office tower, upgrading of car park on Level 4 and air handling units at ECM as well as reconfiguration works on the Concourse level at SW.

Total borrowings increased by RM25.5 million to RM1,337.3 million in FY 2017. This was mainly due to additional revolving credit facilities of RM24.3 million drawn down to fund capital expenditure. For further details, please refer to Capital Management section on page 73 to 74.

Unitholders' funds for CMMT Group as at 31 December 2017 was RM2,687.2 million, an increase of RM1.6 million from 31 December 2016. The increase in Unitholders' funds was mainly a result of the FY 2017 profit contribution, the issuance of CMMT units to the Manager as part payment of management fee and after deducting distributions paid to Unitholders during the year.

Valuations and Property Yields

CMMT Portfolio	Valuation ¹ RM million (RM psf NLA) ²			Property Yield (%) ³		Capitalisation Rate (%) ⁴	
	31 Dec 2017	31 Dec 2016	Increase/ (Decrease)	FY 2017	FY 2016	31 Dec 2017	31 Dec 2016
Gurney Plaza	1,575.0 1,756 psf	1,515.0 1,691 psf	60.0	6.6	6.4	6.75	6.75
Sungei Wang	583.0 1,285 psf	625.0 1,370 psf	(42.0)	2.8	4.4	7.00	7.00
Tropicana City Mall and Tropicana City Office Tower	570.0 1,004 psf	588.0 1,044 psf	(18.0)	5.1	5.1	6.50	6.50
The Mines	727.0 989 psf	720.0 983 psf	7.0	6.6	7.2	7.00	7.00
East Coast Mall	511.0 1,053 psf	490.0 1,010 psf	21.0	7.7	7.5	7.25	7.25
CMMT Portfolio	3,966.0 1,264 psf	3,938.0 1,257 psf	28.0	6.0	6.2	–	–
Less: additions⁵			(23.8)				
FY 2017 Net Fair Value Gain			4.2				

1 Based on the independent valuations of Gurney Plaza, an interest in Sungei Wang, Tropicana City Mall and Tropicana City Office Tower, The Mines and East Coast Mall as at 31 December 2017 and 31 December 2016, commissioned by the Trustee.

2 RM per square foot of net lettable area.

3 Property yield is calculated by dividing the NPI for the year by the independent valuation of the property.

4 Capitalisation rate refers to the reversionary capitalisation rate adopted by the independent valuers to derive the market values of each property.

5 Additions refer to capital expenditure incurred across the portfolio during the financial year.

Unitholders are advised that past performance is not necessarily indicative of future performance and unit prices and investment returns may fluctuate.

CAPITAL MANAGEMENT

The Manager continues to rigorously monitor the cash position and borrowings of CMMT Group with the view of strengthening its capital structure and competitive position.

BORROWINGS

The Manager's capital management strategy involves adopting and maintaining a prudent leverage level to ensure optimal returns to Unitholders, while maintaining flexibility in respect of future capital expenditure or acquisitions.

In July 2017, CMMT Group fixed the interest rate for part of the existing floating rate secured term loan for three years. The interest rate risk management initiative paved the way for CMMT to limit the adverse impact on the cost of debt in the event of an increase in market interest rate and banks' cost of funds. As at 31 December 2017, CMMT Group locked 80.4% of its total borrowings at fixed rate as part of its interest rate risk management.

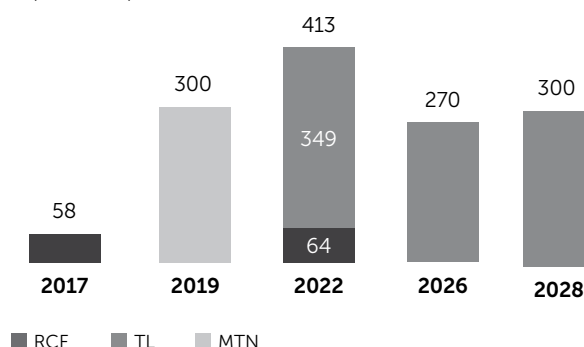
As at 31 December 2017, CMMT Group had available banking credit facilities of RM1,259.4 million and an unutilised interest rate swap line of up to RM90.0 million. CMMT Group had utilised RM1,049.8 million, of which RM918.4 million pertained to secured term loan facilities, RM122.6 million pertained to both secured and unsecured revolving credit facilities used for the funding of capital expenditure and the balance of RM8.8 million pertained to bank guarantee facilities for utilities, leaving unutilised banking credit facilities of RM209.6 million.

The total borrowings of CMMT Group as at 31 December 2017 were RM1,341.0 million, which equates to a healthy gearing level at 32.8% and provides the Group with a permissible debt headroom of RM1.4 billion for future acquisitions of properties and/or asset enhancement initiatives. The average cost of debt for CMMT Group for FY 2017 was at approximately 4.4% per annum (FY 2016: 4.5% per annum) and the average term to maturity for outstanding debts was 5.7 years. Of the five properties in the portfolio, Sungei Wang¹ and East Coast Mall remain unencumbered, providing CMMT with further financial flexibility.

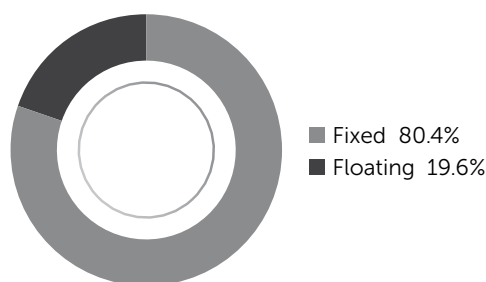
DEBT PROFILE

The debt maturity and interest rate profile for CMMT Group as at 31 December 2017 were as follow:

Debt Maturity Profile (RM million)



Interest Rate Profile



CASH FLOWS AND LIQUIDITY

The Manager proactively monitors its cash and liquid reserves to ensure that adequate funding is available for distribution to the Unitholders as well as to meet any short-term liabilities.

CASH AND CASH EQUIVALENTS

As at 31 December 2017, the cash and cash equivalents of CMMT Group stood at RM186.3 million, a decrease of RM5.8 million compared to FY 2016. The decrease was mainly the result of cash inflows of RM215.2 million from operating activities and offset by cash outflow of RM16.9 million and RM204.1 million from investing and financing activities respectively.

1 CMMT's interest in Sungei Wang comprises (i) 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail floor area of Sungei Wang, and (ii) 100.0% of the car park bays in Sungei Wang.

CAPITAL MANAGEMENT

OPERATING ACTIVITIES

CMMT Group's operating net cash inflow for FY 2017 was RM215.2 million, a decrease of RM11.9 million over the preceding year. The decrease was mainly due to lower net property income and lower collection of trade receivables.

INVESTING ACTIVITIES

In 2017, CMMT Group spent RM0.6 million on plant and equipment and invested RM23.8 million in capital expenditure, which resulted in a cash outflow of RM21.7 million, including payments for previous years' capital expenditure. The impact of this cash outflow was partly mitigated by interest income of RM5.4 million as a result of active cash management.

FINANCING ACTIVITIES

During the year, CMMT Group distributed RM170.2 million to its Unitholders and paid RM58.0 million in interest expenses. In addition, an amount of RM24.3 million was drawn down from revolving credit facilities to fund capital expenditure.

ACCOUNTING POLICIES

The financial statements have been prepared in accordance with the provisions of the Deed, the REITs Guidelines, Malaysian Financial Reporting Standards and International Financial Reporting Standards. These financial statements also comply with the applicable disclosure provisions of the Listing Requirements.

INDEPENDENT RETAIL MARKET OVERVIEW

Prepared by: Savills (Malaysia) Sdn Bhd
Date: 8 February 2018



MACROECONOMIC AND DEMOGRAPHIC OVERVIEW

Global growth was on track to expand at a faster pace in 2017, supported by improvements in both advanced and emerging market economies. The IMF has revised its global growth projections upward twice (in April and October), to reflect the stronger-than-expected growth momentum and entrenched across countries. Nevertheless, the geopolitical tensions and volatility in oil price also pose risks to global growth prospects.

The Malaysian economy was expected to register a strong growth with real GDP expanding between 5.2% and 5.7% in 2017 (2016: 4.2%). Growth momentum has been lifted by robust household consumption and rising private sector investment. The operating environment has also improved significantly as households and businesses have steadily acclimatised to the adjustments in the global and domestic economic conditions in the past few years. Businesses and consumers are optimistic about the economy, in line with favourable external and domestic demand conditions. The business conditions index remained above the 100-point threshold of optimism while the consumer sentiment improved slightly, but still remained below optimism threshold, averaged 79.3 points as at 2017 (2016: 73.7 points). Bank Negara is expected to continue pursuing an accommodative monetary policy favouring businesses as household debts creep up.

On the demand side, household spending will remain as the key source of growth, benefiting from higher income following stable employment conditions and firmer commodity prices. Private sector continues to spearhead growth while public sector remains committed towards its fiscal consolidation path. Private investment registered a strong growth, driven by continued spending in the services and manufacturing sectors. Strong capital spending is expected in the services sector, particularly in transport and storage, information & communication and tourism-related industries. Investment in the manufacturing sector will be focused on catalytic and high value added industries such as Electrical and Electronics (E&E), aerospace, and machinery and equipment. Various Government measures such as the National eCommerce Strategic Roadmap and participation in the Belt and Road initiative are projected to further boost private investment activities in 2018. On the supply side, growth is expected to be broad-based with positive contribution from all sectors, led by services sector (54.8% of GDP).

Core inflation for 2017 moderated at 2.2% by the end of November 2017. Along with expectations of smaller effects from global cost factors, inflation is expected to

remain relatively stable in 2018. Underlying inflation, while sustained by the robust domestic demand, is expected to be contained as continued expansion in productive capacity will allow the economy to meet the higher demand. The central bank has kept its benchmark overnight policy rate (OPR) at 3% throughout 2017, and raises the OPR marginally by 25 basis points in January 2018. At this level of OPR, the stance of monetary policy remains accommodative and will ensure the sustainability of growth prospects.

The labour market remains stable with the unemployment rate registered 3.4% (2016: 3.4%). The services sector is the largest employer with 62.0% (2016: 60.5%) of total employment mainly in the wholesale and retail trade subsector, followed by the manufacturing (17.5%) and agriculture (11.2%) sectors. The labour market conditions is expected to remain favourable, providing impetus to private consumption.

Tourism sector, the third largest contributor to the economy continued to show resilience bolstered by growing arrivals from the ASEAN region and China. 2016 recorded a positive growth in tourist arrivals and receipts registering 4.1% and 6.1%, respectively. The Tourism and Culture Ministry is optimistic about the tourism industry amid the slight drop in total arrivals as of October 2017. The latest official data released by the Tourism Malaysia with the cooperation of Immigration Department only covers until the end of October 2017, recorded 21.5 million visitors (2016: 22.1 million visitors). Singapore tourists topped the list, followed by Indonesia, China, Thailand and Brunei Darussalam. The Tourism and Culture Ministry is targeting for 33.1 million visitors with tourist receipts of RM134.0 billion in 2018.

Malaysia retail trade sector moved in tandem with private consumption, which registered a 5-year compound annual growth rate (CAGR) of 7.0%. Retail sale value from non-specialised stores, i.e. department stores, hypermarkets and convenient stores contributed the largest share, followed by the retail sales of other goods of specialised stores. The latter includes goods such as clothing and fashion items, pharmaceutical and medical goods, photographic equipment and watches and jewellery. It is worth to note that this data is obtained from the Quarterly Distributive Trade Survey carried out by the Department of Statistics on 3,403 active retail establishments (1.3% of total active establishments) throughout Malaysia.

Malaysia's economic outlook remains favourable in the near-term, supported by the strong domestic demand and strong export performance. The 2018 budget that was passed on October 2017 will focus on narrowing the fiscal deficit ahead of the upcoming general election.

INDEPENDENT RETAIL MARKET OVERVIEW

▼ Main Economic Indicators, Malaysia

	2012	2013	2014	2015	2016	2017 ^p
GDP at Constant 2010 Prices (RM billion)¹						
Malaysia	912.3	955.1	1,012.5	1,062.8	1,108.2	1,168.4
Kuala Lumpur ²	131.5	140.6	152.4	160.4	170.0	–
Selangor	200.9	212.8	227.1	240.0	251.6	–
Penang	58.4	61.3	66.2	69.8	73.7	–
Pahang	40.1	42.2	44.0	45.9	46.8	–
Real GDP Growth (%)¹						
Malaysia	5.5%	4.7%	6.0%	5.0%	4.2%	5.2-5.7%
Kuala Lumpur ²	7.0%	6.9%	8.0%	5.3%	5.9%	–
Selangor	7.2%	5.9%	6.7%	5.7%	4.8%	–
Penang	4.5%	5.0%	8.0%	5.5%	5.6%	–
Pahang	5.0%	5.3%	4.1%	4.4%	2.0%	–
GDP at Current Prices (RM billion)¹	971.2	1,018.8	1,106.5	1,157.1	1,232.6	1,344.9
GDP per Capita at Current Prices (RM)¹						
Malaysia	32,913	33,721	36,031	37,104	38,887	–
Kuala Lumpur ²	77,073	82,262	90,464	94,722	101,420	–
Selangor	36,799	38,082	40,536	42,611	44,616	–
Penang	37,053	38,472	42,130	44,847	47,322	–
Pahang	27,413	27,912	29,341	30,343	32,244	–
Mean Monthly Household Income³						
Malaysia	5,000	5,375	6,141	6,546	6,958	7,417
Kuala Lumpur	8,586	9,967	10,629	11,458	11,692	12,651
Selangor	7,023	7,417	8,252	8,648	9,463	9,974
Penang	5,055	5,292	5,993	6,317	6,771	7,137
Pahang	3,745	3,915	4,343	4,604	5,012	5,278
Domestic Aggregate Demand in Current Prices (RM billion)⁴						
Private Consumption	482.2	527.8	580.0	626.2	674.8	557.3
Private Investment	142.3	162.8	184.0	198.8	211.3	188.4
Public Consumption	134.4	139.7	147.4	152.0	154.7	112.9
Public Investment	104.3	106.9	103.5	104.1	105.5	71.1
Malaysia Retail Trade (RM billion)⁵	284.3	309.5	343.7	371.6	403.8	410.6
Malaysia Retail Sales Index (2010=100)	111.3	123.4	136.8	143.7	151.2	162.5

p: preliminary

1 Department of Statistics Malaysia: 2017's projections provided by Ministry of Finance Malaysia

2 Includes WP Putrajaya

3 Department of Statistics Malaysia: Household Income Survey (HIS) 2012, 2014 & 2016, other years are calculated by Savills Research based on the compound annual growth rates.

4 Bank Negara Malaysia: 2017's figures are from January-October 2017.

5 Department of Statistics Malaysia's quarterly distributive trade survey November 2017.

	2012	2013	2014	2015	2016	2017 ^p
Consumer Price Index (Average Prices)¹ (2010=100)						
Malaysia	104.9	107.1	110.5	112.8	115.2	119.5
Peninsular Malaysia	105.0	107.1	110.7	113.2	115.4	-
Core Inflation¹	1.6%	2.1%	3.2%	2.1%	2.1%	2.2-2.6%
Consumer Sentiment Index²	116.6	104.3	94.5	69.6	73.7	79.3
Growth Rate	8.2%	-10.5%	-9.4%	-26.3%	5.9%	7.6%
Population ('000)³						
Malaysia	29,510	29,915	30,710	31,190	31,738	32,154
Kuala Lumpur	1,702	1,717	1,740	1,780	1,790	1,790
Selangor	5,702	5,900	6,050	6,180	6,300	6,390
Penang	1,623	1,660	1,680	1,700	1,720	1,750
Pahang	1,547	1,564	1,590	1,610	1,630	1,650
Urbanisation Rate³						
Malaysia	71.0%	-	-	-	-	-
Kuala Lumpur	100.0%	-	-	-	-	-
Selangor	91.4%	-	-	-	-	-
Penang	90.8%	-	-	-	-	-
Pahang	50.5%	-	-	-	-	-
Unemployment Rate⁴	3.0%	3.1%	2.9%	3.1%	3.4%	3.4%
Overnight Policy Rate⁵	3.0%	3.0%	3.3%	3.3%	3.0%	3.0%
Base Lending Rate⁶	6.5%	6.5%	6.7%	6.8%	6.7%	6.7%
Base Rate⁶	-	-	-	3.8%	3.7%	3.6%
Tourist Arrivals⁷ (million persons)	25.0	25.7	27.4	25.7	26.8	31.8
Tourist Receipts⁷ (RM billion)	60.6	65.4	72.0	69.1	73.3	118.0

p: preliminary

1 Bank Negara Malaysia

2 Malaysian Institute of Economic Research

3 Department of Statistics Malaysia: Urbanisation rate is as per the 2010 Population and Housing Census.

4 Ministry of Finance Malaysia: 2017's figure is as at Q3/2017.

5 Bank Negara Malaysia: In January 2018, the OPR has been increased by 25 basis points.

6 Bank Negara Malaysia: Effective 2 January 2015, the Base Rate will replace the Base Lending Rate (BLR) as the main reference rate.

7 Ministry of Tourism & Culture Malaysia: 2017's targets provided by Ministry of Tourism & Culture Malaysia.

RETAIL MARKET OVERVIEW

Worldwide headlines on the retail market have highlighted major shifts in the retail industry – from an oversupply of retail space in many global cities, to store closures by major retail players. The current retail disruption has led to rationalisation exercises, with many large retailers now slowing their expansion and consolidating their presence in key locations.

Underlining this market shift is a radical change in consumer behaviour resulting from advancement of retail technology, changing lifestyles and perhaps a degree of mall fatigue. Despite the challenges, not all malls are performing badly. Malaysia's major retailers agree that the market is still expanding, albeit slower than before. Malaysia continues to be the top destination of choice for new retail brands

expanding into South East Asia. In 2017, Savills Malaysia tracked 23 new brands entered and 7 brands exited the country. This is the result of stable macroeconomic fundamentals and promising demographics.

On the other hand, the middle income groups have been affected by inflation, with purchasing power shrinking as a result of rising living costs. This has resulted in price elasticity becoming more pronounced, leading to middle income consumers being driven by value-for-money merchandises; and the emergence of new-to-market retailers with value-driven offerings captures this trend at the right time. This has also been impacted by the growth of e-commerce and online shopping portals, providing more shopping and comparison options for the value-driven shopper.

INDEPENDENT RETAIL MARKET OVERVIEW

Additionally, advances in retail technology and the growth of e-commerce have added a new layer of complexity to the retail market. For retail real estate investors, the e-commerce trend is likely to result in a refocus on more resilient retail markets. It will also require greater awareness of the type of space required by retailers and how this may differ across markets. Going forward, landlords and retailers need to have a clear strategy of their online and offline presences to determine the size of their store in the malls.

In terms of the luxury retail segment, the global luxury goods spend has grown faster than expected in 2017 with Bain & Company forecasting a 6% increase in personal luxury good revenue in 2018. Much of this rebound is being driven by the rapid rise of Chinese middle and upper class. While the luxury brands have opened fewer stores in 2017 (compared to 2016), they are primarily focused on destination cities in Europe, North America and Asia Pacific markets beyond China. All these regions have seen a proportional increase in share of new openings in 2017. Malaysia stood at 3% of all new luxury store openings, and 4% of all new affordable luxury store openings (Savills Global Luxury Retail, 2017). The 'affordable luxury' segment will continue to form a key part of the overall luxury market in 2018 with the major destination markets bring prime targets for these brands.

Despite today's oversupply of malls, the dilution in retail, the strong headwinds and the disruption of the industry by online retail and the digital economy, good quality malls with strategic locations and a balanced trade mix will continue to thrive, as they continue to be the third space out of the home and office.

RETAIL SUPPLY AND DEMAND

Existing & Future Supply

According to the Valuation and Property Services Department, Ministry of Finance, Malaysia (JPPH), the total retail stock, which includes shopping centres, arcades, and hypermarkets, in Malaysia stands at 164.0 million sq ft as of Q3/2017, an increase of 6.4% from Q3/2016. The CAGR of retail stock in Malaysia registered 5.5% (2007-2016).

Kuala Lumpur and Selangor together contribute 43.0% to the total national retail stock while Penang and Pahang stand at 11.4% and 1.9% respectively. A large percentage of the retail space is located within shopping centres, averaged at 72.7%. The retail space per capita in the nation increased from 4.9 sq ft (2016) to 5.1 sq ft (2017). The large impending supply of retail space presents a more competitive retail environment in the coming years especially in the major cities of Malaysia. As per JPPH statistics as of Q3/2017, total future retail supply in the country is estimated to be 29.2 million sq ft.

▼ Shopping Centre Stock in Malaysia as at Q3/2017

State	No. of Properties	Total Space (sq ft)	% of Total Space in Malaysia
WP Kuala Lumpur	69	26,787,300	22.5%
WP Putrajaya	1	621,981	0.5%
WP Labuan	1	280,540	0.2%
Selangor	77	27,202,216	22.8%
Johor	59	12,762,261	10.7%
Penang	40	12,160,376	10.2%
Perak	36	6,134,745	5.1%
Negeri Sembilan	28	2,847,170	2.4%
Melaka	22	4,258,263	3.6%
Kedah	36	4,836,339	4.1%
Pahang	21	2,961,612	2.5%
Terengganu	10	870,950	0.7%
Kelantan	8	1,886,040	1.6%
Perlis	4	237,990	0.2%
Sabah	37	6,621,144	5.6%
Sarawak	62	8,729,254	7.3%
Malaysia	511	119,198,180	100%

Source: Valuation and Property Services Department (JPPH), Ministry of Finance.

Per Capita Retail Stock and Shopping Centre Stock in Malaysia and Selected States

	Malaysia	Kuala Lumpur	Selangor	Penang	Pahang
Retail Stock (sq ft) ¹	163,972,926	32,918,159	37,534,914	18,710,694	3,156,406
Shopping Centre Stock (sq ft) ¹	119,198,180	26,787,300	27,202,216	12,160,376	2,961,612
Shopping Centre Stock as a % of Retail Stock	72.7%	81.4%	72.5%	65.0%	93.8%
Retail Stock per capita (sq ft)	5.1	18.4	5.9	10.7	1.9
Shopping Centre Stock per capita (sq ft)	3.7	15.0	4.3	6.9	1.8

¹ Data as at Q3/2017

Source: Valuation and Property Services Department (JPPH), Ministry of Finance

Greater Kuala Lumpur

In 2017, four new malls opened in Greater Kuala Lumpur, with 2,175,600 sq ft of total retail space. Comparatively, there were six new malls opened in 2016 with retail space of 3,829,883 sq ft. The new completions are MyTOWN Shopping Centre (annexed to the IKEA Cheras), KL Gateway Mall, Melawati Mall and Amerin Mall. Greater KL have been leading the pack in the Malaysia retail industry, and more new malls are in the pipeline amid the soft market sentiment. We estimate approximately 5,109,384 sq ft and 12,836,000 sq ft of new retail space will be added to the existing stock of Kuala Lumpur and Selangor respectively by 2020. Significant future malls are the Pavilion Bukit Jalil (1,800,000 sq ft) and The Exchange Mall @ TRX (1,300,000 sq ft) are scheduled for completion by the end of 2020. The official opening of Empire City Mall (2,500,000 sq ft) was scheduled at the end of 2017 has been further delayed to the end of 2018. Other retail developments that are expected to be completed by the end of 2018 are Shoppes at Four Seasons Place (200,000 sq ft), Kiara 163 Shopping Mall (300,000 sq ft), KL Eco City Mall (250,000 sq ft), GM Robertson (109,384 sq ft), EVO Mall (251,000 sq ft), EkoCheras (600,000 sq ft), Selayang Star City (550,000 sq ft), Retail @ Pacific Star (350,000 sq ft), M Square Shopping Centre (380,000 sq ft), Horizon Village Outlet (400,000 sq ft), CentralPlaza Mall (940,000 sq ft) and KIP Mall Sungai Buloh (200,000 sq ft).

Penang

Retail market in Penang has been stagnant with no new openings during 2017. Although City Mall at Penang Island was completed at end 2017, it is currently vacant and there has been no news regarding the official opening. The construction of Phase 1 of Penang Sentral is on track and expected to be completed in the 1H/2018, and IKEA Batu Kawan is scheduled for completion by Q1/2019. Other retail developments in the pipeline are Phase 3 and Phase 4 of Penang Times Square (341,971 sq ft) scheduled for completion by the end of 2020. Retail developments that are still on the drawing board include Sunshine Central (900,000 sq ft), Southbay Plaza Mall (750,000 sq ft), The Light Waterfront Mall (866,871 sq ft), The Light Mixed Commercial Mall (497,400 sq ft), Sunway Valley City (NLA not available), and Penang World City (NLA not available) in Penang Island; Gem Megamall (1,000,000 sq ft), Phase 2 of Penang Sentral (500,000 sq ft) and Sunway Carnival Mall New Wing (300,000 sq ft) in the mainland.

Pahang

Kuantan City Mall is the new addition in Pahang retail market which opened in October 2017 and is anchored by Parkson department store, Jaya Grocer, and MBO cinemas. Future malls that are expected to be completed in the next three years are Complex KWRC Phase 1, KIP Mart Indera Mahkota and AEON Mall in Kuantan.

INDEPENDENT RETAIL MARKET OVERVIEW

▼ Future Supply of Retail Space in Shopping Centres in Selected States

Location	Future Shopping Centre Stock (’000 sq ft) ¹ 2018-2020	Future Shopping Centre Supply
Kuala Lumpur	5,109	2018: Shoppes at Four Seasons Place, Kiara 163 Shopping Mall, GM Robertson, KL Eco City Mall 2019: Star Boulevard Signature Retail 2020: The Exchange Mall @ TRX, Pavilion Bukit Jalil, Merdeka PNB 118, Retail Podium @ 8 Conlay
Selangor	12,836	2018: Evo Mall, EkoCheras, Empire City Mall, Selayang Star City, Retail @ Pacific Star, M Square Shopping Centre, Horizon Village Outlet, CentralPlaza Mall, KIP Mall Sg Buloh 2019: Bangi Gateway Mall 2, Retail Podium @ Datum Jelatek, Setia City Mall Phase 2, KSL City Mall Phase 1, KL East Gallery, Tropicana Gardens Mall 2020: KSL City Mall Phase 2, Paragon @ KL Northgate Mall
Penang	872	2018: Penang Sentral Phase 1 2019: IKEA Batu Kawan 2020: Penang Times Square Phase 3 and Phase 4
Pahang	1,077	2018: Complex KWRC Phase 1 2019: KIP Mart Indera Mahkota 2020: AEON Mall

1 Shopping centre stock indicates the net lettable area (NLA) of malls.
Source: Savills Research

Stock & Occupancy

Total available retail space and occupied retail space in Malaysia increased by 5.1% and 5.4%, respectively in Q3/2017, compared to the same period last year. The nation-wide occupancy rate of retail space increased marginally to 81.2% in Q3/2017 from 81.0% in Q3/2016. Moving forward, occupancy rates are expected to decline as the market would be seeing an influx of supply. Existing

malls that are becoming irrelevant retail destinations will face challenges as they compete with the new malls. However, favourable demographics and stable economic growth has attracted the entry of many new international brands which will continue to be the most positive factor for the sustainability of Malaysia retail market.

▼ Occupancy Rates of Retail Space in Malaysia as at Q3/2017

State	Total Space ¹ (sq ft)	Occupied Space (sq ft)	Occupancy Rate
WP Kuala Lumpur	32,918,159	28,067,515	85.3%
WP Putrajaya	657,567	555,740	84.5%
WP Labuan	306,018	303,219	99.1%
Selangor	37,534,903	32,113,557	85.6%
Johor	19,059,100	14,920,595	78.3%
Penang	18,710,672	13,245,948	70.8%
Perak	10,398,143	8,869,131	85.3%
Negeri Sembilan	5,218,662	3,673,934	70.4%
Melaka	6,424,218	4,544,411	70.7%
Kedah	6,250,381	5,022,974	80.4%
Pahang	3,156,406	2,211,120	70.1%
Terengganu	1,767,109	1,307,706	74.0%
Kelantan	3,604,615	3,316,358	92.0%
Perlis	601,379	601,379	100.0%
Sabah	7,944,081	6,662,101	83.9%
Sarawak	9,410,662	7,690,053	81.7%
Malaysia	163,962,076	133,105,742	81.2%

1 Retail stock includes shopping centres, arcades and hypermarkets.
Source: Valuation and Property Services Department (JPPH), Ministry of Finance

CAPITAL VALUES

The Malaysia retail investment market has been less buoyant recently due to the weak market sentiment and intensifying competition in retail industry. After a quiet 2016, the Greater Kuala Lumpur retail investment market recorded over RM1.2 billion worth of investment value in 2017. Based on historical mall transactions, the capital values and yields have varied widely primarily due to location factors.

SHOPPING CENTRE OWNERSHIP

In terms of ownership, the retail market in Malaysia is extremely fragmented. The vast majority of retail assets are independently owned (either by developers or funds), with only a few larger national players having portfolios of multiple assets.

INDEPENDENT RETAIL MARKET OVERVIEW

Capital Values from Shopping Centre Transactions from 2010 to 2017

Property	Year	NLA (sq ft)	Transaction Price (RM mil)	Capital Value (RM psf)	Purchaser
Aeon Bandaraya Melaka	2010	615,608	377.0	612	ARA Asia Dragon Fund
SACC Mall	2010	185,178	90.0	486	ARREIT
1 Mont'Kiara ¹	2010	410,000	333.0	812	ARA Asia Dragon Fund
Gurney Plaza	2010	707,503	800.0	1,131	CMMT
Sungei Wang ²	2010	450,470	724.0	1,607	CMMT
The Mines	2010	719,563	530.0	737	CMMT
Sunway Pyramid Shopping Mall	2010	1,685,568	2,300.0	1,365	Sunway REIT
Sunway Carnival Shopping Mall	2010	484,364	250.0	516	Sunway REIT
Selayang Mall	2010	379,685	128.0	337	Amanahraya REIT
Gurney Plaza (Extension)	2011	139,964	215.0	1,536	CMMT
Queensbay Mall ³	2011	892,361	651.8	730	CapitaLand
Putra Place (The Mall) ⁴	2011	507,193	223.0	440	Sunway REIT
East Coast Mall	2011	441,342	310.0	702	CMMT
Landmark Central Shopping Centre	2011	289,462	98.0	339	Hektar REIT
Central Square Shopping Centre ⁵	2011	300,782	83.0	276	Hektar REIT
Pavilion KL Mall	2011	1,335,119	3,190.3	2,390	Pavilion REIT
Citta Mall	2011	424,467	245.0	577	ARA Asia Dragon Fund
Kompleks Sungai Buloh	2012	114,130	68.5	600	The Store (M) Sdn Bhd
Mid Valley MegaMall	2012	1,718,951	3,440.0	2,001	IGB REIT
The Gardens Mall	2012	817,053	1,160.0	1,420	IGB REIT
KL Festival City	2014	450,000	349.0	775	Festival Mall Sdn Bhd & AsiaMalls Sdn Bhd
Mydin Hypermall	2015	536,507	250.0	466	AmFirst REIT
Tropicana City Mall and Office Tower ⁶	2015	549,494	540.0	983	CMMT
Mydin Seremban 2	2015	430,595	240.0	557	Amanah Harta Tanah PNB
da:men ⁷	2015	420,290	488.0	1,159	Pavilion REIT
The Intermark Mall ⁸	2015	225,014	160.0	711	Pavilion REIT
1Segamat Shopping Complex ⁹	2016	223,439	104.0	465	Hektar REIT
AEON Mall Seremban 2	2016	372,807	215.0	577	AEON REIT Investment Corp.
Empire Shopping Gallery ¹⁰	2017	350,000	570.0	1,629	Pelaburan Hartanah Berhad
Aeon Mahkota Cheras Shopping Centre	2017	211,405	87.8	415	Foremost Wealth Management Sdn Bhd
Elite Pavilion Mall ¹¹	2017	229,609	580.0	2,397	Pavilion REIT

Source: Savills Research, REIT prospectuses and annual reports, and published news source.

1 The total NLA and acquisition price for 1 Mont'Kiara includes the shopping centre and a 20-storey office tower with roughly 185,000 sq ft of NLA.

2 CMMT acquired 205 strata parcels within the mall which, based on the total share units allocated to the 205 strata parcels, represents 62.8% of the voting rights in Sungei Wang Plaza Management Corporation. These 205 strata parcels consist of retail space with an aggregate floor area of approximately 511,103 sq ft (representing approximately 61.9% of the aggregate retail floor area of Sungei Wang) and approximately 1,298 car park bays with an aggregate floor area of approximately 435,411 sq ft, (which comprises 100.0% of the car park bays in Sungei Wang).

3 CapitaLand acquired about 90.7% of the mall's retail strata area (approximately 916,181 sq ft) and all its car park spaces.

4 Putra Place consists of The Mall (retail), 100 Putra Place (office), The Legend Hotel (hotel) and 1,323 car parking bays. The consideration paid for the auction of The Putra Place was RM513.95 million. According to the announcement by Sunway REIT, the 507,193 sq ft shopping centre was valued at RM223 million.

5 The purchase was based on 110 strata parcels within the shopping mall (measuring 464,520 sq ft and representing 85% of the voting rights in Perbadanan Pengurusan Komplek Central Square) together with all the accessory parcels thereto, which consists of retail space with an aggregate NLA of approximately 300,782 sq ft and 488 car parking bays.

6 The purchase includes a four (4) storey shopping mall (448,248 sq ft NLA) and the car park (comprising 1,759 car park bays) and a twelve (12) storey Tropicana City Office Tower (101,246 sq ft NLA).

7 The purchase includes a five (5) storey shopping mall of approximately 420,920 sq ft of NLA and two (2) levels of basement car park with 1,672 bays.

8 The purchase includes a six (6) storey shopping mall of approximately 225,014 sq ft of NLA and five (5) levels of basement car park with 367 bays.

9 The purchase includes a three (3) storey shopping mall of approximately 223,439 sq ft NLA and the car park rights to operate and maintain a car park operation on Lot 236.

10 The purchase includes a call option to buy back the shopping mall after five years from the date of purchase, and the seller has the first refusal to buy the mall should PHB decide to dispose of it within five years.

11 The purchase includes Elite Pavilion Mall (220,609 sq ft of NLA), extension-connections (9,380 sq ft of NLA), subway linkage (2,940 sq ft of NLA) and 50 car park bays located at Level B3 to Level 2 of the said building.

MARKETING AND PROMOTIONS



Fashion Week 2017, East Coast Mall



CHEER 2017, Tropicana City Mall



Hari Raya, Gurney Plaza



The Superheroes Comic Art Fair 2017, Sungei Wang

PORTFOLIO-WIDE ACTIVITIES

In 2017, CMMT's portfolio-wide marketing activities continued to focus on building shopper and tenant loyalty through customer-centric experiences and rewards through CapitaStar platform. Through these activities, we aim to further increase our shopper traffic and enhance tenants' sales.

CapitaStar

CapitaStar is CapitaLand's multi-store, multi-mall loyalty initiative that offers shoppers with additional benefits over and above existing credit card and store rewards. Participating CMMT malls in this card-less loyalty programme are Gurney Plaza, Tropicana City Mall, The Mines and East Coast Mall. In conjunction with the Chinese New Year celebration, a limited-edition Coca-Cola Bottle redemption campaign was held in January 2017. Starting from June 2017, CapitaStar members can redeem car park rebates with their STAR\$®.

In conjunction with CapitaStar's anniversary celebration, members were rewarded with 3X STAR\$® rewards from 1 November – 31 December 2017 whenever they shopped at participating outlets and the monthly top spenders were awarded with RM1,000 shopping vouchers.

Cross-mall Initiative

In conjunction with the celebration of Malaysia's 60th National Independence Day, a cross-mall initiative took place between The Mines and Tropicana City Mall. 20 underprivileged children from two charitable organisations participated in a Mini Cooper convoy from The Mines to Tropicana City Mall with activities and refreshments sponsored by participating retail partners including Oliver Gourmet, Starbucks, Didi and Friends Playtime, Nando's and JKids.

MARKETING AND PROMOTIONS

MALL-CENTRIC ACTIVITIES

Each mall also organised a series of memorable and unique experiences to reinforce its positioning and strengthen shoppers' loyalty.

▼ GURNEY PLAZA

LOGAN: Mutant Boot Camp

Gurney Plaza organised a Virtual Reality Challenge alongside 'LOGAN' movie-themed activities such as the Logan Photo Exhibition, Logan Figurine Display and the Logan Signature Claw Photo Contest. The winners of the Virtual Reality Challenge walked away with special edition Logan figurines.

Fashion Redefined

This year, fashion was redefined at Gurney Plaza with the participation of Sacoor Brothers, an international fashion lifestyle brand. Other prominent labels include TSL, Dorothy Perkins, Warehouse, Miss Selfridge, Bonia, Duchess & Co and Fossil where shoppers were treated to a fashion show showcasing the respective brands' latest collections. The main highlight of the event was the Virtual Dressing Kiosk where shoppers were able to experience the selected outfits virtually.

TsumTsum Summer Fun Fest

Tapping on the popularity of TsumTsum Line Game, Gurney Plaza brought in the Tsum Tsum Character Display featuring adorable stackable characters from Mickey & Friends, Winnie The Pooh, Frozen, Toy Story and Lilo & Stitch. Children were delighted to participate in activities such as the TsumTsum game challenge and mug customisation. There were also a wide range of Tsum Tsum merchandise on display and for sale.

Meet & Greet with K-pop Star and TVB Artists

This year, Gurney Plaza hosted international artists meet & greet the fans sessions throughout October. Shoppers were excited to meet popular Korean sensation Kang Gary and Jessica Jung and famous TVB artists from Hong Kong comprising Nancy Wu, Elaine Yiu, Joel Chan and Pierre Ng.

George Town Fest – The Great Dave

The Great Dave's specialty is mixing high-level circus skills with character and comedy, wowing the audience and engaging them with his signature tricks of crockery manipulation which involves kicking cups, saucers and then a spoon from his foot to a balanced stack atop his head while riding a 6-feet unicycle.

▼ SUNGEI WANG

The Superheroes Comic Art Fair 2017

The Superheroes Comic Art Fair 2017 was co-organised with Roots Studio to attract die-hard comic enthusiasts. Several activities were held such as comic art exhibition, black-and-white comic line art showcase and fusion wayang kulit performance. There were also special appearances by top international and local comic creators alongside a Toy and Collectibles Auction, and an introduction of comic production process by established local creators.

Toys Collectors Exhibition Malaysia 2017

20 collectors throughout Malaysia were invited to collectively display more than 200 toys and figurines of various superhero characters, Harry Potter, Star Wars, limited edition mannequins, weapon replicas and more. This exhibition took place in conjunction with "The Superheroes Comic Art Fair 2017".

Tastefully Japan at Sungei Wang 2017

Tastefully Japan is a Japanese-themed event hosted by CMMT and this unique food-tasting initiative featured more than 20 street food and food truck operators offering various types of Japanese street food including traditional delicacies, snacks and Japanese drinks.

Fashion Mix Up at Sungei Wang 2017

A collaboration with Refash Malaysia, the main objective of the event was to provide a chance for fashion design students to unleash their hidden artistic talents by taking part in several contests such as Project Runway, Mannequin Design and Mix & Match Fashion. Apart from that, shoppers had the opportunity to participate in various exciting workshops including 3D Fashion Flora with Limzy; Make Your Own Jewelry; Styling Tips and Tricks; and Make Your Own Fabric Pouch. Several local and Singaporean fashion retailers also showcased a fashion tradeshow exhibition including Refash, Tinsel Rack, Fayth and Ohvola, SA Creations and ZHL.

▼ TROPICANA CITY MALL

Mobile Legends South-East Asia Cup Qualifier Finals 2017

e-Sports fans from Malaysia and Singapore converged at Tropicana City Mall's atrium on 29 and 30 July 2017 for the Mobile Legends South-East Asia Cup Qualifier Finals. A total of 14 teams took part in the tournament that was held in collaboration with Huawei Malaysia, the official smartphone partner for the championship boosting a total prize money of US\$10,000.

Da Hong Hua Tea Fair

The highly anticipated week-long Da Hong Hua Tea Fair was held in May 2017 with more than 50 tea exhibitors showcasing a variety of teas, brewing accessories and other paraphernalia.

CHEER 2017

CHEER is Malaysia's biggest cheerleading competition established in 2000 and in August 2017, CHEER 2017 finals was held at the main atrium of Tropicana City Mall. Shoppers had a chance to witness the country's most talented cheerleading teams perform their craziest stunts and winning routines.

Funday Kids Fair & Urban Playz Outdoor Playland

In conjunction with the school holidays and to encourage family bonding time, fun children activities were organised in collaboration with Urban Playz and participating tenants – SaSa, Okashi World, Rockstar Gym, TBM, Oliver Gourmet and Golden Screen Cinemas. During the Funday Kids Fair in May 2017, there were many activities specially curated for children including inflatable wall climbing, Rodeo Bull, Gladiator Joust, Oculus Rift VR Set, Playstation VR Set, Xbox 360 Kinect Set, t-shirt painting workshop, sand art, Kids DIY Toy Food, Movie Game Booths as well as free ice cream and cotton candy. For the Urban Playz Outdoor Playland which took place in August 2017, kids and adults alike enjoyed the trampoline, wall climbing, high rope, obstacles and pedal go-kart activities.

Yummilicious Food Taste

Yummilicious Food Taste event at Tropicana City Mall was held in July 2017 in collaboration with Brussels Beer Cafe, Little Fat Duck, Caffé Pascucci Malaysia, S'mores Bar & Restaurant, Oliver Deli, The Coffee Bean & Tea Leaf and Three Little Pigs & the Big Bad Wolf. About 60 shoppers enjoyed the specially curated food tasting sessions on a food tour around the mall.

New Year's Eve Celebration

Tropicana City Mall celebrated the start of 2018 with a spectacular New Year's Eve LED Drum performance at the Ground Floor external F&B cluster. The night was illuminated with LED lights and shoppers were treated to a fire act performance, magic show and live band and music deejay performances.

THE MINES

SuperMom Competition

In conjunction with Mother's Day Campaign, an ala-Amazing Race "SuperMom" competition was organised with partnerships from participating tenants – Spotlight, AlMendi's, Dees, MOG, Thai Odyssey, Mr & Mrs Hair Gallery and CARs International. 20 tag teams consisting of mother and child took part in this competition and the winning team took home prizes worth more than RM2,000.

Wonder Woman Movie Tie-Up

In conjunction with the release of 'Wonder Woman' blockbuster movie, The Mines partnered with Warner Bros. for a campaign that rewarded shoppers with exclusive movie tickets redemption, characters' showcase and a social media contest to boost the mall's popularity and visibility.

Foodtopia

Foodtopia made its debut this year at The Mines with specially arranged food tours at participating dining outlets. More than 200 participants comprising food bloggers and CapitaStar members attended the Food Tours in March and November. Both campaigns were successful in boosting the sales for the participating tenants through the F&B Weekday Specials that were offered during the campaigns.

EAST COAST MALL

Smurfs 2017

East Coast Mall collaborated with Sony Pictures to organise various activities for children in conjunction with Golden Screen Cinemas' 30th Anniversary celebration and the release of 'Smurfs' during the school holidays in March 2017. The activities included Smurfs' characters meet-and-greet, colouring contest, Smurfs' House Sculpting Workshop and trivia sessions where shoppers stood a chance to win limited edition movie premiums.

Fashion Week 2017

In October 2017, East Coast Mall held a fashion show – the East Coast Fashion week in collaboration with international brands including GUESS, Timberland, Esprit, Levi's, Skechers, Bonia, Carlo Rino, Sembonia and Hi Style. Shoppers were treated to a fashion showcase of the respective brands' latest collections and special promotions at the participating outlets. CapitaStar members were entitled to exclusive fashion voucher redemptions and in conjunction with CapitaStar anniversary, a personalised photo booth was set up at the main entrance of the mall for members.

PROPERTY SUMMARY

Portfolio – Key Information

	Tropicana City Property					
	Gurney Plaza	Sungei Wang	Tropicana City Mall	Tropicana City Office Tower	The Mines	East Coast Mall
Gross Floor Area (sq ft)	1,252,031	511,103 ¹	639,477	129,630	1,150,798	1,034,617 ²
Net Lettable Area (sq ft) (as at 31 Dec 2017)	896,798	453,768	466,465	101,258	735,050	485,088
Number of Committed Leases (as at 31 Dec 2017)	431	224	170	4	312	192
Committed Occupancy (%) (as at 31 Dec 2017)	99.4	90.1	92.6	86.7	94.4	98.9
Car Park Lots	1,836	1,298	1,759		1,282	1,101
Year of Completion	2001 ³	1977	2008	2009	1997	2008
Acquisition Price (RM mil)	1,015 ⁴	724	540		530	310
Market Value / Net Book Value⁵ (RM mil) (as at 31 Dec 2017)	1,575	583	570		727	511
Gross Revenue (RM mil) (for FY 2017)	145.7	37.9	43.8	6.5	75.6	59.4
Net Property Income (RM mil) (for FY 2017)	104.6	16.5	24.9	4.1	47.7	39.3
Shopper Traffic in 2017 (mil)	17.0	13.2	7.7	–	10.7	10.4
Key Tenants	Parkson, Golden Screen Cinemas, Marks & Spencer, Omega, Rolex, AIX Armani Exchange, Montblanc, Bell & Ross, Swarovski, Topshop, Topman, British India, Cold Storage, Uniqlo, MPH, Padini Concept Store, Jatomi Fitness, DRAGON-i and Din Tai Fung	Parkson, Giant, MR. D.I.Y., F.O.S, SUB, Daiso, Food Emporium and KFC	AEON Big, Oliver Gourmet, Golden Screen Cinemas, Jatomi Fitness, RockStar Gym, TBM, Uniqlo, Cotton On, Kingdom Palace Restaurant, Brussels Beer Café, S'mores Bar & Restaurant, Yakitori Kurenai and Powerplant	Tropicana Golf and Country Resort Berhad, Star Media Radio Group Sdn. Bhd. and CIMB Investment Bank Berhad	Giant, Spotlight, TGV Cinemas, Celebrity Fitness, SenQ, ACE Hardware, Uniqlo, Voir Gallery, F.O.S, Daiso, RockStar Gym, Oliver Gourmet, MR. D.I.Y., LOL and Mines Cruise	Parkson, AEON Big, Golden Screen Cinemas, Uniqlo, Padini Concept Store, Guess, M.A.C, Pandora, Birkenstock, L'Occitane, Daiso, The Coffee Bean & Tea Leaf, Starbucks Coffee, Manhattan Fish Market, Seoul Garden HotPot, Switch and SMO Bookstore

¹ Equal to 47,483 square metres, representing approximately 61.9% of the aggregate retail floor area of Sungei Wang.

² Includes the car park area as gross floor area is defined by the requisite authorities in Kuantan to be inclusive of the car park area.

³ Gurney Plaza was completed in 2001 and Gurney Plaza Extension in 2008.

⁴ Equal to RM800.0 million for Gurney Plaza and RM215.0 million for Gurney Plaza Extension.

⁵ Equal to carrying value.

PORTFOLIO DETAILS

GURNEY PLAZA

Gurney Plaza is strategically located along the famous Gurney Drive promenade in Penang and approximately three kilometres to the north-west of the city centre of Georgetown, Penang's capital. It is the leading premier lifestyle shopping mall in Northern Region and the preferred destination for shopping, dining and entertainment under-one roof catering to both family and tourists.

Gurney Plaza is a nine-storey shopping mall with two levels of basement comprising nine floors of retail space from Basement 1 to Level 7, and car park spaces at the two basement levels, Level 4 to Level 8 and on the rooftop. As Penang's premier lifestyle shopping mall, it houses various well-known brands for shopping, dining and entertainment.

Gurney Plaza is anchored by Parkson and is the only mall in the north of Peninsular Malaysia to carry well-established international brands such as Omega, Rado, Montblanc, Bell & Ross, Tissot, Thomas Sabo, Pandora, Swarovski, CK Jeans, AIX Armani Exchange, Sacoor Brothers, SuperDry, Warehouse, Miss Selfridge, Mango Man, Fossil, Red Army Watches, Chanel, Dior Parfum, Jo Malone, Bobbi Brown, Shu Uemura, Laura Mercier, Les Nereides France, Marks & Spencer, Jatomi Fitness, Japan's Doutor Coffee and DRAGON-i. Din Tai Fung, an award-winning Michelin Star restaurant, opened its first outlet in Penang at Gurney Plaza.

Centre Management

Peter Chan	Centre Management
Wong Shu Ying	Marketing Communications
Mandy Leong	Leasing
Yeoh Kim Bock	Operations

Gurney Plaza – Property Information

Title	HS(D) 17259 Lot 5626 Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang and Geran 130393 Lot 5628 Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang
Net Lettable Area (sq ft) (as at 31 December 2017)	896,798
Number of Committed Leases (as at 31 December 2017)	431
Committed Occupancy (%)	99.4
Car Park Lots	1,836
Market Valuation (RM mil) Conducted by Savills (Malaysia) Sdn. Bhd. (as at 31 December 2017)	1,575
Gross Revenue (RM mil) (for FY 2017)	145.7
Net Property Income (RM mil) (for FY 2017)	104.6
Shopper Traffic in 2017 (mil)	17.0
Key Tenants	Parkson, Golden Screen Cinemas, Marks & Spencer, Omega, Rolex, AIX Armani Exchange, Montblanc, Bell & Ross, Swarovski, Topshop Topman, British India, Cold Storage, Uniqlo, MPH, Padini Concept Store, Jatomi Fitness, DRAGON-i and Din Tai Fung.

PORTFOLIO DETAILS

▼ Gurney Plaza – Lease Expiry Profile

(as at 31 December 2017)

Year	By Gross Rental Income (%)	By Net Lettable Area (%)
2018	37.6	30.2
2019	33.7	46.4
2020 and beyond	28.7	23.4

▼ Gurney Plaza – Trade Sector Analysis

(as at 31 December 2017)

Trade Sector	By Gross Rental Income (%)	By Net Lettable Area (%)
Fashion/Accessories	36.4	22.7
Food & Beverages	17.7	13.3
Beauty/Health	13.6	9.5
Services	5.9	4.0
Departmental Store	7.0	18.7
Leisure & Entertainment/Sports & Fitness	6.4	12.7
Electronics/I.T.	2.7	3.4
Supermarket/Hypermarket	1.3	2.7
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	4.6	6.4
Houseware/Furnishings	2.8	4.2
Others	1.6	2.4

▼ Gurney Plaza – Title Particulars

Title	HS(D) 17259 Lot 5626 Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang and Geran 130393 Lot 5628 Seksyen 1, Bandar George Town Daerah Timor Laut, Negeri Pulau Pinang ¹
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	The land comprised in the title: ▼ shall not be affected by any provision of the National Land Code (Code) limiting the compensation payable on the exercise by the State Authority of a right of access or use conferred by Chapter 3 of Part Three of the Code or on the creation of a Land Administrator's right of way; and ▼ subject to the implied condition that land is liable to be re-entered if it is abandoned for more than three years shall revert to the State only if the proprietor for the time being dies without heirs; and ▼ the title shall confer the absolute right to all forest produce and to all oil, mineral and other natural deposits on or below the surface of the land (including the right to work or extract any such produce or deposit and remove it beyond the boundaries of the land).
Encumbrances²	There is a lease of part of the land in favour of Parkson Corporation Sdn. Bhd. (Company No. 157029-X) registered on 13 October 2004 via presentation no. 0799SC2004029845 for a period of fifteen (15) years commencing from 3 August 2001 to 2 August 2016 that remains endorsed on the title. There is a charge on the land in favour of Public Bank Berhad (Company No. 6463-H) vide presentation no. 0799SC2011034916 registered on 5 October 2011.
Endorsements	Transfer of ownership by Gurney Plaza Sdn Bhd (Company No. 141240-K) to MTrustee Berhad (Company No. 163032-V) registered on 5 October 2011 vide presentation no. 0799SC2011034910. An easement in favour of Gurney Plaza over the vehicle ramp of G Hotel to enable, among other things, the visitors of Gurney Plaza to use the vehicle ramp for the purpose of accessing Basements 1 and 2 of Gurney Plaza. An easement in favour of Gurney Plaza over part of Basement 2 of G Hotel to enable the owner of Gurney Plaza access to the exhaust fan room located on Basement 2 of G Hotel. An easement in favour of G Hotel over part of Basement 2 of Gurney Plaza to enable G Hotel access to its car parks on Basement 2 of Gurney Plaza. An easement in favour of G Hotel over part of the al-fresco area located between Gurney Plaza and G Hotel. An easement in favour of Gurney Plaza in respect of the roadway along the main entrance of G Hotel fronting Gurney Drive. An easement in favour of G Hotel in respect of the roadway along the main entrance of Gurney Plaza fronting Gurney Drive. An easement in favour of G Hotel over part of the landscape park to allow the use of buggies, carts, trishaws or similar conveyances through over and along part of the landscape park for the purpose of ferrying guests, employees, luggage, baggage and the like to and from G Hotel. An easement in favour of the landscape park over the driveway of Pine and Maple Towers for the purpose of access to and from the landscape park.

1 The title HS(D) 17259 Lot 5626 is one of the sub-divided titles resulting from a sub-division application for the master title Geran 97112, Lot 2903 and the financing documentation for Gurney Plaza makes reference to this master title. The adjacent landscape park is on another subdivided title which was HS(D) 17261 Lot 5628 which is now under a final title Geran 130393 Lot 5628.

2 The encumbrances pertain to the title HS(D) 17259 Lot 5626. The title Geran 130393 Lot 5628 is unencumbered.

PORTFOLIO DETAILS

SUNGEI WANG

Sungei Wang, which translates as ‘the river of gold’, opened in 1977. It is one of the popular shopping centres in Kuala Lumpur’s prime shopping and commercial precinct – the ‘Golden Triangle’ – an area that comprises three bordering streets, namely Jalan Bukit Bintang, Jalan Sultan Ismail and Jalan Imbi.

A one-stop shopping centre ‘for all kinds of everything’, Sungei Wang is also well-known for its unique blend of specialty stores and entertainment outlets that appeals to the mass market. Being strategically located in the Bukit Bintang shopping precinct, it enjoys patronage from local and international tourists. Currently, the mall is temporarily impacted by the closure of adjoining Bukit Bintang Plaza.

Sungei Wang is an 11-storey retail shopping centre with two basement levels and two elevated levels of car park. The mall’s elevated car parks are not operational as the entrance via Jalan Bulan is closed due to the redevelopment of Bukit Bintang Plaza. The mall is anchored by Parkson and other key tenants within CMMT’s strata parcels include Giant, MR. D.I.Y., F.O.S, SUB, Daiso, Food Emporium and KFC.

Centre Management

Elise Lim	Centre Management
Louise Loo	Marketing Communications
Amy Tan	Leasing
Khalid Johan	Operations

▼ Sungei Wang – Property Information¹

Title	205 parcels, each with individual strata title, in the building erected on land held under master title GRN 11043, Lot 1197 Seksyen 67, Bandar Kuala Lumpur, Daerah Kuala Lumpur, Negeri Wilayah Persekutuan Kuala Lumpur ² .
Net Lettable Area (sq ft) (as at 31 December 2017)	453,768
Number of Committed Leases (as at 31 December 2017)	224
Committed Occupancy (%)	90.1
Car Park Lots	1,298
Market Valuation (RM mil) Conducted by PPC International Sdn. Bhd. (as at 31 December 2017)	583
Gross Revenue (RM mil) (for FY 2017)	37.9
Net Property Income (RM mil) (for FY 2017)	16.5
Shopper Traffic in 2017 (mil)	13.2
Key Tenants	Parkson, Giant, MR. D.I.Y., F.O.S, SUB, Daiso, Food Emporium and KFC

- 1 All information in this table and pertaining to the lease expiry profile, top 10 tenants and trade sector analysis pertain to CMMT’s interest in Sungei Wang. The strata titles to Sungei Wang have been issued and the management corporation, Sungei Wang Plaza Management Corporation, is responsible for the maintenance and management of common areas within Sungei Wang, as well as mall- specific marketing and events.
- 2 The total share units allocated to the 205 strata titles owned by CMMT represent approximately 62.8% of the voting rights in Sungei Wang Plaza Management Corporation. These 205 strata parcels consist of retail space with an aggregate floor area of approximately 511,103 sq ft (representing approximately 61.9% of the aggregate retail floor area of Sungei Wang) and approximately 1,298 car park bays with an aggregate floor area of approximately 435,411 sq ft, (which comprises 100.0% of the car park bays in Sungei Wang).

▼ Sungei Wang – Lease Expiry Profile

(as at 31 December 2017)

Year	By Gross Rental Income (%)	By Net Lettable Area (%)
2018	52.2	71.6
2019	18.7	10.8
2020 and beyond	29.1	17.6

▼ Sungei Wang – Trade Sector Analysis

(as at 31 December 2017)

Trade Sector	By Gross Rental Income (%)	By Nett Lettable Area (%)
Fashion/Accessories	28.5	16.6
Food & Beverages	23.4	13.5
Beauty/Health	12.4	6.2
Services	8.0	15.0
Departmental Store	5.3	26.2
Leisure & Entertainment/Sports & Fitness	0.8	0.5
Electronics/I.T.	1.6	1.4
Supermarket/Hypermarket	8.0	5.5
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	5.4	5.6
Houseware/Furnishings	2.2	4.0
Others	4.4	5.5

PORTFOLIO DETAILS

▼ Sungei Wang – Title Particulars

Title	205 parcels, each with individual strata title ¹ , in the building erected on land held under master title GRN 11043, Lot 1197 Seksyen 67, Bandar Kuala Lumpur, Daerah Kuala Lumpur, Negeri Wilayah Persekutuan Kuala Lumpur ² .
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	The land must be used for commercial building only. Development on the land must comply with the development order issued by the Datuk Bandar, Kuala Lumpur.
Encumbrances²	There is a lease of part of the land to Lembaga Letrik Negara Tanah Melayu registered on 6 May 1976 vide presentation no. PDSC 3444/1976 Vol. 3 Fol. 150 for a period of 30 years commencing from 11 January 1976 to 10 January 2006.³ There is a lease of part of the land to Tenaga Nasional Berhad registered on 31 December 1993 vide presentation no. PDSC 21493/1993 Vol. 9 Fol. 21 for a period of 30 years commencing from 15 March 1993 to 14 March 2023⁴. Strata title bearing Geran 11043/M1/3/312 is subject to a lease of land in favour of Premier Honour Sdn Bhd (Company No. 653322-W) registered on 26 March 2012 vide presentation no. PDSC 9564/2012 for 30 years starting 31 August 2008 to 30 August 2038.
Endorsements⁵	Easements between Sungei Wang and Bukit Bintang Plaza vide presentation nos. PDSC 15174/2001 and PDSC 15175/2001 pursuant to two easement agreements made between the owner of Bukit Bintang Plaza, UDA Holdings Berhad (UDA) and the developer of Sungei Wang, Sungei Wang Plaza Sdn. Bhd. (SWPSB). These easements relate to two easement agreements between UDA and SWPSB whereby UDA agreed to grant to SWPSB a right of way from the entrance of Basement 1 and over the ramps of Bukit Bintang Plaza to access Levels 4 and 5 of Sungei Wang (which form part of CMMT's interest in Sungei Wang) and SWPSB in turn agreed to grant to UDA the right of way over part of Basement 2 of Sungei Wang⁶. Revision on quit rent from RM70,696.00 to RM81,301.00 according to Section 101 of the National Land Code starting 1 January 2006. Registration of Sungei Wang Plaza Management Corporation (SWPMC) on 21 November 2008 vide presentation no. PDN 1183/2008.

¹ The strata title held under Geran 11043/M1/3/312 is subject to a lease registered in favour of Premier Honour Sdn. Bhd. on 26 March 2012 vide presentation no. PDSC 9564/2012. The said lease is for a period of 30 years starting from 31 August 2008 to 30 August 2038.

² The total share units allocated to the 205 strata titles owned by CMMT represent approximately 62.8% of the voting rights in SWPMC.

³ This lease of part of the land to Lembaga Letrik Negara Tanah Melayu is endorsed on the master title of Sungai Wang.

⁴ This lease of part of the land to Tenaga Nasional Berhad is endorsed on the master title to Sungei Wang.

⁵ The endorsements are stated on the master title to Sungei Wang, which is registered in the name of SWPMC.

⁶ UDA has vide the Deed of Easement dated 8 June 2010 granted to Vast Winners Sdn. Bhd. (VWSB) easement rights over the ramps of Bukit Bintang Plaza to access Levels 4 and 5 of Sungei Wang and part of Basement 1 and 2 of Bukit Bintang Plaza pursuant to which the contractual rights were subsequently assigned by VWSB to MTrustee Berhad as trustee for CMMT on 14 June 2010. Concurrently, VWSB granted to UDA easement rights over part of Basement 1 and 2 of Sungei Wang pursuant to another Deed of Easement dated 8 June 2010 which was then assigned also to MTrustee Berhad as trustee for CMMT.

TROPICANA CITY MALL AND TROPICANA CITY OFFICE TOWER

Tropicana City Mall and Tropicana City Office Tower are part of an integrated commercial development which is strategically located at the intersection of two major highways, making it easily accessible from Kuala Lumpur and various parts of Petaling Jaya.

With its positioning as the preferred dining and gourmet shopping destination, Tropicana City Mall is a four-storey mall that offers a good selection of food and beverage tenants, established retailers and a hypermarket, which appeals to the residents from the surrounding established and affluent residential estates as well as workers from the neighbouring office catchment.

Tropicana City Office Tower is a 12-storey office block and is seamlessly connected to the retail mall via an overhead covered link bridge.

Tropicana City Mall is anchored by an established mix of local and international retailers including AEON Big, Oliver Gourmet, Golden Screen Cinemas, Jatomi Fitness, RockStar Gym, TBM, Uniqlo, Cotton On, Kingdom Palace Restaurant, Brussels Beer Café, S'mores Bar & Restaurant, Yakitori Kurenai and Powerplant.

Centre Management

Lawrence Teh	Centre Management
Paulin Lim	Marketing Communications
Carmen Liew	Leasing
Anandan Perumal	Operations

Tropicana City Mall and Tropicana City Office Tower – Property Information

Title	Tropicana City Mall	Tropicana City Office Tower
	Master Title Geran 54431, Lot 45821, Section 39, Bandar Petaling Jaya, District of Petaling, State of Selangor Darul Ehsan	
Net Lettable Area (sq ft) (as at 31 December 2017)	466,465	101,258
Number of Committed Leases (as at 31 December 2017)	170	4
Committed Occupancy (%)	92.6	86.7
Car Park Lots		1,759
Market Valuation (RM mil) Conducted by Henry Butcher Malaysia Sdn. Bhd. (as at 31 December 2017)		570
Gross Revenue (RM mil) (for FY 2017)	43.8	6.5
Net Property Income (RM mil) (for FY 2017)	24.9	4.1
Shopper Traffic in 2017 (mil)	7.7	–
Key Tenants	AEON Big, Oliver Gourmet, Golden Screen Cinemas, Jatomi Fitness, RockStar Gym, TBM, Uniqlo, Cotton On, Kingdom Palace Restaurant, Brussels Beer Café, S'mores Bar & Restaurant, Yakitori Kurenai and Powerplant.	Tropicana Golf and Country Resort Berhad, Star Media Radio Group Sdn. Bhd. and CIMB Investment Bank Berhad.

PORTFOLIO DETAILS

▼ Tropicana City Property Lease Expiry Profile – By Committed Gross Rental Income

(as at 31 December 2017)

Year	Retail (%)	Office (%)
2018	57.9	77.0
2019	16.1	23.0
2020 and beyond	26.0	0.0

▼ Tropicana City Property Lease Expiry Profile – By Net Lettable Area

(as at 31 December 2017)

Year	Retail (%)	Office (%)
2018	49.5	78.5
2019	15.2	21.5
2020 and beyond	35.3	0.0

▼ Tropicana City Property Trade Sector Analysis – Retail Only

(as at 31 December 2017)

Trade Sector	By Gross Rental Income (%)	By Net Lettable Area (%)
Fashion/Accessories	11.7	7.7
Food & Beverages	30.9	20.5
Beauty/Health	16.7	12.9
Services	5.5	2.4
Leisure & Entertainment/Sports & Fitness	4.2	8.8
Electronics/I.T.	4.1	3.8
Supermarket/Hypermarket	13.0	26.9
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	2.2	2.9
Houseware/Furnishings	4.2	4.0
Others	7.5	10.1

▼ Tropicana City Mall & Tropicana City Office Tower – Title Particulars

Title	Master title Geran 54431, Lot 45821, Section 39, Bandar Petaling Jaya, District of Petaling, State of Selangor Darul Ehsan ¹
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	Commercial
Encumbrances²	There is a lease of part of the land in favour of Tenaga Nasional Berhad (Company No. 200866-W) registered on 5 May 2017 vide presentation no. 35763/2017 for a period of 30 years commencing from 8 March 2017 and ending on 7 March 2047.
Endorsements³	Revision of quit rent registered on 9 April 2016 vide presentation no. 81180/2016 Revision of quit rent from RM113,116 to RM121,060 according to Section 101 of the National Land Code starting 1 January 2017 Registrar's Caveat registered vide presentation number 5542/2007 on 14 February 2007⁴ Registrar's Caveat registered vide presentation number 44744/2007 on 29 October 2007⁴ Registrar's Caveat registered vide presentation number 15783/2008 on 16 April 2008⁴ Registrar's Caveat registered vide presentation number 34848/2008 on 30 July 2008⁴ Registrar's Caveat registered vide presentation number 24209/2009 on 5 June 2009⁴ Application for subdivision of the building registered on 5 August 2015 vide presentation no. 2863/2015

- 1 Application for subdivision for issuance of strata titles has been submitted by the developer, Tropicana City Sdn Bhd, to Pejabat Tanah dan Galian Selangor on 5 August 2015.
- 2 Relates to the Master Title. As the strata titles for Tropicana City Mall and Tropicana City Office Tower are pending issuance, the sale and purchase agreement of Tropicana City Mall and Tropicana City Office Tower has been assigned and charged to the licensed bank and upon issuance of the strata titles, a charge will be lodged accordingly.
- 3 Relates to the Master Title.
- 4 Relates to the service apartment, Tropics, which is erected on part of the land held under the Master Title and which was not part of the purchase by CMMT in the acquisition of Tropicana City Mall and Tropicana City Office Tower.

PORTFOLIO DETAILS

THE MINES

The Mines is located at the south of the federal district of Kuala Lumpur in Seri Kembangan town centre. It is a lifestyle suburban family mall targeted at residents residing and working in the southern region of Kuala Lumpur and Selangor.

The Mines has five levels of retail and car park area and is well-known for its Venetian-like internal water canal. It is linked to the Mines International Exhibition & Convention Centre, Philea Mines Beach Resort and The Mines Resort & Golf Club.

The Mines underwent an asset enhancement exercise in 2008-2009, transforming it into a modern and lifestyle suburban mall with extensive retail offerings catering to all market segments. It is anchored by Giant. Other key tenants include Spotlight, TGV Cinemas, Celebrity Fitness, SenQ, ACE Hardware, Uniqlo, Voir Gallery, F.O.S, Daiso, RockStar Gym, Oliver Gourmet, MR. D.I.Y., LOL and Mines Cruise.

Centre Management

Nelly Ooi	Centre Management
Paulin Lim	Marketing Communications
Bernard Ng	Leasing
Anandan Perumal	Operations

The Mines – Property Information

Title	No. H.S.(D) 59894, No. PT. 16722, Mukim Petaling, Daerah Petaling, Negeri Selangor Darul Ehsan
Net Lettable Area (sq ft) (as at 31 December 2017)	735,050
Number of Committed Leases (as at 31 December 2017)	312
Committed Occupancy (%)	94.4
Car Park Lots	1,282
Market Valuation (RM mil) Conducted by PPC International Sdn. Bhd. (as at 31 December 2017)	727
Gross Revenue (RM mil) (for FY 2017)	75.6
Net Property Income (RM mil) (for FY 2017)	47.7
Shopper Traffic in 2017 (mil)	10.7
Key Tenants	Giant, Spotlight, TGV Cinemas, Celebrity Fitness, SenQ, ACE Hardware, Uniqlo, Voir Gallery, F.O.S, Daiso, RockStar Gym, Oliver Gourmet, MR. D.I.Y., LOL and Mines Cruise.

▼ **The Mines – Lease Expiry Profile**

(as at 31 December 2017)

Year	By Gross Rental Income (%)	By Net Lettable Area (%)
2018	50.3	58.9
2019	33.1	23.3
2020 and beyond	16.6	17.8

▼ **The Mines – Trade Sector Analysis**

(as at 31 December 2017)

Trade Sector	By Gross Rental Income (%)	By Net Lettable Area (%)
Fashion/Accessories	27.8	28.7
Food & Beverages	18.8	12.9
Beauty/Health	10.9	7.7
Services	5.4	3.0
Leisure & Entertainment/Sports & Fitness	5.8	10.5
Electronics/I.T.	16.1	7.8
Supermarket/Hypermarket	5.0	9.9
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	2.0	2.2
Houseware/Furnishings	5.4	10.8
Others	2.8	6.5

▼ **The Mines – Title Particulars**

Title	No. H.S.(D) 59894, No. PT. 16722, Mukim Petaling, Daerah Petaling, Negeri Selangor Darul Ehsan
Tenure	Leasehold interest for 99 years expiring on 20 March 2091
Restrictions-in-Interest	The land cannot be transferred, leased or charged without the prior consent of the State Authority.
Express Conditions	Commercial building
Encumbrances	There is a charge in favour of Malaysian Trustees Berhad (Company No. 21666-V), registered vide presentation no. 117870/2016 on 30 December 2016.
Endorsements	Transfer of ownership by Mutual Streams Sdn. Bhd. (Company No. 779107-P) to MTrustee Berhad (Company No. 163032-V) registered on 23 September 2010 vide presentation no. 98339/2010. An easement between The Mines and Mines International Exhibition and Convention Centre registered vide presentation no. 117530/2009 on 15 December 2009 pursuant to an easement agreement made between Mutual Streams Sdn. Bhd. and the owner of Mines International Exhibition and Convention Centre. Revision of quit rent registered on 26 May 2016 vide presentation no. 461192/2016. Revision of quit rent from RM84,975 to RM84,975 according to Section 101 of the National Land Code starting 1 January 2017.

PORTFOLIO DETAILS

EAST COAST MALL

East Coast Mall is strategically located in the heart of Kuantan's city centre in Pahang, which is the third largest state in Malaysia by geographical size. It is a modern family lifestyle mall and is part of the Putra Square development, which also comprises Zenith Hotel, Menara Zenith as well as the Sultan Ahmad Shah International Convention Centre. It is also walking distance from other local attractions and amenities such as Darul Makmur Stadium and Urban Transformation Centre, Kuantan.

East Coast Mall is a four-storey shopping mall with one level of basement and car parks located on the rooftop, third floor, ground and basement levels. With an established mix of domestic and international retailers, East Coast Mall is the market leader in Kuantan. Besides local patronage, the mall also attracts shoppers from towns within the neighbouring states of Terengganu and Kelantan, and tourists visiting the east coast of Peninsular Malaysia.

East Coast Mall is anchored by departmental store Parkson and AEON Big, while other key tenants include Golden Screen Cinemas, Uniqlo, Padini Concept Store, Guess, M.A.C, Pandora, Birkenstock, L'Occitane, Daiso, The Coffee Bean & Tea Leaf, Starbucks Coffee, Manhattan Fish Market, Seoul Garden HotPot, Switch and SMO Bookstore.

Centre Management

Dato' Ronnie Francis	Centre Management
Goh Heau Min	Marketing Communications
Samantha Ng	Leasing
Themelselvam S/O Suppiah	Operations

East Coast Mall – Property Information

Title	No. H.S.(D) 28468, No. PT. 92050, Bandar Kuantan, Daerah Kuantan, Negeri Pahang Darul Makmur
Net Lettable Area (sq ft) (as at 31 December 2017)	485,088
Number of Committed Leases (as at 31 December 2017)	192
Committed Occupancy (%)	98.9
Car Park Lots	1,101
Market Valuation (RM mil) Conducted by PPC International Sdn. Bhd. (as at 31 December 2017)	511
Gross Revenue (RM mil) (for FY 2017)	59.4
Net Property Income (RM mil) (for FY 2017)	39.3
Shopper Traffic in 2017 (mil)	10.4
Key Tenants	Parkson, AEON Big, Golden Screen Cinemas, Uniqlo, Padini Concept Store, Guess, M.A.C, Pandora, Birkenstock, L'Occitane, Daiso, The Coffee Bean & Tea Leaf, Starbucks Coffee, Manhattan Fish Market, Seoul Garden HotPot, Switch and SMO Bookstore.

▼ **East Coast Mall – Lease Expiry Profile**

(as at 31 December 2017)

Year	By Gross Rental Income (%)	By Net Lettable Area (%)
2018	31.0	24.6
2019	27.6	14.5
2020 and beyond	41.4	60.9

▼ **East Coast Mall – Trade Sector Analysis**

(as at 31 December 2017)

Trade Sector	By Gross Rental Income (%)	By Net Lettable Area (%)
Fashion/Accessories	41.9	23.3
Food & Beverages	18.1	11.6
Beauty/Health	8.1	3.8
Services	7.6	3.3
Departmental Store	8.6	21.8
Leisure & Entertainment/Sports & Fitness	5.8	10.2
Electronics/I.T.	1.0	0.5
Supermarket/Hypermarket	4.2	20.1
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	2.4	3.0
Houseware/Furnishings	0.6	0.3
Others	1.7	2.1

▼ **East Coast Mall – Title Particulars**

Title	No. H.S.(D) 28468, No. PT. 92050, Bandar Kuantan, Daerah Kuantan, Negeri Pahang Darul Makmur
Tenure	Leasehold interest for 99 years expiring on 18 December 2106.
Restrictions-in-Interest	This land shall not be transferred, leased or charged save with the prior written approval of the State Authority.
Express Conditions	This land shall be used as a commercial building only.
Encumbrances	Nil
Endorsements	Transfer of land by Pasdec Corporation Sdn Bhd (Company No. 55031-P) to MTrustee Berhad (Company No. 163032-V) registered on 25 October 2011 vide presentation no. 9818/2011.

MALL DIRECTORY

GURNEY PLAZA

Persiaran Gurney
10250 Penang, Malaysia
Tel: +60 4 222 8111

Centre Management Office
Location: Lot No. 170-06-01, Level 6
Tel: +60 4 222 8222
Fax: +60 4 228 6666
www.gurneyplaza.com.my

SUNGEI WANG

Jalan Sultan Ismail
50250 Kuala Lumpur, Malaysia
Tel: +60 3 2148 6109

Centre Management Office¹
Location: Lot No. 6F-111, Level 6 (SWP Box No. 129)
Tel: +60 3 2117 0288
Fax: +60 3 2117 0388
www.sungeiawang.com

TROPICANA CITY MALL & TROPICANA CITY OFFICE TOWER

No. 3, Jalan SS20/27
47400 Petaling Jaya
Selangor Darul Ehsan, Malaysia
Tel: +60 3 7663 2801

Centre Management Office
Location: Lot B3-01, Basement B3
Tel: +60 3 7663 2888
Fax: +60 3 7663 2899
www.tropicanacitymall.com

THE MINES

Jalan Dulang, MINES Resort City
43300 Seri Kembangan
Selangor Darul Ehsan, Malaysia
Tel: +60 3 8949 6333

Centre Management Office
Location: South Court, Level 4 (P.O. Box No. 228)
Tel: +60 3 8949 6288
Fax: +60 3 8949 6388
www.the-mines.com.my

EAST COAST MALL

Jalan Putra Square 6, Putra Square
25200 Kuantan
Pahang Darul Makmur, Malaysia
Tel: +60 9 565 8600

Centre Management Office
Location: Lot L3-01A, Level 3
Tel: +60 9 565 8688
Fax: +60 9 565 8699
www.eastcoastmall.com.my

1 Centre Management Office for CMMT's 205 strata parcels only.

FINANCIAL STATEMENTS

Statements of Financial Position	102
Statements of Profit or Loss and	103
Other Comprehensive Income	
Statements of Changes in Net Asset Value	105
Statements of Cash Flows	107
Notes to the Financial Statements	109
Statement by the Manager	147
Statutory Declaration	149
Trustee's Report	150
Independent Auditors' Report	151

STATEMENTS OF FINANCIAL POSITION

As at 31 December 2017

	Note	Group		Trust	
		2017 RM'000	2016 RM'000	2017 RM'000	2016 RM'000
Assets					
Plant and equipment	3	2,039	2,759	2,039	2,759
Investment properties	4	3,966,000	3,938,000	3,966,000	3,938,000
Investment in subsidiary	5	–	–	*	*
Total non-current assets		3,968,039	3,940,759	3,968,039	3,940,759
Trade and other receivables	6	23,512	16,035	23,384	15,989
Amount due from subsidiary	7	–	–	7,048	3,710
Cash and cash equivalents	8	186,323	192,097	179,837	188,853
Total current assets		209,835	208,132	210,269	208,552
Total assets		4,177,874	4,148,891	4,178,308	4,149,311
Equity					
Unitholders' capital	9	2,172,216	2,162,544	2,172,216	2,162,544
Undistributed profit		514,980	523,045	514,995	523,060
Total unitholders' funds		2,687,196	2,685,589	2,687,211	2,685,604
Liabilities					
Borrowings	10	1,279,081	1,268,108	979,934	969,185
Tenants' deposits		38,381	40,914	38,381	40,914
Amount due to subsidiary	7	–	–	300,000	300,000
Total non-current liabilities		1,317,462	1,309,022	1,318,315	1,310,099
Borrowings	10	58,200	43,700	58,200	43,700
Tenants' deposits		54,944	53,432	54,944	53,432
Trade and other payables	11	60,072	57,148	59,638	56,476
Total current liabilities		173,216	154,280	172,782	153,608
Total liabilities		1,490,678	1,463,302	1,491,097	1,463,707
Total equity and liabilities		4,177,874	4,148,891	4,178,308	4,149,311
Net assets value (NAV)					
– before income distribution		2,687,196	2,685,589	2,687,211	2,685,604
– after income distribution		2,604,056	2,599,658	2,604,071	2,599,673
Units in circulation ('000)	9	2,037,753	2,031,458	2,037,753	2,031,458
NAV per unit (RM)					
– before income distribution		1.3187	1.3220	1.3187	1.3220
– after income distribution		1.2779	1.2797	1.2779	1.2797

* Denotes RM2 issued and paid-up share capital in CMMT MTN Berhad.

STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the Financial Year Ended 31 December 2017

	Note	Group		Trust	
		2017 RM'000	2016 RM'000	2017 RM'000	2016 RM'000
Gross rental income		289,437	292,948	289,437	292,948
Car park income		24,531	24,614	24,531	24,614
Other revenue		54,966	55,055	54,966	55,055
Gross revenue		368,934	372,617	368,934	372,617
Maintenance expenses		(32,917)	(28,846)	(32,917)	(28,846)
Utilities		(51,805)	(52,600)	(51,805)	(52,600)
Other operating expenses	12	(47,066)	(48,679)	(47,066)	(48,679)
Property operating expenses		(131,788)	(130,125)	(131,788)	(130,125)
Net property income		237,146	242,492	237,146	242,492
Interest income		5,420	5,738	5,420	5,738
Fair value gain of investment properties (net)		4,243	4,032	4,243	4,032
Net investment income		246,809	252,262	246,809	252,262
Manager's management fee	13	(23,253)	(23,444)	(23,253)	(23,444)
Trustee's fee	14	(400)	(401)	(400)	(401)
Auditor's fee		(205)	(191)	(199)	(184)
Tax agent's fee		(15)	(25)	(12)	(21)
Valuation fee		(201)	(253)	(201)	(253)
Finance costs	15	(59,690)	(59,550)	(59,690)	(59,550)
Other non-operating expenses		(945)	(639)	(954)	(650)
Total non-operating and trust expenses		(84,709)	(84,503)	(84,709)	(84,503)
Profit before taxation		162,100	167,759	162,100	167,759
Tax expense	16	–	–	–	–
Profit for the financial year		162,100	167,759	162,100	167,759
Other comprehensive income, net of tax		–	–	–	–
Total comprehensive income for the financial year		162,100	167,759	162,100	167,759
Distribution adjustments	A	5,290	3,417	5,290	3,417
Income available for distribution		167,390	171,176	167,390	171,176
Distributable income¹	18	167,374	171,120	167,374	171,120

The accompanying notes form an integral part of these financial statements.

STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the Financial Year Ended 31 December 2017

	Note	Group		Trust	
		2017 RM'000	2016 RM'000	2017 RM'000	2016 RM'000
Total comprehensive income for the financial year is made up as follows:					
Realised		157,857	163,727	157,857	163,727
Unrealised		4,243	4,032	4,243	4,032
		162,100	167,759	162,100	167,759
Earnings per unit (sen)	17				
– before Manager's management fee		9.11	9.43	9.11	9.43
– after Manager's management fee		7.97	8.27	7.97	8.27
Distribution per unit (DPU) (sen)					
– for the financial year	18	8.22	8.43	8.22	8.43
Income distribution²					
Distribution of 4.20 sen per unit from 1.1.2016 to 30.6.2016				–	85,189
Distribution of 4.23 sen per unit from 1.7.2016 to 31.12.2016 ³				–	85,931
Distribution of 4.14 sen per unit from 1.1.2017 to 30.6.2017				84,234	–
Declared distribution of 4.08 sen per unit from 1.7.2017 to 31.12.2017 ³	27			83,140	–
				167,374	171,120

1 The difference between income available for distribution and distributable income is due to the rollover adjustment for the rounding effect of DPU.

2 Income distributable to resident individuals, non-resident individuals, resident institutional investors, non-resident institutional investors and non-resident companies are subject to withholding tax.

3 The declared final income distribution will be recognised in the immediate subsequent financial year.

	Note	Group		Trust	
		2017 RM'000	2016 RM'000	2017 RM'000	2016 RM'000
Note A					
Distribution adjustments comprise:					
Fair value gain of investment properties (net)	4	(4,243)	(4,032)	(4,243)	(4,032)
Manager's management fee payable in units		9,395	9,778	9,395	9,778
Depreciation	3	1,341	1,331	1,341	1,331
Amortisation of transaction costs on borrowings	15	1,173	1,424	949	1,171
Tax and other adjustments		(2,376)	(5,084)	(2,152)	(4,831)
		5,290	3,417	5,290	3,417

The accompanying notes form an integral part of these financial statements.

STATEMENTS OF CHANGES IN NET ASSET VALUE

For the Financial Year Ended 31 December 2017

	Unitholders' capital RM'000	Undistributed profit Realised RM'000	Unrealised RM'000	Total unitholders' funds RM'000
Group				
At 1 January 2016	2,153,529	18,925	502,340	2,674,794
Total comprehensive income for the financial year	–	163,727	4,032	167,759
Unitholders' transactions				
– Units issued as part satisfaction of the Manager's management fee	9,700	–	–	9,700
– Placement expenses	(685)	–	–	(685)
– Distribution paid to unitholders	–	(165,979)	–	(165,979)
Increase/(Decrease) in net assets resulting from unitholders' transactions	9,015	(165,979)	–	(156,964)
At 31 December 2016/1 January 2017	2,162,544	16,673	506,372	2,685,589
Total comprehensive income for the financial year	–	157,857	4,243	162,100
Unitholders' transactions				
– Units issued as part satisfaction of the Manager's management fee	9,672	–	–	9,672
– Distribution paid to unitholders	–	(170,165)	–	(170,165)
Increase/(Decrease) in net assets resulting from unitholders' transactions	9,672	(170,165)	–	(160,493)
At 31 December 2017	2,172,216	4,365	510,615	2,687,196

Note 9

STATEMENTS OF CHANGES IN NET ASSET VALUE

For the Financial Year Ended 31 December 2017

	Unitholders' capital RM'000	Undistributed profit Realised RM'000	Unrealised RM'000	Total unitholders' funds RM'000
Trust				
At 1 January 2016	2,153,529	18,940	502,340	2,674,809
Total comprehensive income for the financial year	–	163,727	4,032	167,759
Unitholders' transactions				
– Units issued as part satisfaction of the Manager's management fee	9,700	–	–	9,700
– Placement expenses	(685)	–	–	(685)
– Distribution paid to unitholders	–	(165,979)	–	(165,979)
Increase/(Decrease) in net assets resulting from unitholders' transactions	9,015	(165,979)	–	(156,964)
At 31 December 2016/1 January 2017	2,162,544	16,688	506,372	2,685,604
Total comprehensive income for the financial year	–	157,857	4,243	162,100
Unitholders' transactions				
– Units issued as part satisfaction of the Manager's management fee	9,672	–	–	9,672
– Distribution paid to unitholders	–	(170,165)	–	(170,165)
Increase/(Decrease) in net assets resulting from unitholders' transactions	9,672	(170,165)	–	(160,493)
At 31 December 2017	2,172,216	4,380	510,615	2,687,211

Note 9

STATEMENTS OF CASH FLOWS

For the Financial Year Ended 31 December 2017

	Note	Group		Trust	
		2017 RM'000	2016 RM'000	2017 RM'000	2016 RM'000
Cash flows from operating activities					
Profit before taxation		162,100	167,759	162,100	167,759
Adjustments for:					
Manager's management fee paid/payable in units		9,395	9,778	9,395	9,778
Depreciation	3	1,341	1,331	1,341	1,331
Fair value gain of investment properties (net)	4	(4,243)	(4,032)	(4,243)	(4,032)
Finance costs	15	59,690	59,550	59,690	59,550
Interest income		(5,420)	(5,738)	(5,420)	(5,738)
Property and equipment written off		3	28	3	28
Operating profit before changes in working capital		222,866	228,676	222,866	228,676
Changes in working capital:					
Trade and other receivables		(7,477)	332	(7,396)	320
Trade and other payables		861	729	1,100	498
Tenants' deposits		(1,021)	(2,586)	(1,021)	(2,586)
Amount due to subsidiary		–	–	(16,432)	(9,535)
Net cash generated from operating activities		215,229	227,151	199,117	217,373
Cash flows from investing activities					
Acquisition of plant and equipment	3	(624)	(1,644)	(624)	(1,644)
Capital expenditure on investment properties		(21,678)	(53,235)	(21,678)	(53,235)
Interest received		5,420	5,738	5,420	5,738
Net cash used in investing activities		(16,882)	(49,141)	(16,882)	(49,141)

The accompanying notes form an integral part of these financial statements.

STATEMENTS OF CASH FLOWS

For the Financial Year Ended 31 December 2017

	Note	Group		Trust	
		2017 RM'000	2016 RM'000	2017 RM'000	2016 RM'000
Cash flows from financing activities					
Interest paid		(57,955)	(57,539)	(45,085)	(44,159)
Distribution paid to unitholders		(170,165)	(165,979)	(170,165)	(165,979)
Payment of financing expenses		(301)	(988)	(301)	(408)
Payment of placement expenses		–	(983)	–	(983)
Placement of pledged deposits with a licensed bank		(3,243)	(3,210)	–	–
Proceeds from re-issuance of medium term notes		–	300,000	–	–
Proceeds from interest-bearing borrowings		24,300	75,500	24,300	75,500
Repayment of interest-bearing borrowings		–	(22,900)	–	(22,900)
Repayment of medium term notes		–	(300,000)	–	–
Withdrawal of pledged deposits from a licensed bank		–	6,710	–	–
Net cash used in financing activities		(207,364)	(169,389)	(191,251)	(158,929)
Net (decrease)/increase in cash and cash equivalents		(9,017)	8,621	(9,016)	9,303
Cash and cash equivalents at 1 January		188,857	180,236	188,853	179,550
Cash and cash equivalents at 31 December		179,840	188,857	179,837	188,853
Cash and cash equivalents at end of the financial year comprise:					
Deposits placed with licensed banks		151,946	158,651	145,466	155,421
Cash and bank balances		34,377	33,446	34,371	33,432
	8	186,323	192,097	179,837	188,853
Less: Pledged deposits		(6,483)	(3,240)	–	–
		179,840	188,857	179,837	188,853

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

CapitaLand Malaysia Mall Trust (CMMT or the Trust) is a Malaysia domiciled real estate investment trust (REIT) constituted by a deed dated 7 June 2010 (which was amended and restated on 15 September 2015) (the Deed) entered into between CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (the Manager) and MTrustee Berhad (the REIT Trustee). The Deed was registered with Securities Commission Malaysia (SC) on 9 June 2010 and is regulated by the SC, the SC's Guidelines on Real Estate Investment Trusts (REITs Guidelines), the Listing Requirements of Bursa Malaysia Securities Berhad (Bursa Securities) and other relevant laws and requirements.

CMMT is listed on the Main Market of Bursa Securities.

The consolidated financial statements reported for the financial year ended 31 December 2017 relates to the Trust and its subsidiary (the Group).

The principal activity of CMMT is to invest, on a long term basis, in a portfolio of income-producing real estate primarily used for retail purposes and located primarily in Malaysia or such other non-real estate investments as may be permitted under the Deed, the REITs Guidelines or by the SC, with a view of providing unitholders with long term and sustainable distribution of income and potential capital growth. The principal activity of the subsidiary is as disclosed in Note 5 to the financial statements. There have been no significant changes in the nature of these activities during the financial year.

The immediate and ultimate holding corporations during the financial year are CapitaLand Mall Asia Limited and CapitaLand Limited (CL) respectively. Both corporations are incorporated in the Republic of Singapore.

The principal activity of the Manager is to manage and administer CMMT. The Manager, incorporated in Malaysia, is a subsidiary of CapitaLand Retail RECM Pte. Ltd. which is incorporated in the Republic of Singapore and is a wholly-owned subsidiary of CL.

The Manager's registered office and principal place of business are as follows:

Level 2, Ascott Kuala Lumpur
No. 9, Jalan Pinang
50450 Kuala Lumpur

The financial statements were approved by the Manager's Board of Directors on 8 February 2018.

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

1. BASIS OF PREPARATION

(a) Statement of compliance

The financial statements of the Group and of the Trust have been prepared in accordance with the provisions of the Deed, the REITs Guidelines, Malaysian Financial Reporting Standards (MFRSs) and International Financial Reporting Standards.

The following are accounting standards, amendments and interpretations of the MFRSs that have been issued by the Malaysian Accounting Standards Board (MASB) but have not been adopted by the Group and the Trust:

MFRSs, Interpretations and amendments effective for annual periods beginning on or after 1 January 2018

- MFRS 9, *Financial Instruments (2014)*
- MFRS 15, *Revenue from Contracts with Customers*
- Clarifications to MFRS 15, *Revenue from Contracts with Customers*
- IC Interpretation 22, *Foreign Currency Transactions and Advance Consideration*
- Amendments to MFRS 1, *First-time Adoption of Malaysian Financial Reporting Standards (Annual Improvements to MFRS Standards 2014-2016 Cycle)*
- Amendments to MFRS 2, *Share-based Payment – Classification and Measurement of Share-based Payment Transactions **
- Amendments to MFRS 4, *Insurance Contracts – Applying MFRS 9 Financial Instruments with MFRS 4 Insurance Contracts **
- Amendments to MFRS 128, *Investments in Associates and Joint Ventures (Annual Improvements to MFRS Standards 2014-2016 Cycle) **
- Amendments to MFRS 140, *Investment Property – Transfers of Investment Property*

MFRSs, Interpretations and amendments effective for annual periods beginning on or after 1 January 2019

- MFRS 16, *Leases*
- IC Interpretation 23, *Uncertainty over Income Tax Treatments*
- Amendments to MFRS 3, *Business Combinations (Annual Improvements to MFRS Standards 2015-2017 Cycle)*
- Amendments to MFRS 9, *Financial Instruments – Prepayment Features with Negative Compensation*
- Amendments to MFRS 11, *Joint Arrangements (Annual Improvements to MFRS Standards 2015-2017 Cycle) ***
- Amendments to MFRS 112, *Income Taxes (Annual Improvements to MFRS Standards 2015-2017 Cycle)*
- Amendments to MFRS 123, *Borrowing Costs (Annual Improvements to MFRS Standards 2015-2017 Cycle)*

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

1. BASIS OF PREPARATION (continued)

(a) Statement of compliance (continued)

MFRSs, Interpretations and amendments effective for annual periods beginning on or after 1 January 2019 (continued)

- Amendments to MFRS 128, *Investments in Associates and Joint Ventures – Long-term Interests in Associates and Joint Ventures* **

MFRSs, Interpretations and amendments effective for annual periods beginning on or after 1 January 2021

- MFRS 17, *Insurance Contracts*

MFRSs, Interpretations and amendments effective for annual periods beginning on or after a date yet to be confirmed

- Amendments to MFRS 10, *Consolidated Financial Statements* and MFRS 128, *Investments in Associates and Joint Ventures – Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

The Group and the Trust plan to apply the abovementioned accounting standards, amendments and interpretations:

- from the annual period beginning on 1 January 2018 for those accounting standards, amendments and interpretation that are effective for annual periods beginning on or after 1 January 2018, except for those marked with "*" which are not applicable to the Group and the Trust.
- from the annual period beginning on 1 January 2019 for those accounting standards, amendments and interpretation that are effective for annual periods beginning on or after 1 January 2019, except for those marked with "***" which are not applicable to the Group and the Trust.

The Group and the Trust do not plan to apply MFRS 17, *Insurance Contracts* that is effective for annual periods beginning on 1 January 2021 as it is not applicable to the Group and the Trust.

The initial application of the accounting standards, amendments or interpretations are not expected to have any material financial impact to the current and prior period financial statements of the Group and of the Trust except as mentioned below:

(i) **MFRS 16, Leases**

MFRS 16 replaces the guidance in MFRS 117, *Leases*, IC Interpretation 4, *Determining whether an Arrangement contains a Lease*, IC Interpretation 115, *Operating Leases – Incentives* and IC Interpretation 127, *Evaluating the Substance of Transactions Involving the Legal Form of a Lease*.

MFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases. It introduces a single lessee accounting model and requires a lessee to recognise assets and liabilities for all leases with a term of more than 12 months, unless the underlying asset is of low value. A lessee is required to recognise a right-of-use asset representing its right to use the underlying leased asset and a lease liability representing its obligation to make lease payments. Lessor accounting remains similar to the current standard which continues to be classified as finance or operating lease.

The Group is currently assessing the financial impact that may arise from the adoption of MFRS 16.

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

1. BASIS OF PREPARATION (continued)

(b) Basis of measurement

The financial statements have been prepared on the historical cost basis except for investment properties as disclosed in Note 2(d) and financial instruments as disclosed in Note 2(f).

(c) Functional and presentation currency

These financial statements are presented in Ringgit Malaysia (RM), which is the Group's and the Trust's functional currency. All financial information presented in RM has been rounded to the nearest thousand, unless otherwise stated.

(d) Use of estimates and judgements

The preparation of the financial statements in conformity with MFRSs requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

There are no significant areas of estimation uncertainty and critical judgement in applying accounting policies that have significant effect on the amounts recognised in the financial statements other than valuation of investment properties as disclosed in Note 4.

2. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to the periods presented in these financial statements, and have been applied consistently by Group entities, unless otherwise stated.

(a) Basis of consolidation

Subsidiary

Subsidiary is an entity controlled by the Trust. The financial statements of the subsidiary are included in the consolidated financial statements from the date of which control commences until the date on which control ceases.

The Trust controls an entity when it is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity.

Investment in subsidiary is measured in the Trust's statement of financial position at cost less any impairment losses.

Business combinations

Business combinations are accounted for using the acquisition method from the acquisition date, which is the date on which control is transferred to the Group.

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(a) Basis of consolidation (continued)

Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements.

(b) Foreign currencies

Transactions in foreign currencies are translated to the functional currency of the Group and of the Trust at exchange rates at the dates of transaction. Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency at the exchange rate at the reporting date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the exchange rate when the fair value was determined. Non-monetary items that are measured based on historical cost in a foreign currency are translated at the exchange rate at the date of transaction. Foreign currency differences arising on retranslation are recognised in profit or loss.

(c) Plant and equipment

(i) Recognition and measurement

Items of plant and equipment are stated at cost less accumulated depreciation and accumulated impairment losses, if any.

Cost includes expenditures that are directly attributable to the acquisition of the asset and any other costs directly attributable to bringing the asset to working condition for its intended use, and the costs of dismantling and removing the items and restoring the site on which they are located.

Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

When significant parts of an item of plant and equipment have different useful lives, they are accounted for as separate items (major components) of plant and equipment.

The gain and loss on disposal of an item of plant and equipment is determined by comparing the proceeds from disposal with the carrying amount of plant and equipment and is recognised net within "other operating income" and "other operating expenses" respectively in profit or loss.

(ii) Subsequent costs

The cost of replacing part of an item of plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group or the Trust and its cost can be measured reliably. The carrying amount of the replaced part is derecognised and is charged to profit or loss. The costs of the day-to-day servicing of equipment are recognised in profit or loss as incurred.

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(c) Plant and equipment (continued)

(iii) Depreciation

Depreciation is based on the cost of an asset less its residual value. Significant parts of individual assets are assessed, and if a part has a useful life that is different from the remainder of that asset, then that part is depreciated separately.

Depreciation is recognised in profit or loss on a straight-line basis over the estimated useful lives of each part of an item of plant and equipment from the date that they are available for use.

The estimated useful lives for the current and comparative periods are as follows:

Computer	2 – 3 years
Office equipment	3 – 5 years

Depreciation methods, useful lives and residual values are reassessed at the end of the reporting period, and adjusted as appropriate.

(d) Investment properties

Investment properties are properties which are owned or held under leasehold interest to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes. Investment properties are measured initially at cost and subsequently at fair value with any changes therein recognised in profit or loss for the period in which they arise. Cost includes expenditure that is directly attributable to the acquisition of the investment properties.

Fair value is determined in accordance with the Deed and the REITs Guidelines which requires the investment properties to be valued by independent professional valuers. In determining the fair value, the valuers used valuation techniques which involve certain estimates. In relying on the valuation reports, the Manager has exercised its judgement and is satisfied that the valuation methods and estimates reflect the current market conditions. The fair value is determined once every six months based on internal valuation or independent professional valuation.

When an investment property is disposed of, the resulting gain or loss is recognised in profit or loss in the year in which the item is derecognised.

Investment properties are not depreciated. The properties are subject to continued maintenance and are regularly revalued on the basis mentioned above. For taxation purposes, the Group or CMMT may claim capital allowances on assets that qualify as plant and machinery under the Income Tax Act, 1967.

(e) Leases

Lessees of an operating lease

Leases, where the Group and the Trust does not assume substantially all the risks and rewards of ownership are classified as operating leases. Payments made under the operating leases are recognised in profit or loss on a straight-line basis over the term of the lease. Lease incentives received are recognised in profit or loss as an integral part of the total lease expense over the term of the lease. Contingent rents are charged to profit or loss in the reporting period in which they are incurred.

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(e) Leases (continued)

Lessors of an operating lease

Assets of the Group and of the Trust subject to operating leases are included in investment properties and are stated at fair value and not depreciated.

(f) Financial instruments

Non-derivative financial instruments

Non-derivative financial instruments comprise trade and other receivables, cash and cash equivalents, borrowings and trade and other payables.

(i) Trade and other receivables

Trade and other receivables are recognised initially at fair value. Subsequent to initial recognition, they are measured at amortised cost using the effective interest method, less impairment losses, if any.

(ii) Cash and cash equivalents

Cash and cash equivalents consist of cash on hand, bank balances and deposits placed with licensed banks. For the purpose of the statements of cash flows, cash and cash equivalents are presented net of pledged deposits.

(iii) Interest-bearing borrowings

Interest-bearing borrowings are recognised initially at fair value less attributable transaction costs directly attributable to the issue of the instrument. Subsequent to initial recognition, interest-bearing borrowings are stated at amortised cost.

(iv) Trade and other payables

Trade and other payables, including tenants' deposits, are recognised initially at fair value. Subsequent to initial recognition, they are measured at amortised cost.

A financial instrument is recognised in the statement of financial position when, and only when, the Group or the Trust becomes a party to the contractual provisions of the instrument. Financial assets are derecognised when, and only when, the Group's and the Trust's contractual rights to the cash flows from the financial assets expire or control of the asset is not retained or substantially all of the risks and rewards of ownership of the financial asset are transferred to another party. On derecognition of a financial asset, the difference between the carrying amount and the sum of the consideration received (including any new asset obtained less any new liability assumed) and any cumulative gain or loss that had been recognised in equity is recognised in the profit or loss. A financial liability is derecognised when, and only when the Group's and the Trust's obligations specified in the contract expire or are discharged or cancelled. On derecognition of a financial liability, the difference between the carrying amount of the financial liability extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in profit or loss.

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(g) Impairment

(i) Financial assets

All financial assets (except for investment in subsidiary) are assessed at each reporting date whether there is any objective evidence of impairment as a result of one or more events having an impact on the estimated future cash flows of the assets. Losses expected as a result of future events, no matter how likely, are not recognised. If any such objective evidence exists, then the impairment loss of the financial asset is estimated.

An impairment loss in respect of a financial asset measured at amortised cost is recognised in profit or loss and is measured as the difference between its carrying amount and the present value of estimated future cash flows discounted at the asset's original effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account.

Individually significant financial assets are tested for impairment on an individual basis. The remaining financial assets are assessed collectively in groups that share similar credit risk characteristics.

All impairment losses are recognised in profit or loss. An impairment loss is reversed, to the extent that the asset's carrying amount does not exceed what the carrying amount would have been had the impairment not been recognised at the date the impairment is reversed, if the reversal can be objectively related to an event occurring after the impairment loss was recognised. For financial assets measured at amortised cost, the reversal is recognised in profit or loss.

(ii) Other assets

The carrying amounts of other assets, other than investment properties, are reviewed at the end of each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated.

For the purpose of impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or cash-generating units.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs of disposal. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or cash-generating unit.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its estimated recoverable amount. Impairment loss is recognised in profit or loss. Impairment losses recognised in respect of cash-generating units are allocated to reduce the carrying amounts of assets in the cash-generating unit on a pro-rata basis.

Impairment losses recognised in prior periods are assessed at the end of each reporting period for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount since the last impairment loss was recognised. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. Reversals of impairment losses are credited to profit or loss in the financial year in which the reversals are recognised.

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(h) Equity instruments

Instruments classified as equity are measured at cost on initial recognition and are not remeasured subsequently. Costs directly attributable to the issue of instruments classified as equity are recognised as a deduction from equity.

(i) Provisions

A provision is recognised if, as a result of a past event, the Group and the Trust have a present legal or constructive obligation that can be estimated reliably, and is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as finance costs.

(j) Revenue recognition

(i) Rental income

Rental income from leasing out of shopping mall shops and space is recognised in profit or loss on a straight-line basis over the term of the lease and such revenue includes base rent, service charges and advertising and promotion fee. Contingent rents, which include gross turnover rent, are recognised as income in the financial year on an accrual basis. No contingent rents are recognised if there are uncertainties due to the possible return of amounts received.

(ii) Car park income

Car park income is recognised on an accrual basis.

(iii) Other revenue

Other revenue consists of recovery of utilities charges from tenants, kiosk rental, advertising and other miscellaneous income. These are recognised on an accrual basis.

(k) Interest income

Interest income is recognised as it accrues, using the effective interest method in profit or loss.

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(l) Expenses

(i) Property operating expenses

Property operating expenses consist of quit rent, assessment, utilities, property management fee, property management reimbursement, advertising and promotion, maintenance and other property outgoings in relation to investment properties where such expenses are the responsibility of CMMT and are recognised on an accrual basis in the year in which they are incurred.

(ii) Manager's management fee

Manager's management fee is recognised on an accrual basis using the applicable formula as set out in Note 13.

(iii) Trustee's fee

Trustee's fee is recognised on an accrual basis using the applicable formula as set out in Note 14.

(iv) Finance costs

Finance costs comprise interest expense on borrowings and amortisation of transaction costs on borrowings which are expensed in profit or loss using the effective interest method over the tenure of borrowings.

(m) Tax expense

Tax expense comprises current and deferred tax. Current tax and deferred tax are recognised in profit or loss.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted by the end of the reporting period, and any adjustment to tax payable or receivable in respect of previous financial years.

Deferred tax is recognised using the liability method, providing for temporary differences between the carrying amounts of assets and liabilities in the statements of financial position and their tax bases. Deferred tax is not recognised for the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss. Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity.

A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised. Deferred tax assets are reviewed at each reporting period and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(m) Tax expense (continued)

Where investment properties are carried at fair value in accordance with the accounting policy set out in Note 2(d), the amount of deferred tax recognised is measured using the tax rates that would apply on the sale of those assets at their carrying values at the reporting date unless the property is depreciable and is held with the objective to consume substantially all the economic benefits embodied in the property over time, rather than through sale.

(n) Earnings per unit

The Group and the Trust present basic and diluted earnings per unit. Basic earnings per unit is calculated by dividing the total return by the weighted-average number of units outstanding during the year. Diluted earnings per unit is determined by adjusting the total return and the weighted-average number of ordinary units outstanding, for the effects of all dilutive potential units.

(o) Operating segments

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments' results are reviewed and used by the Group's Chief Operating Decision Makers for strategic decision making and resources allocation.

(p) Fair value measurements

Fair value of an asset or a liability, except for lease transactions, is determined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The measurement assumes that the transaction to sell the asset or transfer the liability takes place either in the principal market or in the absence of a principal market, in the most advantageous market.

For non-financial asset, the fair value measurement takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

When measuring the fair value of an asset or a liability, the Group uses observable market data as far as possible. Fair value are categorised into different levels in a fair value hierarchy based on the input used in the valuation technique as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities that the Group can access at the measurement date.
- Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly.
- Level 3: unobservable inputs for the asset or liability.

The Group recognises transfers between the levels of the fair value hierarchy as of the date of the event or change in circumstances that caused the transfers.

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

3. PLANT AND EQUIPMENT

	Computer RM'000	Office equipment RM'000	Total RM'000
Group and the Trust			
Cost			
At 1 January 2016	3,167	4,412	7,579
Additions	494	1,150	1,644
Write-off	(429)	(3)	(432)
At 31 December 2016/1 January 2017	3,232	5,559	8,791
Additions	190	434	624
Write-off	(50)	(11)	(61)
At 31 December 2017	3,372	5,982	9,354
Accumulated depreciation			
At 1 January 2016	2,495	2,610	5,105
Depreciation for the year	539	792	1,331
Write-off	(403)	(1)	(404)
At 31 December 2016/1 January 2017	2,631	3,401	6,032
Depreciation for the year	350	991	1,341
Write-off	(50)	(8)	(58)
At 31 December 2017	2,931	4,384	7,315
Carrying amounts			
At 1 January 2016	672	1,802	2,474
At 31 December 2016/1 January 2017	601	2,158	2,759
At 31 December 2017	441	1,598	2,039

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

4. INVESTMENT PROPERTIES

	2017 RM'000	2016 RM'000
Group and the Trust		
At 1 January	3,938,000	3,886,000
Capital expenditure capitalised	23,757	47,968
Fair value gain (net)	4,243	4,032
At 31 December	<u>3,966,000</u>	<u>3,938,000</u>

Investment properties refer to shopping malls and office block which primarily generate rental income from leasing out retail shops and space to third parties via lease or licence agreements. CMMT's lease agreements generally contain an initial non-cancellable period of three years and subsequent renewals are negotiated with the lessee. The rental rates are negotiated based on prevailing market rates and are pre-agreed over the lease tenure. Gross turnover rent of RM13,396,000 (2016 : RM10,201,000), which represents CMMT's contingent rent, was recognised as income in the financial year.

Gurney Plaza, The Mines and Tropicana City Property, collectively valued at RM2,872,000,000 (2016 : RM2,823,000,000), are pledged as securities for borrowings as disclosed in Note 10. East Coast Mall and CMMT's 205 strata titles in Sungei Wang are unencumbered as at the reporting date.

Details of the investment properties are as follows:

	Date of acquisition	Location	Tenure	Fair value at 31 December 2017 ¹ RM'000	Fair value at 31 December 2016 ² RM'000	% of fair value to NAV at 31 December 2017 ³ %	% of fair value to NAV at 31 December 2016 ³ %
Gurney Plaza	14 Jul 2010 & 28 Mar 2011	Penang	Freehold	1,575,000	1,515,000	58.6	56.4
Sungei Wang ⁴	14 Jul 2010	Kuala Lumpur	Freehold	583,000	625,000	21.7	23.3
Tropicana City Property	10 Jul 2015	Selangor	Freehold	570,000	588,000	21.2	21.9
The Mines	14 Jul 2010	Selangor	Leasehold ⁵	727,000	720,000	27.1	26.8
East Coast Mall	14 Nov 2011	Pahang	Leasehold ⁵	511,000	490,000	19.0	18.2
				<u>3,966,000</u>	<u>3,938,000</u>		

1 Based on valuation carried out on 31 December 2017.

2 Based on valuation carried out on 31 December 2016.

3 This is computed based on market value of the investment properties over the NAV before income distribution as at 31 December 2017 and 31 December 2016. This is calculated in accordance with the REITs Guidelines.

4 CMMT's interest in Sungei Wang comprises (i) 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail floor area of Sungei Wang, and (ii) 100.0% of the car park bays in Sungei Wang.

5 The leases have unexpired lease periods of more than 50 years.

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

4. INVESTMENT PROPERTIES (continued)

All land/strata titles have been transferred and registered in the name of the Trustee except for Tropicana City Property¹ which is pending the subdivision for issuance of strata titles.

The following are recognised in profit or loss in respect of investment properties:

	2017 RM'000	2016 RM'000
Group and the Trust		
Gross revenue	368,934	372,617
Less: Property operating expenses	(131,788)	(130,125)
Net property income	<u>237,146</u>	<u>242,492</u>

(a) Fair value information

The fair value of investment properties of the Group and of the Trust are categorised as Level 3. The properties are valued by independent external valuers using the income capitalisation approach, also known as investment approach. This valuation approach takes into account of the gross revenue and outgoings to estimate the net income for the properties. Capitalisation rates are then applied to the net income of the investment properties to determine the market value of the investment properties.

The significant unobservable input is the reversionary capitalisation rate used in the approach adopted above. The estimated fair value would increase/(decrease) if the capitalisation rate was lower/(higher). Reversionary capitalisation rates for the investment properties range from 6.5% to 7.3% (2016: 6.5% to 7.3%).

(b) Valuation processes applied to the Group and the Trust for Level 3 fair value

The fair value of investment properties is determined by independent external valuers having appropriate recognised professional qualifications and recent experience in the location and category of the investment properties being valued. The external valuers provide the fair value of the Group's and of the Trust's investment property portfolio every six months. The resultant fair value gain or loss arising from the change in valuation is assessed by the Manager after obtaining the valuation reports from the external valuers.

(c) Highest and best use

The Group's and the Trust's investment properties are currently valued at their highest and best use. The investment properties are situated within sizeable catchment populations with strong demand for shopping mall and office space.

1 As the strata titles for Tropicana City Property are pending issuance, the sale and purchase agreement of Tropicana City Property has been assigned and charged to the licensed bank and upon issuance of the strata titles, a charge will be lodged accordingly.

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

5. INVESTMENT IN SUBSIDIARY

	2017 RM'000	2016 RM'000
Trust		
At cost		
Unquoted shares	*	*

* Denotes RM2

CMMT holds 100.0% equity interest in CMMT MTN Berhad, a special purpose vehicle incorporated in Malaysia. Its principal activity is to raise financing on behalf of and on-lending to CMMT through the issuance of rated/unrated secured Medium Term Notes (MTN) under the Medium Term Notes Programme as set out in Note 10(b).

6. TRADE AND OTHER RECEIVABLES

	Group		Trust	
	2017 RM'000	2016 RM'000	2017 RM'000	2016 RM'000
Trade				
Trade receivables	13,580	8,806	13,580	8,806
Less : Allowance for impairment losses	(2,104)	(1,313)	(2,104)	(1,313)
	11,476	7,493	11,476	7,493
Non-trade				
Deposits	1,004	840	1,004	840
Interest receivables	266	539	259	539
Prepayments	2,144	160	2,023	114
Other receivables	8,622	7,003	8,622	7,003
	12,036	8,542	11,908	8,496
	23,512	16,035	23,384	15,989

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

6. TRADE AND OTHER RECEIVABLES (continued)

The ageing of the trade receivables at the end of the financial year is as follows:

	Gross amount RM'000	Allowance for impairment losses RM'000	Carrying amount RM'000
Group and the Trust			
2017			
Not past due	41	–	41
Past due 1 – 30 days	5,049	(316)	4,733
Past due 31 – 90 days	3,496	(171)	3,325
Past due more than 90 days	4,994	(1,617)	3,377
	13,580	(2,104)	11,476
2016			
Not past due	68	–	68
Past due 1 – 30 days	4,853	(117)	4,736
Past due 31 – 90 days	1,957	(100)	1,857
Past due more than 90 days	1,928	(1,096)	832
	8,806	(1,313)	7,493

The movement in allowance for impairment losses of trade receivables during the financial year is as follows:

	2017 RM'000	2016 RM'000
Group and the Trust		
At 1 January	1,313	914
Impairment losses recognised	992	602
Write-off against allowance for impairment losses	(201)	(203)
At 31 December	2,104	1,313

The Manager of CMMT believes that no additional allowance for impairment losses is necessary in respect of past due receivables as these receivables are mainly arising from tenants that have good payment records and sufficient security deposits held as collateral.

7. AMOUNT DUE FROM/(TO) SUBSIDIARY

The amount due from subsidiary of RM7,048,000 (2016 : RM3,710,000) is non-trade in nature, unsecured, and is repayable on demand. Included in the amount due from subsidiary is an interest-bearing loan from CMMT of RM6,450,000 (2016 : RM3,240,000) where the average interest rate of 3.4% (2016 : 3.1%) per annum is based on the prevailing deposit rates of licensed banks.

The amount due to subsidiary of RM300,000,000 (2016 : RM300,000,000) is pursuant to the REIT Trustee Financing Agreement (RTFA) entered into by the Trustee on behalf of CMMT and the subsidiary on 6 December 2016 where the funds raised from the unrated and secured MTN, as detailed in Note 10(b), were advanced to CMMT. The amount due to subsidiary is secured, subject to interest at approximately 4.3% (2016 : 4.3%) per annum which is payable semi-annually and the principal is repayable in 2019.

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

8. CASH AND CASH EQUIVALENTS

	Group		Trust	
	2017 RM'000	2016 RM'000	2017 RM'000	2016 RM'000
Deposits placed with licensed banks	151,946	158,651	145,466	155,421
Cash and bank balances	34,377	33,446	34,371	33,432
	186,323	192,097	179,837	188,853

Gurney Plaza maintains separate designated revenue account while The Mines and Tropicana City Property maintain separate designated revenue and operating accounts with a licensed bank as mentioned in Note 10. This forms part of the financing covenants and the usage of funds in these designated revenue and operating accounts are not restricted as long as no event of default has occurred on the borrowings. The balance of the designated revenue and operating accounts at the end of the financial year that is included in the cash and cash equivalents is RM105,325,000 (2016 : RM110,001,000).

Included in the Group's cash and cash equivalents are pledged deposits of RM6,483,000 (2016 : RM3,240,000). This is in relation to a separate debt service reserves account and trustee reimbursement account assigned by the subsidiary to the security trustee pursuant to the unrated and secured MTN, as set out in Note 10(b). The deposits are maintained with licensed banks and the funds are restricted in use.

9. UNITHOLDERS' CAPITAL

	Number of units 2017 '000	Number of units 2016 '000
Approved fund size: At 1 January/31 December	2,530,006	2,530,006

	Amount 2017 RM'000	Number of units 2017 '000	Amount 2016 RM'000	Number of units 2016 '000
Trust				
Issued and fully paid: At 1 January	2,162,544	2,031,458	2,153,529	2,024,799
Units issued as part satisfaction of the Manager's management fee	9,672	6,295	9,700	6,659
Placement expenses	–	–	(685)	–
At 31 December	2,172,216	2,037,753	2,162,544	2,031,458

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

9. UNITHOLDERS' CAPITAL (continued)

Unitholdings of the Manager and parties related to the Manager

As at 31 December 2017, the Manager has no direct unitholdings in CMMT. However, the Directors of the Manager and parties related to the Manager held units in CMMT and the details are as follows:

	Number of units '000	Percentage of unitholdings %	Market value ³ RM'000
--	----------------------------	------------------------------------	--

2017

Direct unitholdings of parties related to the Manager

CMMT Investment Limited	710,973	34.89	1,301,081
Menang Investment Limited	33,832	1.66	61,913

Direct unitholdings of the Directors of the Manager who held office at 31 December 2017

Mr Ng Kok Siong ¹	100	N.M.	183
Ms Low Peck Chen	12	N.M.	22
Ms Tan Siew Bee	100	N.M.	183
Dr Peter Tay Buan Huat ¹	100	N.M.	183
Mr Lee Hui Yeow ²	23	N.M.	42

2016

Direct unitholdings of parties related to the Manager

CMMT Investment Limited	710,973	35.00	1,087,789
Menang Investment Limited	30,538	1.50	46,723

Direct unitholdings of the Directors of the Manager who held office at 31 December 2016

Mr Ng Kok Siong ¹	100	N.M.	153
Ms Low Peck Chen	12	N.M.	18
Ms Tan Siew Bee	100	N.M.	153
Dr Peter Tay Buan Huat ¹	100	N.M.	153

N.M. Not meaningful

¹ Units held through nominees.

² Alternate director to Mr. Ng Kok Siong

³ The market value of the units for respective year is computed based on the closing market price of RM1.83 per unit as at 29 December 2017 and RM1.53 per unit as at 30 December 2016.

CMMT Investment Limited and Menang Investment Limited are indirect wholly-owned subsidiaries of CL who in turn is the ultimate holding corporation of the Manager.

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

10. BORROWINGS

	Group		Trust	
	2017 RM'000	2016 RM'000	2017 RM'000	2016 RM'000
Non-current				
Secured term loans				
– Fixed rate	778,680	650,000	778,680	650,000
– Floating rate	139,750	268,430	139,750	268,430
Secured revolving credit	64,400	54,600	64,400	54,600
Unrated and secured MTN	300,000	300,000	–	–
Less: Unamortised transaction costs	(3,749)	(4,922)	(2,896)	(3,845)
	1,279,081	1,268,108	979,934	969,185
Current				
Unsecured revolving credit	58,200	43,700	58,200	43,700
	58,200	43,700	58,200	43,700
	1,337,281	1,311,808	1,038,134	1,012,885

(a) Secured term loans and revolving credit

CMMT had entered into three separate secured facility agreements with two licensed banks on 10 June 2010 (Secured Facility 1), 17 March 2011 (Secured Facility 2) and 26 June 2015 (Secured Facility 3).

Secured Facility 1 comprises fixed and floating rate term loan facility of RM500.0 million and revolving credit facility of RM61.0 million. Secured Facility 2 comprises fixed and floating rate term loan facility of RM69.7 million and revolving credit facility of RM20.0 million. Both Secured Facilities 1 and 2 will mature between 2022 and 2028.

Secured Facility 3, comprises fixed rate term loan facility of RM348.7 million, subsequent to fixing of RM128.7 million floating rate term loan in July 2017, revolving credit facility of RM100.0 million and bank guarantee facility of RM10.0 million. The term loan under the Secured Facility 3 will mature in 2022.

As at 31 December 2017, the principal amounts utilised under the Secured Facilities 1, 2 and 3 were RM552.2 million (2016 : RM552.2 million), RM81.9 million (2016 : RM72.1 million) and RM348.7 million (2016 : RM348.7 million) respectively, of which total secured revolving credit utilised under these facilities was RM64.4 million (2016 : RM54.6 million).

The average effective interest rate for the Secured Facilities 1, 2 and 3 was approximately 4.5% (2016 : 4.5%) per annum.

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

10. BORROWINGS (continued)

(b) Secured Medium Term Notes Programme

The Group has a 20-year secured Medium Term Notes Programme of up to RM3.0 billion in nominal value (MTN Programme) under CMMT MTN Berhad (the Issuer), pursuant to which rated/unrated notes in series or tranches may be issued from time to time in Ringgit Malaysia. The net proceeds from the issue of the MTN (after deducting issue expenses) will be on-lent to CMMT, which in turn will utilise such proceeds to refinance its existing and/or future borrowings and/or to finance investments, capital expenditure, asset enhancement initiatives and/or working capital of CMMT. The Issuer will also be allowed to use the proceeds to refinance maturing MTN on the respective maturity dates. The security trustee of the MTN Programme is Malaysian Trustees Berhad.

On 20 December 2012, the Issuer issued a RM300.0 million four-year unrated and secured MTN (1-TM) which matured on 20 December 2016. The net proceeds were on-lent to CMMT, via a back-to-back RTFA entered into by the REIT Trustee and the Issuer, for the purpose of refinancing part of the Secured Facility 1. 1-TM bore a coupon rate of approximately 4.5% per annum which is payable semi-annually.

On 20 December 2016, the Issuer issued a RM300.0 million three-year unrated and secured MTN (2-TM) which will be maturing on 20 December 2019. The proceeds were used to redeem the outstanding 1-TM. 2-TM bears a coupon rate of approximately 4.3% per annum which is payable semi-annually.

(c) Unsecured revolving credit

On 4 January 2012, CMMT obtained an unsecured revolving credit facility (RCF 1) of RM100.0 million with Alliance Bank Malaysia Berhad, a related company of a substantial unitholder and of the Manager, for the purpose of working capital and is subject to annual review. The interest rate of RCF 1 was approximately of 4.1% (2016 : 4.4%) per annum, which is payable on a monthly basis.

On 6 April 2016, CMMT obtained an unsecured revolving credit facility of RM50.0 million from a licensed bank and is subject to annual review.

As at 31 December 2017, the outstanding unsecured revolving credit was RM58.2 million (2016 : RM43.7 million) at an average effective interest rate of approximately 3.9% (2016 : 4.0%) per annum.

The secured borrowings are secured by charges on investment properties as disclosed in Note 4 with an amount of RM2,872,000,000 (2016 : RM2,823,000,000).

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

11. TRADE AND OTHER PAYABLES

	Group		Trust	
	2017 RM'000	2016 RM'000	2017 RM'000	2016 RM'000
Current				
Trade				
Trade payables	2,736	1,549	2,736	1,549
Amount due to related parties	8,546	8,779	8,546	8,779
	11,282	10,328	11,282	10,328
Non-trade				
Interest payables	4,994	4,533	4,571	4,110
Accruals	36,931	34,986	36,920	34,739
Other payables	2,951	2,191	2,951	2,189
Advances	3,914	5,110	3,914	5,110
	48,790	46,820	48,356	46,148
	60,072	57,148	59,638	56,476

Included in the amount due to related parties are an amount due to the Manager of RM8,503,000 (2016 : RM8,712,000) of which RM4,620,000 (2016 : RM4,897,000) is payable in units of CMMT as payment for the performance component of management fee for the period from 1 July 2017 to 31 December 2017, Trustee's fee of RM34,000 (2016 : RM67,000) and amount due to a related party of RM9,000 (2016: nil) for project management fees for asset enhancement works. The relationship and transactions of the above are further disclosed in Note 25.

12. OTHER OPERATING EXPENSES

	2017 RM'000	2016 RM'000
Group and the Trust		
Property management fee and reimbursement	22,840	24,994
Marketing expenses	9,640	8,983
Quit rent and assessment	8,748	9,619
General and administrative expenses	5,838	5,083
	47,066	48,679

The property management fee is payable to the property managers, namely (1) Knight Frank Property Management Sdn. Bhd. for all CMMT's properties for the full year under review except for Sungei Wang; and (2) Zaharin Nexcap Property Management Sdn. Bhd., the property manager for CMMT's interest in Sungei Wang. Property management reimbursement includes reimbursable staff costs and other reimbursement for managing the investment properties.

The 2017 property management fee for Gurney Plaza, The Mines, East Coast Mall and Tropicana City Property is based on a monthly fee of RM75,000 (2016 : RM68,000 for the period 1 January 2016 till 15 April 2016 and RM75,000 from 16 April 2016 till 31 December 2016) as stipulated in the property management agreement dated 17 March 2016. Property management fee for CMMT's interest in Sungei Wang is based on a monthly fee of RM18,000 from 1 January 2017 till 31 March 2017 and RM19,000 from 1 April 2017 till 31 December 2017 (2016 : RM18,000) as stipulated in the property management agreements dated 19 March 2015 and 1 April 2017 respectively.

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

13. MANAGER'S MANAGEMENT FEE

	2017 RM'000	2016 RM'000
Group and the Trust		
Base management fee	11,989	11,926
Performance fee	11,264	11,518
	23,253	23,444

Pursuant to the Deed, the Manager is entitled to a base fee of up to 1.0% per annum of the total asset value and a performance fee of up to 5.0% per annum of net property income. For the financial year ended 31 December 2017, the Manager has accounted for a base fee of 0.29% (2016 : 0.29%) per annum of the total asset value, payable quarterly in arrears, and a performance fee of 4.75% (2016 : 4.75%) per annum of net property income, payable semi-annually in units after distribution to unitholders, except for the performance fee related to East Coast Mall which was payable in cash.

In addition to the above, the Manager is also entitled to an acquisition fee of up to 1.0% of the purchase price and a divestment fee of up to 0.5% of the sale price of any authorised investment/divestment.

During the financial year ended 31 December 2017, the Manager was paid 6,294,600 units (2016 : 6,658,900 units) in CMMT or equivalent to RM9,672,000 (2016 : RM9,700,000), as part settlement of its management fee for the period from 1 July 2016 to 30 June 2017. The Manager disposed 3,177,100 and 3,117,500 units (2016 : 3,515,700 and 3,143,200 units) in CMMT at cost to a related party, Menang Investment Limited, on 15 March 2017 and 19 September 2017 respectively (2016 : 26 April 2016 and 14 September 2016).

There were no other fees or soft commission paid to the Manager during the financial year other than as disclosed above.

14. TRUSTEE'S FEE

Pursuant to the Deed, the Trustee is entitled to a fee of 0.02% per annum of the total asset value for the first RM2.0 billion and a 0.01% per annum of the total asset value thereafter, payable monthly in arrears.

Trustee's fee was at RM400,000 (2016 : RM401,000) per annum for the financial year ended 31 December 2017.

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

15. FINANCE COSTS

	Group		Trust	
	2017 RM'000	2016 RM'000	2017 RM'000	2016 RM'000
Interest expense on secured term loans	41,123	41,392	41,123	41,392
Interest expense on unrated and secured MTN	12,870	13,400	–	–
Interest expense on RTFA with subsidiary	–	–	12,870	13,400
Interest expense on secured and unsecured revolving credits	4,423	2,880	4,423	2,880
Amortisation of transaction costs on borrowings	1,173	1,424	949	1,171
Others	101	454	325	707
	59,690	59,550	59,690	59,550

16. TAX EXPENSE

Pursuant to the amendment of Section 61A of the Income Tax Act, 1967, effective from the Year of Assessment 2007, the total income of a REIT will be exempted from income tax provided that the REIT distributes 90.0% or more of its total income for that year of assessment. If the REIT is unable to meet the 90.0% distribution criteria, the entire taxable income of the REIT for the year would be subject to income tax.

As CMMT will distribute approximately 100.0% of its distributable income for the financial year ended 31 December 2017 to its unitholders, no provision for tax expense has been made for the current year.

Reconciliation of tax expense is as follows:

	2017 RM'000	2016 RM'000
Group and the Trust		
Profit before taxation	162,100	167,759
Income tax at Malaysian statutory tax rate of 24.0%	38,904	40,262
Effect of net fair value gain of investment properties not subject to tax	(1,018)	(968)
Effect of income not subject to tax	(39,142)	(40,685)
Expenses not deductible for tax purposes	1,256	1,391
Tax expense for the financial year	–	–

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

17. EARNINGS PER UNIT

Basic and diluted earnings per unit

The calculation of earnings per unit is based on the weighted average number of units during the year and profit for the year.

	2017 RM'000	2016 RM'000
Group and the Trust		
Profit for the financial year	162,100	167,759
Add: Manager's management fee	23,253	23,444
Profit for the financial year before Manager's management fee	<u>185,353</u>	<u>191,203</u>
	2017 '000	2016 '000
Issued units at the beginning of the year	2,031,458	2,024,799
Weighted average number of units issued as part satisfaction of the Manager's management fee	3,534	3,464
Weighted average number of units at the end of the year	<u>2,034,992</u>	<u>2,028,263</u>
Earnings per unit (sen)		
– before Manager's management fee	9.11	9.43
– after Manager's management fee	<u>7.97</u>	<u>8.27</u>

Diluted earnings per unit equals to Basic earnings per unit as there are no potential dilutive units in issue.

18. DISTRIBUTIONS TO UNITHOLDERS

	2017 RM'000	2016 RM'000
Group and the Trust		
Distributions to unitholders are from the following sources:		
Gross rental income	289,437	292,948
Interest income	5,420	5,738
Other income	79,497	79,669
Less: Expenses	(206,964)	(207,179)
Less: Rollover adjustment for rounding difference	(16)	(56)
Distributable income	<u>167,374</u>	<u>171,120</u>
Distribution per unit (sen) of which:		
– taxable distribution of income (sen)	7.76	8.09
– tax exempt distribution of income (sen)	0.46	0.34
	<u>8.22</u>	<u>8.43</u>

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

18. DISTRIBUTIONS TO UNITHOLDERS (continued)

Pursuant to the Section 109D(2) of the Income Tax Act, 1967, the applicable final withholding tax on distributions of income which is tax exempt at CMMT level is as follows:

Resident unitholders

- | | |
|--------------------------|--------------------------------------|
| (a) Corporate | Tax flow through, no withholding tax |
| (b) Other than corporate | Withholding tax at 10.0% |

Non-resident unitholders

- | | |
|-----------------------------|--------------------------|
| (c) Corporate | Withholding tax at 24.0% |
| (d) Institutional investors | Withholding tax at 10.0% |
| (e) Individuals | Withholding tax at 10.0% |

19. PORTFOLIO TURNOVER RATIO

There were neither acquisitions nor disposals of investments during the financial year. The Group portfolio turnover ratio (PTR) for the financial year is nil (2016 : nil).

The calculation of the PTR is based on the average of total acquisitions and total disposals of investments in CMMT for the year to the average net asset value during the financial year.

Since the basis of calculating the PTR can vary among the REITs, there is no sound basis for providing an accurate comparison of CMMT against other REITs.

20. MANAGEMENT EXPENSE RATIO

	2017	2016
Group		
Management expense ratio (MER) (%)	<u>0.9</u>	0.9

MER is calculated based on the total fees of CMMT, including Manager's management fee, Trustee's fee and other trust expenses, to the average net asset value during the financial year.

Comparison of the MER of CMMT with other REITs which may use different basis of calculation may not be an accurate comparison.

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

21. CAPITAL COMMITMENTS

Capital commitments in relation to capital expenditure of the existing portfolio of CMMT are as follows:

	2017 RM'000	2016 RM'000
Group and the Trust		
Contracted but not provided for	<u>3,754</u>	<u>6,541</u>

22. OPERATING LEASE

The Group and the Trust have the following commitments at the end of the financial year:

(a) Operating lease rental payable

Future minimum lease payments of the Group and of the Trust on non-cancellable operating leases are as follows:

	2017 RM'000	2016 RM'000
Group and the Trust		
Less than one year	71	82
Between one and five years	<u>108</u>	<u>179</u>
	<u>179</u>	<u>261</u>

The Group and the Trust lease photocopiers under operating leases. The leases run for a period of between three and five years with an option to renew the leases upon expiry.

(b) Operating lease rental receivable

Future minimum lease rental receivable of the Group and of the Trust on non-cancellable operating leases from investment properties are as follows:

	2017 RM'000	2016 RM'000
Group and the Trust		
Less than one year	193,795	217,446
Between one and five years	165,755	130,194
More than five years	8,185	7,930
	<u>367,735</u>	<u>355,570</u>

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

23. FINANCIAL INSTRUMENTS

23.1 Categories of financial instruments

The financial instruments of the Group and of the Trust are categorised as follows:

	Group Carrying amount		Trust Carrying amount	
	2017 RM'000	2016 RM'000	2017 RM'000	2016 RM'000
Financial assets categorised as loans and receivables:				
Trade and other receivables	21,368	15,875	21,361	15,875
Amount due from subsidiary	–	–	7,048	3,710
Cash and cash equivalents	186,323	192,097	179,837	188,853
	207,691	207,972	208,246	208,438
Financial liabilities measured at amortised cost:				
Borrowings	1,337,281	1,311,808	1,038,134	1,012,885
Tenants' deposits	93,325	94,346	93,325	94,346
Amount due to subsidiary	–	–	300,000	300,000
Trade and other payables	56,158	52,038	55,724	51,366
	1,486,764	1,458,192	1,487,183	1,458,597

23.2 Net gains and losses arising from financial instruments

	2017 RM'000	2016 RM'000
Group and the Trust		
Net gains/(losses) on:		
Loans and receivables		
– Allowance for impairment losses on trade receivables	(992)	(602)
– Interest income	5,420	5,738
	4,428	5,136
Financial liabilities		
– Finance costs	(59,690)	(59,550)
– Realised foreign exchange loss	(7)	(18)
– Unrealised foreign exchange loss	*	*
	(59,697)	(59,568)

* less than RM1,000

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

23. FINANCIAL INSTRUMENTS (continued)

23.3 Financial risk management

Financial risk management is integral to the whole business of the Group and Trust. The Group and Trust adopt an integrated approach to manage the financial risks arising in the normal course of business.

The Group and the Trust have identified the following financial risk exposure from its use of financial instruments:

- Liquidity risk
- Credit risk
- Market risk

The Group and the Trust have implemented risk management policies and guidelines which set its tolerance of risk and its general risk management philosophy.

23.4 Liquidity risk

Liquidity risk is defined as the risk that the Group and the Trust will not be able to meet its financial obligations as they fall due.

The Group's and the Trust's exposures to liquidity risk arises primarily from various payables and borrowings. The Group and the Trust maintain sufficient liquid reserves in terms of cash and credit facilities to ensure, as far as possible, that it will have sufficient liquidity to meet its liabilities when they fall due. In addition, the Manager diligently monitors and observes financing covenants to ensure compliance.

The health and sentiments of the debt markets in Malaysia directly affects the liquidity position of the Group and Trust as external sources of funding are needed to fund new acquisitions or asset enhancement initiatives besides the need to refinance the existing borrowings when they mature.

At the reporting date, RM58,200,000 (2016 : RM43,700,000) of revolving credit will be subject to annual review within the next twelve months. Other than that, there is no immediate refinancing need as the tranches of the Group's and Trust's borrowings have remaining tenures ranging from about 2 to 11 years. The Group and Trust will continue to manage their capital structure proactively by spreading out its debt maturity to a manageable size and maintaining an optimal gearing level.

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

23. FINANCIAL INSTRUMENTS (continued)

23.4 Liquidity risk (continued)

Maturity analysis

The table below summarises the maturity profile of the Group's and of the Trust's financial liabilities as at the end of the financial year based on undiscounted contractual payments:

	Carrying amount RM'000	Contractual interest rate %	Contractual cash flows RM'000	0 – 1 year RM'000	1 – 2 years RM'000	2 – 5 years RM'000	More than 5 years RM'000
2017							
Group							
Non-derivative financial liabilities							
Bank borrowings (excluding unamortised transaction costs)	1,041,030	4.1 – 4.6	1,364,632	102,153	44,735	537,454	680,290
Unrated and secured MTN (excluding unamortised transaction costs)	300,000	4.3	325,740	12,870	312,870	–	–
Tenants' deposits	93,325	–	93,325	54,944	21,999	16,260	122
Trade and other payables	56,158	–	46,544	46,544	–	–	–
	<u>1,490,513</u>		<u>1,830,241</u>	<u>216,511</u>	<u>379,604</u>	<u>553,714</u>	<u>680,412</u>
Trust							
Non-derivative financial liabilities							
Bank borrowings (excluding unamortised transaction costs)	1,041,030	4.1 – 4.6	1,364,632	102,153	44,735	537,454	680,290
Tenants' deposits	93,325	–	93,325	54,944	21,999	16,260	122
Amount due to subsidiary	300,000	4.3	325,740	12,870	312,870	–	–
Trade and other payables	55,724	–	46,533	46,533	–	–	–
	<u>1,490,079</u>		<u>1,830,230</u>	<u>216,500</u>	<u>379,604</u>	<u>553,714</u>	<u>680,412</u>

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

23. FINANCIAL INSTRUMENTS (continued)

23.4 Liquidity risk (continued)

Maturity analysis (continued)

	Carrying amount RM'000	Contractual interest rate %	Contractual cash flows RM'000	0 – 1 year RM'000	1 – 2 years RM'000	2 – 5 years RM'000	More than 5 years RM'000
2016							
Group							
<i>Non-derivative financial liabilities</i>							
Bank borrowings (excluding unamortised transaction costs)	1,016,730	3.8 – 4.6	1,364,834	87,230	42,085	125,459	1,110,060
Unrated and secured MTN (excluding unamortised transaction costs)	300,000	4.3	338,610	12,870	12,870	312,870	–
Tenants' deposits	94,346	–	94,346	53,432	24,066	16,726	122
Trade and other payables	52,038	–	42,608	42,608	–	–	–
	<u>1,463,114</u>		<u>1,840,398</u>	<u>196,140</u>	<u>79,021</u>	<u>455,055</u>	<u>1,110,182</u>
Trust							
<i>Non-derivative financial liabilities</i>							
Bank borrowings (excluding unamortised transaction costs)	1,016,730	3.8 – 4.6	1,364,834	87,230	42,085	125,459	1,110,060
Tenants' deposits	94,346	–	94,346	53,432	24,066	16,726	122
Amount due to subsidiary	300,000	4.3	338,610	12,870	12,870	312,870	–
Trade and other payables	51,366	–	42,359	42,359	–	–	–
	<u>1,462,442</u>		<u>1,840,149</u>	<u>195,891</u>	<u>79,021</u>	<u>455,055</u>	<u>1,110,182</u>

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

23. FINANCIAL INSTRUMENTS (continued)

23.4 Liquidity risk (continued)

Maturity analysis (continued)

Included in the carrying amount of trade and other payables are as follows:

For the Group:

- (a) an amount of RM4,994,000 (2016 : RM4,533,000) for interest payable on the borrowings, was incorporated in the contractual cash flows of the bank borrowings and unrated and secured MTN; and
- (b) an amount of RM4,620,000 (2016 : RM4,897,000) for Manager's performance fee payable in units was not incorporated in the contractual cash flows.

For the Trust:

- (a) an amount of RM4,571,000 (2016 : RM4,110,000), for interest payable on the borrowings, was incorporated in the contractual cash flows of the bank borrowings; and
- (b) an amount of RM4,620,000 (2016 : RM4,897,000) for Manager's performance fee payable in units was not incorporated in the contractual cash flows.

23.5 Credit risk

Credit risk is defined as the risk of a financial loss to the Group and to the Trust if a customer or counterparty to a financial instrument fails to meet its contractual obligations. The Group's and the Trust's exposures to credit risk arises primarily from its trade and other receivables.

Credit risk is controlled by credit verification procedures before lease agreements are entered into with tenants and ongoing balance monitoring to ensure minimum credit risk exposure. In addition, there is a stringent collection policy in place to ensure that credit risk is minimised. Other than the collection of security deposits, which typically amounts to an average of three months' rent in the form of cash or bankers' guarantee, the Group and Trust also have vigilant monitoring and debt collection procedures. Debt turnover of CMMT Group as at 31 December 2017 was approximately 14 days (2016 : 11 days).

For other financial assets, the Group and the Trust minimise credit risk by dealing with restricted counterparties that meet the appropriate credit criteria and of high credit standing.

The Manager establishes an allowance for impairment that represents its estimate of incurred losses in respect of trade and other receivables. The main component of this allowance is a specific loss component that relates to the individually significant exposure. The allowance account in respect of trade and other receivables is used to record impairment losses unless the Manager is satisfied that no recovery of the amount owing is possible. At that point, the financial asset is considered irrecoverable and the amount charged to the allowance account is written off against the carrying amount of the impaired financial asset.

At the end of financial year, there was no significant concentration of credit risk.

Cash and bank balances are placed with financial institutions which are regulated.

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

23. FINANCIAL INSTRUMENTS (continued)

23.6 Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and other prices that will affect the Group's and the Trust's financial positions or cash flows.

23.6.1 Interest rate risk

The Group's and the Trust's investments in financial products and its fixed rate borrowings are exposed to a risk of change in the fair values of the instruments due to changes in interest rates. The Group's and the Trust's floating rate borrowings are exposed to a risk of change in cash flows due to changes in interest rate. Short term receivables and payables are not significantly exposed to interest rate risk. Of these instruments, the primary interest rate risk exposure of the Group and the Trust relates to interest-bearing borrowings.

In line with the Group's overall enterprise risk management framework, the Manager adopts a proactive interest rate management policy to manage the risk associated with changes in interest rates on the Group's and the Trust's loan facilities and also seeking to ensure a competitive level of ongoing cost of debt. Interest rate risk is managed on an ongoing basis with the primary objective of limiting the extent to which interest expense could be affected by adverse movements in interest rates.

To mitigate the Group's exposure to fluctuation in interest rates, the Manager has locked in a proportion of the Group's and the Trust's borrowings at fixed interest rates. As at 31 December 2017, the Group's and the Trust's borrowings at fixed rates are 80.4% (2016 : 72.1%) and 74.8% (2016 : 63.9%) respectively while the balance is on a floating rate basis.

The investments in financial products are mainly short term in nature and not held for trading or speculative purposes but are mainly placed as deposits with licensed banks which yield better returns than cash at bank.

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

23. FINANCIAL INSTRUMENTS (continued)

23.6 Market risk (continued)

23.6.1 Interest rate risk (continued)

Exposure to interest rate risk

The interest rate profile of the Group's and of the Trust's significant interest-bearing financial instruments, based on carrying amounts as at end of the financial year, is as follows:

	Group		Trust	
	2017 RM'000	2016 RM'000	2017 RM'000	2016 RM'000
Financial assets				
<i>Fixed rate instruments</i>				
Deposits placed with licensed banks	151,946	158,651	145,466	155,421
Amount due from subsidiary	–	–	6,450	3,240
	151,946	158,651	151,916	158,661
Financial liabilities				
<i>Fixed rate instruments</i>				
Secured term loans	778,680	650,000	778,680	650,000
Unrated and secured MTN	300,000	300,000	–	–
Amount due to subsidiary	–	–	300,000	300,000
	1,078,680	950,000	1,078,680	950,000
<i>Floating rate instruments</i>				
Secured term loans	139,750	268,430	139,750	268,430
Secured and unsecured revolving credit	122,600	98,300	122,600	98,300
	1,341,030	1,316,730	1,341,030	1,316,730

Interest rate risk sensitivity analysis

Fair value sensitivity analysis for fixed rate instruments

The Group and the Trust do not account for any fixed rate financial assets and liabilities at fair value through profit or loss. Therefore, a change in interest rates at the end of the financial year would not affect profit or loss.

Cash flow sensitivity analysis for variable rate instruments

An increase of 100 basis points (bp) in interest rate at the reporting date would have increased the finance costs by RM2,624,000 (2016 : RM3,667,000) per annum. A decrease in 100 bp in interest rate would have an equal but opposite effect. This analysis assumes that all other variables remain constant.

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

23. FINANCIAL INSTRUMENTS (continued)

23.6 Market risk (continued)

23.6.2 Currency risk

As the assets of the Group are currently based in Malaysia, there is little or no foreign exchange exposure from operations. The Group borrows in Malaysian Ringgit from domestic banks and debt capital market hence creating a perfect currency match for the Group's and the Trust's assets and liabilities. At the end of the financial year, the Group and the Trust are not exposed to any significant foreign currency risk.

23.7 Fair value information

The carrying amounts of cash and cash equivalents, trade and other receivables, amount due from subsidiary and trade and other payables approximate their fair values due to the relatively short term nature of these financial instruments.

The fair value of the floating rate borrowings approximates its carrying amount as it reprices to market interest rates for liabilities with similar risk profiles.

The fair value of the fixed rate borrowings at initial recognition approximates its carrying amount as its effective interest rate is considered to be the market rate.

The fair values of the non-derivative financial liabilities, together with the carrying amounts shown in the statements of financial position, are as follows:

	Carrying amount 2017 RM'000	Fair value 2017 RM'000	Carrying amount 2016 RM'000	Fair value 2016 RM'000
Group				
Tenants' deposits	93,325	91,085	94,346	92,089
Fixed rate secured term loans	778,680	772,897	650,000	647,534
Unrated and secured MTN	300,000	297,114	300,000	296,594
Trust				
Tenants' deposits	93,325	91,085	94,346	92,089
Fixed rate secured term loans	778,680	772,897	650,000	647,534
Amount due to subsidiary	300,000	297,114	300,000	296,594

The fair values of the non-derivative financial liabilities are categorised as Level 2.

The above fair values, which are determined for disclosure purposes, are calculated based on the present value of future cash flows discounted at the market rate of interest at the end of the financial year. Interest rates used to determine fair values are as follows:

	2017	2016
Tenants' deposits	3.1%	3.0%
Fixed rate secured term loans	4.8%	4.7%
Unrated and secured MTN	4.8%	4.7%
Amount due to subsidiary	4.8%	4.7%

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

24. CAPITAL MANAGEMENT

The Group's objectives when managing capital are to maintain a strong capital base so as to maintain investor, creditor and market confidence and to ensure optimal returns to unitholders, while maintaining flexibility in respect of future capital expenditure and acquisitions. The Manager continues to rigorously monitor the cash position and borrowings of the Group with the view of strengthening their capital structure and competitive position.

The Manager maintains an optimal gearing ratio, which is defined as total borrowings divided by total asset value, that complies with regulatory requirements and financing covenants. Under the SC's REITs Guidelines, gearing ratio of the Group should not exceed 50.0% at the time the borrowings are incurred. However, the Group's gearing ratio may exceed this limit with the sanction of its unitholders by way of an ordinary resolution. The Group has complied with the SC's requirement during the financial year. The gearing level of the Group stood at 32.8% (2016 : 32.4%).

	Note	2017 RM'000	2016 RM'000
Group			
Total asset value (after income distribution)		4,094,734	4,062,960
Total borrowings (excluding unamortised transaction costs)	10	1,341,030	1,316,730
Gearing ratio (%)		32.8	32.4

There was no change in the Group's approach to capital management during the year.

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

25. RELATED PARTIES

Identity of and transactions with related parties

For the purposes of these financial statements, parties are considered to be related to the Group if the Group or the Trust has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where the Group or the Trust and the party are subject to common control or common significant influence. Related parties may be individuals or other entities.

During the financial year, other than those disclosed elsewhere in the financial statements, the following related party transactions were carried out in the normal course of business under normal commercial terms:

	Group		Trust	
	2017 RM'000	2016 RM'000	2017 RM'000	2016 RM'000
The Manager				
CapitaLand Malaysia Mall REIT Management Sdn. Bhd.				
– Management fee (Note 13)	23,253	23,444	23,253	23,444
The Trustee				
MTrustee Berhad				
– Trustee's fee (Note 14)	400	401	400	401
Related company of a substantial unitholder and of the Manager				
Malayan Banking Berhad				
– Interest income earned from bank accounts	881	1,051	881	1,051
– Rental income from leasing of space	56	66	56	66
– Bank charges	1	2	1	2
Maybank Investment Bank Berhad				
– Annual facility agent fee for the MTN Programme	50	50	–	–
– Lead Manager fee for the MTN Programme	–	75	–	–
Singapore Telecommunication Limited				
– Leased line expenses for Local Area Network Connectivity	–	*	–	*
CapitaLand Retail Malaysia Sdn. Bhd.				
– Project management fee for asset enhancement works	272	704	272	704
Alliance Bank Malaysia Berhad				
– Drawdown of revolving credit	5,400	4,500	5,400	4,500
– Interest paid/payable on revolving credit	610	353	610	353
– Commitment fees	26	42	26	42
– Rental income from leasing of space	26	34	26	34
Storhub Self Storage (SWP) Sdn. Bhd.				
– Rental income from leasing of space	759	717	759	717
SP Setia Project Management Sdn. Bhd.				
– Rental income from leasing of space	94	–	94	–
U Mobile Sdn. Bhd.				
– Rental income from leasing of space	252	–	252	–

* less than RM1,000

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

25. RELATED PARTIES (continued)

Identity of and transactions with related parties (continued)

	Group		Trust	
	2017 RM'000	2016 RM'000	2017 RM'000	2016 RM'000
Related company of a substantial unitholder				
RHB Bank Berhad				
– Interest income earned from bank accounts	–	846	–	594
– Rental income from leasing of space	–	199	–	199
– Bank charges	–	3	–	2
CIMB Bank Berhad				
– Interest paid/payable on term loan and revolving credit	–	14,643	–	14,643
– Commitment fees	–	232	–	232
– Interest income earned from bank accounts	–	707	–	707
– Bank charges	–	14	–	14
– Rental income from leasing of space	–	214	–	214
CIMB Investment Bank Berhad				
– Rental income from leasing of space	–	1,074	–	1,074
Tenaga Nasional Berhad				
– Electricity charges	–	44,535	–	44,535
Related company of a substantial shareholder of the Trustee				
AmBank (M) Berhad				
– Rental income from leasing of space	–	37	–	37

26. OPERATING SEGMENTS

The Group has two reportable segments, Retail and Office. For each of the segment, the Group's Chief Operating Decision Makers (CODM) review internal/management reports for the assessment of segment performance.

Segment revenue comprises mainly income generated from its tenants. Segment net property income represents the income earned by each segment after allocating property operating expenses. Segment performance is measured based on the segment net property income.

Segment result include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Unallocated expenses comprise mainly non-operating and trust expenses.

NOTES TO THE FINANCIAL STATEMENTS

For the Financial Year Ended 31 December 2017

26. OPERATING SEGMENTS (continued)

	Retail RM'000	Office RM'000	Total RM'000
Group			
Segment profit for the year ended 31 December 2017			
Gross revenue	362,468	6,466	368,934
Net property income	233,075	4,071	237,146
Interest income			5,420
Fair value gain of investment properties (net)			4,243
Unallocated expenses			(25,019)
Finance costs			(59,690)
Profit before taxation			162,100
Taxation			—
Profit for the year			162,100
Segment profit for the year ended 31 December 2016			
Gross revenue	365,564	7,053	372,617
Net property income	238,014	4,478	242,492
Interest income			5,738
Fair value gain of investment properties (net)			4,032
Unallocated expenses			(24,953)
Finance costs			(59,550)
Profit before taxation			167,759
Taxation			—
Profit for the year			167,759

No segment assets and liabilities information is prepared as the Group's CODM assess the segment performance based on the segment's net property income.

Geographical information

No geographical segment information is prepared as the Group's properties are all located in Malaysia.

27. SUBSEQUENT EVENTS

The Manager declared a final income distribution of approximately RM83,140,000 or 4.08 sen per unit on 24 January 2018, for the period from 1 July 2017 to 31 December 2017. This final income distribution will be paid on 28 February 2018. In total, CMMT will be paying approximately RM167,374,000, which is approximately 100.0% of its distributable income, to its unitholders for the financial year ended 31 December 2017. The book closure date for the final income distribution will be on 9 February 2018.

The declared final income distribution will be recognised in the immediate subsequent financial year.

STATEMENT BY THE MANAGER

The Manager acknowledges its responsibility for the preparation of the annual financial statements of CMMT and its subsidiary (the Group). In the opinion of the Directors of the Manager, CapitaLand Malaysia Mall REIT Management Sdn. Bhd., the financial statements set out on pages 102 to 146 are drawn up in accordance with the provisions of the Deed dated 7 June 2010 (which was amended and restated on 15 September 2015) (the Deed), Securities Commission Act, 1993 and the Capital Markets and Services Act, 2007, Securities Commission Malaysia's Guidelines on Real Estate Investment Trusts, Malaysian Financial Reporting Standards and International Financial Reporting Standards so as to give a true and fair view of the financial position of the Group and of the Trust as at 31 December 2017 and of their financial performance and cash flows for the financial year then ended.

In addition, the Directors confirm the following:

Sanctions and/or penalties

During the financial year there were no sanctions and/or penalties imposed on the Group, its Manager and/or the Directors by any of the relevant regulatory bodies.

Material contracts involving the Group and substantial unitholders

There are no material contracts involving the Group and substantial unitholders other than as disclosed in Note 25 to the financial statements.

Other significant events

There are no other significant events during the financial year and up to the date of this report.

Significant changes in the state of affairs

There have been no significant changes in the state of affairs of the Group during the financial year and up to the date of this report other than those disclosed in the financial statements.

Circumstances which materially affect the interests of unitholders

There are no circumstances which materially affect the interests of unitholders.

Changes in material litigation

The Manager is not aware of any pending litigation which is material since 31 December 2017 up to the date of this report.

STATEMENT BY THE MANAGER

Manager's remuneration and soft commission

The Manager's remuneration is accrued and paid in accordance with the Deed. No fee or commission has been earned by the Manager in managing CMMT other than that disclosed in Note 13 to the financial statements.

During the financial year, the Manager did not receive any soft commission (i.e. goods and services) from its broker, by virtue of any transaction conducted by CMMT.

Information on Directors

There are no family relationships among the Directors and/or major unitholders. None of the Directors has any conflict of interest with CMMT save for the Directors' interest in CMMT as disclosed in Note 9 to the financial statements. None of the Directors has been convicted of any offences, other than traffic offences, in the past ten years.

Signed on behalf of the Directors of the Manager in accordance with a resolution of the Board of Directors dated 8 February 2018.

David Wong Chin Huat
Chairman

Low Peck Chen
Chief Executive Officer

Kuala Lumpur, Wilayah Persekutuan

Date: 8 February 2018

STATUTORY DECLARATION

I, Yue Pei San, the officer of CapitaLand Malaysia Mall REIT Management Sdn. Bhd., primarily responsible for the financial management of CapitaLand Malaysia Mall Trust, do solemnly and sincerely declare that the financial statements set out on pages 102 to 146, are, to the best of my knowledge and belief, correct and I make this solemn declaration conscientiously believing the declaration to be true, and by virtue of the Statutory Declarations Act, 1960.

Subscribed and solemnly declared by the abovenamed at Kuala Lumpur, Wilayah Persekutuan on 8 February 2018.

Yue Pei San

Before me:

TRUSTEE'S REPORT

To the Unitholders of CapitaLand Malaysia Mall Trust
(Established in Malaysia)

We have acted as Trustee of CapitaLand Malaysia Mall Trust (CMMT) for the financial year ended 31 December 2017. In our opinion and to the best of our knowledge, CapitaLand Malaysia Mall REIT Management Sdn. Bhd., the Manager of CMMT, has managed CMMT in accordance with the limitations imposed on the investment powers of the Manager and the Trustee under the Deed dated 7 June 2010 (which was amended and restated on 15 September 2015) (the Deed), the Capital Markets and Services Act, 2007, Securities Commission Malaysia's Guidelines on Real Estate Investment Trusts and other applicable laws during the financial year then ended.

We have also ensured the following:

- (a) the valuation/pricing is carried out in accordance with the Deed and other regulatory requirements; and
- (b) the creation of units is carried out in accordance with the Deed and other regulatory requirements.

We confirm that the income distributions declared and paid during the financial year ended 31 December 2017 are in line with and are reflective of the objectives of CMMT.

For and on behalf of the Trustee,
MTrustee Berhad

Nurizan binti Jalil
Chief Executive Officer

Date: 8 February 2018

INDEPENDENT AUDITORS' REPORT

To the Unitholders of Capitaland Malaysia Mall Trust
(Established in Malaysia)

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of CapitaLand Malaysia Mall Trust (CMMT), which comprise the statements of financial position as at 31 December 2017 of the Group and of CMMT, and the statements of profit or loss and other comprehensive income, statements of changes in net asset value and statements of cash flows of the Group and of CMMT for the year then ended, and notes to the financial statements, including a summary of significant accounting policies, as set out on pages 102 to 146.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Group and of CMMT as at 31 December 2017, and of their financial performance and their cash flows for the year then ended in accordance with Malaysian Financial Reporting Standards and International Financial Reporting Standards.

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Financial Statements* section of our auditors' report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Group and of CMMT in accordance with the *By-Laws (on Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants (By-Laws) and the International Ethics Standards Board for Accountants' *Code of Ethics for Professional Accountants* (IESBA Code), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the Group and of CMMT for the current year. These matters were addressed in the context of our audit of the financial statements of the Group and of CMMT as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Valuation of investment properties

Refer to Note 2(d) – Significant accounting policy: Investment properties and Note 4 – Investment properties.

The key audit matter

The Group owns a portfolio of investment properties comprising shopping malls and an office block located in Malaysia. Investment properties represent the single largest category of assets on the statements of financial position, at RM3,966,000,000 as at 31 December 2017.

These investment properties are stated at their fair values based on independent external valuations.

The valuation process involves significant judgement in determining the appropriate valuation methodology to be used, and in estimating the underlying assumptions to be applied. The valuations are highly sensitive to key assumptions applied in deriving at the capitalisation rates i.e. a small change in the assumptions can have a significant impact to the valuation.

INDEPENDENT AUDITORS' REPORT

To the Unitholders of Capitaland Malaysia Mall Trust
(Established in Malaysia)

How the matter was addressed in our audit

We performed the following audit procedures, among others:

We assessed the Manager's processes for the selection of the external valuers, the determination of the scope of work of the valuers, and the review and acceptance of the valuations reported by the external valuers.

We considered the qualifications and competence of the external valuers vis-a-vis the expert's qualifications, membership of a professional body or industry association, and license to practice.

We considered the valuation methodologies used against those applied by other valuers for similar property types. We also considered other alternative valuation methods commonly used by external valuers. We tested the integrity of inputs of the projected cash flows used in the valuation to supporting leases agreements and other documents.

We challenged the capitalisation rates used in the valuation by comparing them against historical rates and available industry data, taking into consideration comparability and market factors. Where the rates were outside the expected range, we undertook further procedures to understand the effect of additional factors and, when necessary, held further discussions with the valuers.

We also considered the adequacy of the disclosures in the financial statements, in describing the inherent degree of subjectivity and key assumptions in the estimates. This includes the relationships between the key unobservable inputs and fair values, in conveying the uncertainties.

Information Other than the Financial Statements and Auditors' Report Thereon

CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (Manager) is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements of the Group and of CMMT and our auditors' report thereon.

Our opinion on the financial statements of the Group and of CMMT does not cover the annual report and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of the Group and of CMMT, our responsibility is to read the annual report and, in doing so, consider whether the annual report is materially inconsistent with the financial statements of the Group and of CMMT or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of the annual report, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Manager for the Financial Statements

The Manager is responsible for the preparation of the financial statements of the Group and of CMMT that give a true and fair view in accordance with the Deed dated 7 June 2010 (which was amended and restated on 15 September 2015), Securities Commission Act, 1993 and the Capital Markets and Services Act, 2007, Securities Commission's Guidelines on Real Estate Investment Trust, Malaysian Financial Reporting Standards and International Financial Reporting Standards. The Manager is also responsible for such internal control as the Manager determines is necessary to enable the preparation of financial statements of the Group and of CMMT that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Group and of CMMT, the Manager is responsible for assessing the ability of the Group and of CMMT to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Manager either intends to liquidate the Group or CMMT or to cease operations, or has no realistic alternative but to do so.

INDEPENDENT AUDITORS' REPORT

To the Unitholders of Capitaland Malaysia Mall Trust
(Established in Malaysia)

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Group and of CMMT as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements of the Group and of CMMT, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Manager's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Manager.
- Conclude on the appropriateness of the Manager's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group or of CMMT to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements of the Group and of CMMT or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group or CMMT to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements of the Group and of CMMT, including the disclosures, and whether the financial statements of the Group and of CMMT represent the underlying transactions and events in a manner that gives a true and fair view.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the financial statements of the Group. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the Manager regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the Manager with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

INDEPENDENT AUDITORS' REPORT

To the Unitholders of Capitaland Malaysia Mall Trust
(Established in Malaysia)

Auditors' Responsibilities for the Audit of the Financial Statements (continued)

From the matters communicated with the Manager, we determine those matters that were of most significance in the audit of the financial statements of the Group and of CMMT for the current year and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our auditors' report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matter

This report is made solely to the unitholders of CMMT in accordance with Section 266 of the Companies Act 2016 in Malaysia and for no other purpose. We do not assume responsibility to any other person for the content of this report.

KPMG PLT

(LLP0010081-LCA & AF 0758)
Chartered Accountants

Petaling Jaya,

Date: 8 February 2018

OW PENG LI

Approval Number: 02666/09/2019 (J)
Chartered Accountant

STATISTICS OF UNITHOLDERS

As at 31 December 2017

Issued and Fully Paid Units	2,037,752,700 units (voting rights: 1 vote per unit)
Approved Fund Size	2,530,006,240 units
Public Spread	As at 31 December 2017, the public shareholding spread of CMMT was 63.43 ¹

ANALYSIS BY SIZE OF UNITHOLDINGS

Size of Unitholdings	No. of Unitholders	% of Unitholders	No. of Units	% of Units
Less than 100	121	2.31	1,302	0.00
100 – 1,000	957	18.24	685,287	0.03
1,001 – 10,000	2,838	54.09	14,494,430	0.71
10,001 – 100,000	1,072	20.43	35,386,110	1.74
100,001 – less than 5% of approved fund size	255	4.86	715,787,571	35.13
5% and above the approved fund size	4	0.07	1,271,398,000	62.39
Total	5,247	100	2,037,752,700	100

THIRTY (30) LARGEST UNITHOLDERS AS PER RECORD OF DEPOSITORS

No	Name of Unitholder	Holdings	%
1.	CMMT Investment Limited	710,973,600	34.89
2.	Amanahraya Trustees Berhad Amanah Saham Bumiputera	244,467,200	12.00
3.	Kumpulan Wang Persaraan (Diperbadankan)	161,622,100	7.93
4.	Citigroup Nominees (Tempatan) Sdn Bhd Employees Provident Fund Board	154,335,100	7.57
5.	Valuecap Sdn Bhd	81,511,000	4.00
6.	Cartaban Nominees (Asing) Sdn Bhd GIC Private Limited For Government of Singapore (C)	50,872,000	2.50
7.	Amanahraya Trustees Berhad Amanah Saham Wawasan 2020	45,000,000	2.21
8.	Malaysia Nominees (Tempatan) Sendirian Berhad Great Eastern Life Assurance (Malaysia) Berhad (Par 1)	43,033,800	2.11
9.	Amanahraya Trustees Berhad Amanah Saham Malaysia	40,117,000	1.97
10.	Citigroup Nominees (Tempatan) Sdn Bhd Employees Provident Fund Board (Affin-Hwg)	39,243,700	1.93
11.	Menang Investment Limited	33,832,200	1.66

1 The figures were derived at after excluding unitholdings held by CMMT Investment Limited, Menang Investment Limited and Directors of the Manager, pursuant to the definition of "public" under the Main Market Listing Requirements of Bursa Malaysia Securities Berhad.

STATISTICS OF UNITHOLDERS

As at 31 December 2017

THIRTY (30) LARGEST UNITHOLDERS AS PER RECORD OF DEPOSITORS (continued)

No	Name of Unitholder	Holdings	%
12.	Citigroup Nominees (Tempatan) Sdn Bhd Exempt an for AIA Bhd	25,946,100	1.27
13.	Permodalan Nasional Berhad	25,000,000	1.23
14.	Cartaban Nominees (Tempatan) Sdn Bhd PAMB For Prulink Equity Fund	23,310,300	1.14
15.	Amanahraya Trustees Berhad As 1Malaysia	19,952,900	0.98
16.	Cartaban Nominees (Asing) Sdn Bhd Exempt an for State Street Bank & Trust Company (West CLT OD67)	17,872,400	0.88
17.	Malaysia Nominees (Tempatan) Sendirian Berhad Great Eastern Life Assurance (Malaysia) Berhad (Par 3)	16,418,000	0.80
18.	Amanahraya Trustees Berhad Amanah Saham Gemilang For Amanah Saham Kesihatan	14,310,200	0.70
19.	Amanahraya Trustees Berhad Public Smallcap Fund	14,150,000	0.69
20.	Citigroup Nominees (Asing) Sdn Bhd CBNY for DFA International Real Estate Securities Portfolio of DFA Investment Dimensions Group Inc	13,711,000	0.67
21.	HSBC Nominees (Asing) Sdn Bhd JPMCB NA for Vanguard Total International Stock Index Fund	13,104,902	0.64
22.	Amanahraya Trustees Berhad Amanah Saham Bumiputera 2	11,465,000	0.56
23.	HSBC Nominees (Asing) Sdn Bhd BBH and Co Boston for Vanguard Emerging Markets Stock Index Fund	9,708,763	0.48
24.	Citigroup Nominees (Tempatan) Sdn Bhd Employees Provident Fund Board (Aberdeen)	8,062,900	0.40
25.	Tokio Marine Life Insurance Malaysia Bhd As Beneficial Owner (PF)	7,954,100	0.39
26.	Citigroup Nominees (Tempatan) Sdn Bhd Kumpulan Wang Persaraan (Diperbadankan) (Aberdeen)	7,557,100	0.37
27.	Cartaban Nominees (Asing) Sdn Bhd GIC Private Limited for Monetary Authority of Singapore (H)	7,440,300	0.36

STATISTICS OF UNITHOLDERS

As at 31 December 2017

THIRTY (30) LARGEST UNITHOLDERS AS PER RECORD OF DEPOSITORS (continued)

No	Name of Unitholder	Holdings	%
28.	Amanahraya Trustees Berhad Amanah Saham Nasional 3 Imbang	7,329,800	0.36
29.	Citigroup Nominees (Tempatan) Sdn Bhd Kumpulan Wang Persaraan (Diperbadankan) (VCAM Equity FD)	7,022,100	0.35
30.	Citigroup Nominees (Tempatan) Sdn Bhd Kumpulan Wang Persaraan (Diperbadankan) (AFFIN AM A EQ)	5,698,700	0.28
Total		1,861,022,265	91.32

LIST OF DIRECTORS' INTEREST

Name	Designation	Nationality	No. of Units Held Through Own Name	No. of Units Held Through Nominees	Total Unitholdings
Mr David Wong Chin Huat	Chairman / Non-Executive Independent Director	Singaporean	–	–	–
Ms Low Peck Chen	Executive Non-Independent Director	Malaysian	12,000	–	12,000
Ms Tan Siew Bee	Non-Executive Independent Director	Malaysian	100,000	–	100,000
Dr Peter Tay Buan Huat	Non-Executive Independent Director	Singaporean	–	100,000	100,000
Mr Foo Wei Hoong	Non-Executive Non-Independent Director	Malaysian	–	–	–
Tuan Haji Rosli bin Abdullah	Non-Executive Independent Director	Malaysian	–	–	–
Mr Ng Chih Kaye	Non-Executive Independent Director	Malaysian	–	–	–
Mr Jason Leow Juan Thong ¹	Non-Executive Non-Independent Director	Singaporean	–	–	–
Mr Ng Kok Siong	Non-Executive Non-Independent Director	Singaporean	–	100,000	100,000
Mr Lee Hui Yeow ²	Non-Executive Non-Independent Director	Malaysian	23,000	–	23,000
Total			135,000	200,000	335,000

¹ Mr Jason Leow Juan Thong has resigned with effect from 1 January 2018.

² Alternate Director to Mr Ng Kok Siong with effect from 1 January 2017.

STATISTICS OF UNITHOLDERS

As at 31 December 2017

SUBSTANTIAL UNITHOLDERS

No.	Name	No. of Units Held Through Own Name	No. of Units Held Through Nominees	Total Unitholdings	%
1.	CMMT Investment Limited	710,973,600	–	710,973,600	34.89
2.	Employees Provident Fund Board	–	154,335,100	201,641,700	9.89
	Employees Provident FD BD (ABERDEEN)	–	8,062,900		
	Employees Provident FD BD (AFFIN HWG)		39,243,700		
	<i>Registered with:</i>				
	<i>Citigroup Nominees (Tempatan) Sdn. Bhd.</i>				
3.	Amanah Saham Bumiputera	–	244,467,200	244,467,200	12.00
	<i>Registered with:</i>				
	<i>AmanahRaya Trustees Berhad</i>				
4.	Kumpulan Wang Persaraan (Diperbadankan)	161,622,100	–	181,900,000	8.93
	Kumpulan Wang Persaraan (Diperbadankan)	–	7,022,100		
	(VCAM Equity FD)				
	<i>Registered with:</i>				
	<i>Citigroup Nominees (Tempatan) Sdn. Bhd.</i>				
	Kumpulan Wang Persaraan (Diperbadankan)	–	7,557,100		
	(Aberdeen)				
	<i>Registered with:</i>				
	<i>Citigroup Nominees (Tempatan) Sdn. Bhd.</i>				
	Kumpulan Wang Persaraan (Diperbadankan)	–	5,698,700		
	(AFFIN AM A EQ)				
	<i>Registered with:</i>				
	<i>Citigroup Nominees (Tempatan) Sdn. Bhd.</i>				
Total		872,595,700	466,386,800	1,338,982,500	65.71

NOTICE OF ANNUAL GENERAL MEETING

CAPITALAND MALAYSIA MALL TRUST

(Established in Malaysia under the trust deed dated 7 June 2010 (as amended and restated on 15 September 2015) entered into between CapitaLand Malaysia Mall REIT Management Sdn. Bhd (819351-H) and MTrustee Berhad (163032-V))

NOTICE IS HEREBY GIVEN that the Annual General Meeting (**AGM**) of the holders of units (**Units**) (**Unitholders**) of CapitaLand Malaysia Mall Trust (**CMMT**) will be held on Thursday, 29 March 2018 at 10.00 a.m. at Hotel Istana Kuala Lumpur City Centre, Mahkota Ballroom III, BR Level, 73, Jalan Raja Chulan, 50200 Kuala Lumpur, Malaysia to transact the following businesses:

ORDINARY BUSINESS

1. To receive the report of MTrustee Berhad, as trustee of CMMT (the **Trustee**), the statement by CapitaLand Malaysia Mall REIT Management Sdn. Bhd., as manager of CMMT (the **Manager**), and the Audited Financial Statements of CMMT for the financial year ended 31 December 2017 and the Auditors' Report attached thereon.

SPECIAL BUSINESS

To consider and, if thought fit, to pass with or without any modification, the following resolution:

2. **PROPOSED AUTHORITY TO ALLOT AND ISSUE NEW UNITS PURSUANT TO CLAUSE 14.03 OF SECURITIES COMMISSION MALAYSIA'S GUIDELINES ON REAL ESTATE INVESTMENT TRUSTS (REITS GUIDELINES) (PROPOSED AUTHORITY)**

Ordinary
Resolution 1

"**THAT** pursuant to the REITs Guidelines, Main Market Listing Requirements of Bursa Malaysia Securities Berhad (**Bursa Securities**) and the approval of the relevant regulatory authorities, where such approval is required, authority be and is hereby given to the Manager to allot and issue new units in CMMT (**New Units**) from time to time to such persons and for such purposes as the Manager may in its absolute discretion deem fit and in the best interest of CMMT, provided that the number of New Units to be allotted and issued pursuant to this resolution must not exceed 407,550,540 Units, representing 20% of the existing fund size of CMMT;

AND THAT the Proposed Authority shall be effective and continue to be in force from the date of receipt of all relevant authorities' approval or the date the Unitholders pass this resolution, whichever may be the later, until:

- (a) the conclusion of the next AGM of the Unitholders at which time it shall lapse, unless by a resolution passed at the meeting, the authority is renewed; or
- (b) the expiration of the period within which the next AGM of the Unitholders is required by law to be held; or
- (c) the Proposed Authority is revoked or varied by the Unitholders in a Unitholders' meeting,

whichever occurs first (**Validity Period**);

NOTICE OF ANNUAL GENERAL MEETING

AND THAT the New Units to be issued pursuant to the Proposed Authority shall, upon allotment and issuance, rank pari passu in all respects with the existing Units except that the New Units will not be entitled to any distributable income, right, benefit, entitlement and/or any other distributions that may be declared before the date of allotment and issuance of such New Units;

AND THAT authority be and is hereby given to the Manager and the Trustee, acting for and on behalf of CMMT, to give effect to the aforesaid Proposed Authority with full powers to assent to any condition, variation, modification and/or amendment in any manner as the Manager and the Trustee may deem fit and in the best interest of CMMT and/or as may be imposed by the relevant authorities, and to deal with all matters relating thereto;

AND FURTHER THAT authority be and is hereby given to the Manager and the Trustee, acting for and on behalf of CMMT, to take all such steps and do all acts, deeds and things in any manner (including execute such documents as may be required) as they may deem necessary or expedient to implement, finalise, complete and give full effect to the Proposed Authority."

(Please see Explanatory Note 1)

BY ORDER OF THE BOARD

CAPITALAND MALAYSIA MALL REIT MANAGEMENT SDN. BHD.

(Company No. 819351-H)

as manager of CapitaLand Malaysia Mall Trust

Khoo Ming Siang (MAICSA No. 7034037)

Teo Mee Hui (MAICSA No. 7050642)

Company Secretaries

Kuala Lumpur

28 February 2018

Enclosures:

1. Explanatory Notes

2. Proxy Form

**cc: MTrustee Berhad
Securities Commission Malaysia**

NOTICE OF ANNUAL GENERAL MEETING

Notes:

1. Only Unitholders whose names appear in the Record of Depositors on 23 March 2018 are entitled to attend, speak and vote at the AGM.
2. A Unitholder may attend the AGM in person or appoint up to two proxies to attend the AGM and vote in the Unitholder's place. A Unitholder holding 10,000 Units or less shall be entitled to appoint one proxy (whether a Unitholder or not). A Unitholder holding more than 10,000 Units shall be entitled to appoint up to two proxies (whether a Unitholder or not).
3. On a show of hands, every Unitholder who is present in person or by proxy/proxies has one vote.
4. On a poll, every Unitholder who is present in person or by proxy/proxies has one vote for every Unit held by him.
5. Where a Unitholder is an authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint one proxy for each securities account that holds 10,000 Units or less standing to the credit for the said securities account and up to two proxies for each securities account that holds more than 10,000 Units standing to the credit for the said securities account.
6. Where the Unitholder or the authorised nominee appoints more than one proxy, the appointment will be invalid unless the instrument appointing the proxies specifies the proportions of holdings to be represented by each proxy.
7. Any appointment of a proxy shall be in writing in the Proxy Form attached herewith under the hand of the Unitholder or of his duly appointed attorney or, if the Unitholder is a corporation, either under the seal or under the hand of an officer or attorney duly authorised.
8. The Proxy Form appointing a proxy and the power of attorney or other authority, if any, under which it is signed or a notarially certified copy of that power or authority, must be deposited with the Manager at CapitaLand Malaysia Mall REIT Management Sdn. Bhd., Level 2, Ascott Kuala Lumpur, No. 9, Jalan Pinang, 50450 Kuala Lumpur, Malaysia, not less than 48 hours before the time appointed for holding the meeting or any adjournment thereof, by hand or post; in default of this provision, the Proxy Form shall not be treated as valid.

Personal Data Privacy:

By submitting an instrument appointing a proxy(ies) and/or representative(s) to attend, speak and vote at the AGM and/or any adjournment thereof, a Unitholder (i) consents to the collection, use and disclosure of the Unitholder's personal data by the Manager and the Trustee (or their agents) for the purpose of processing and administering the proxies and representatives appointed for the AGM (including any adjournment thereof) and the preparation and compilation of the attendance lists, minutes and other documents relating to the AGM (including any adjournment thereof), and in order for the Manager and the Trustee (or their agents) to comply with any applicable laws, listing rules, regulations and/or guidelines (collectively, the **Purposes**), (ii) warrants that where the Unitholder discloses the personal data of the Unitholder's proxy(ies) and/or representative(s) to the Manager and the Trustee (or their agents), the Unitholder has obtained the prior consent of such proxy(ies) and/or representative(s) for the collection, use and disclosure by the Manager and the Trustee (or their agents) of the personal data of such proxy(ies) and/or representative(s) for the Purposes, and (iii) agrees that the Unitholder will indemnify the Manager and the Trustee in respect of any penalties, liabilities, claims, demands, losses and damages as a result of the Unitholder's breach of warranty.

NOTICE OF ANNUAL GENERAL MEETING

EXPLANATORY NOTES:

1. Ordinary Resolution 1 – Proposed Authority

At the conclusion of the forthcoming AGM to be held on 29 March 2018, the authority for the Manager to allot and issue up to 20% of CMMT's then existing fund size approved by Unitholders at CMMT's fifth AGM on 30 March 2017 will lapse (**Existing Authority**). CMMT has not issued any new Units pursuant to Clause 14.03 of the REIT Guidelines under the Existing Authority.

Ordinary Resolution 1 is a new authority for the Manager to allot and issue up to 407,550,540 Units, representing 20% of the current existing fund size of CMMT during the Validity Period.

The Proposed Authority will allow the Manager the flexibility to allot and issue New Units to raise funds to finance future investments, acquisitions and capital expenditure to enhance the value of CMMT and/or to refinance existing debt as well as for working capital purposes, subject to the relevant laws and regulations. With the Proposed Authority, delays and further costs involved in convening separate general meetings to approve such issue of New Units to raise funds can be avoided.

The Manager may, subject to relevant laws and regulations, use the net proceeds from the issuance of New Units under the Proposed Authority at its absolute discretion for other purposes.

Any allotment and issuance of New Units pursuant to the Proposed Authority will be subject to the relevant approvals of the Securities Commission Malaysia and Bursa Securities.

CAPITALAND MALAYSIA MALL TRUST

(Established in Malaysia under the trust deed dated 7 June 2010 (as amended and restated on 15 September 2015) entered into between CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (819351-H) and MTrustee Berhad (163032-V))

PROXY FORM

ANNUAL GENERAL MEETING

IMPORTANT:**Personal Data Privacy**

By submitting an instrument appointing proxy(ies) and/or representative(s), the Unitholder accepts and agrees to the personal data privacy terms set out in the Notice of Annual General Meeting dated 28 February 2018.

I/We, _____ (Name(s) and NRIC no./Passport no./Company

Registration no.) of _____ (Address)

being a unitholder/unitholders of CapitaLand Malaysia Mall Trust (CMMT), hereby appoint:

Name :	NRIC/Passport No.:	Proportion of Unitholdings	
		No. of Units	%
Address :			

and/or failing whom (delete as appropriate)

Name :	NRIC/Passport No.:	Proportion of Unitholdings	
		No. of Units	%
Address :			

or, both of whom failing, the Chairman of the Annual General Meeting, as my/our proxy/proxies to attend and to vote for me/us on my/our behalf and if necessary, to demand a poll, at the Annual General Meeting of CMMT to be held on Thursday, 29 March 2018 at Hotel Istana Kuala Lumpur City Centre, Mahkota Ballroom III, BR Level, 73, Jalan Raja Chulan, 50200 Kuala Lumpur, Malaysia at 10.00 a.m., and at any adjournment thereof. I/We direct my/our proxy/proxies to vote for or against the resolution to be proposed at the Annual General Meeting as indicated hereunder. If no specific direction as to voting is given, the proxy/proxies will vote or abstain from voting at his/her/their discretion, as he/she/they may on any other matter arising at the Annual General Meeting.

No.	Ordinary Resolution:	For*	Against*
	SPECIAL BUSINESS		
1	Proposed Authority		

* If you wish to exercise all your votes "For" or "Against", please tick [v] within the box provided. Alternatively, please indicate the number of votes as appropriate.

Dated this _____ day of _____ 2018

Total number of Units held

Signature(s) of unitholder(s) / Common Seal ^

^ Where the Proxy Form is executed by a corporation, it shall be either under its Common Seal or under the hand of an attorney or an officer on behalf of the corporation duly authorised, and a certified true copy (by the Company Secretary) of the power of attorney or of the board resolution of that corporation appointing such officer, shall be deposited with the Manager together with the Proxy Form.

IMPORTANT: PLEASE READ NOTES TO PROXY FORM ON REVERSE PAGE

Affix
postage
stamp

CapitaLand Malaysia Mall REIT Management Sdn. Bhd.
(Company No. 819351-H)
(as manager of CapitaLand Malaysia Mall Trust)

Level 2, Ascott Kuala Lumpur, No. 9, Jalan Pinang
50450 Kuala Lumpur

2nd fold here

IMPORTANT: PLEASE READ THE NOTES TO PROXY FORM BELOW

Notes to Proxy Form:

1. Only unitholders of CMMT (Unitholders) whose names appear in the Record of Depositors on 23 March 2018 are entitled to attend, speak and vote at the AGM.
2. A Unitholder may attend the AGM in person or appoint up to two proxies to attend the AGM and vote in the Unitholder's place. A Unitholder holding 10,000 Units or less shall be entitled to appoint one proxy (whether a Unitholder or not). A Unitholder holding more than 10,000 Units shall be entitled to appoint up to two proxies (whether a Unitholder or not).
3. On a show of hands, every Unitholder who is present in person or by proxy/proxies has one vote.
4. On a poll, every Unitholder who is present in person or by proxy/proxies has one vote for every Unit held by him.
5. Where a Unitholder is an authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint one proxy for each securities account that holds 10,000 Units or less standing to the credit for the said securities account and up to two proxies for each securities account that holds more than 10,000 Units standing to the credit for the said securities account.
6. Where the Unitholder or the authorised nominee appoints more than one proxy, the appointment will be invalid unless the instrument appointing the proxies specifies the proportions of holdings to be represented by each proxy.
7. Any appointment of a proxy shall be in writing in the Proxy Form attached herewith under the hand of the Unitholder or of his duly appointed attorney or, if the Unitholder is a corporation, either under the seal or under the hand of an officer or attorney duly authorised.
8. The Proxy Form appointing a proxy and the power of attorney or other authority, if any, under which it is signed or a notarially certified copy of that power or authority, must be deposited with the Manager at CapitaLand Malaysia Mall REIT Management Sdn. Bhd., Level 2, Ascott Kuala Lumpur, No. 9, Jalan Pinang, 50450 Kuala Lumpur, Malaysia, not less than 48 hours before the time appointed for holding the meeting or any adjournment thereof by hand or post; in default of this provision, the Proxy Form shall not be treated as valid.

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General

The Manager shall be entitled to reject any Proxy Form which is incomplete, improperly completed, illegible or where the true intentions of the appointor are not ascertainable from the Proxy Form submitted. The Manager may reject any Proxy Form if the Unitholder, being the appointor, is not shown to have Units entered against his/her name in the Record of Depositors on 23 March 2018.

CORPORATE INFORMATION

CAPITALAND MALAYSIA MALL TRUST

REGISTERED ADDRESS

MTrustee Berhad

(Company Number: 163032-V)
B-2-9 (2nd Floor), Pusat Perdagangan
Kuchai
No. 2, Jalan 1/127
Off Jalan Kuchai Lama
58200 Kuala Lumpur
Telephone No.: +60 3 7983 1088
Facsimile No.: +60 3 7984 9612

Stock Exchange Listing

Main Market of Bursa Malaysia Securities
Berhad
Stock Name: CMMT
Stock Code: 5180

TRUSTEE

MTrustee Berhad

(Company Number: 163032-V)

Business Address

Level 15, Menara AmFirst
No. 1, Jalan 19/3
46300 Petaling Jaya
Selangor Darul Ehsan
Telephone No.: +60 3 7954 6862
Facsimile No.: +60 3 7954 3712

MANAGER

CapitaLand Malaysia Mall REIT Management Sdn. Bhd.

(Company Number: 819351-H)

Manager's Registered Office / Principal Place of Business

Level 2, Ascott Kuala Lumpur
No. 9, Jalan Pinang
50450 Kuala Lumpur
Telephone No.: +60 3 2279 9888
Facsimile No.: +60 3 2279 9889

Website

www.cmmt.com.my

BOARD OF DIRECTORS OF THE MANAGER

Mr David Wong Chin Huat

Chairman and Non-Executive
Independent Director

Ms Low Peck Chen

Chief Executive Officer and
Executive Non-Independent Director

Ms Tan Siew Bee

Non-Executive Independent Director

Dr Peter Tay Buan Huat

Non-Executive Independent Director

Mr Foo Wei Hoong

Non-Executive Non-Independent
Director

Tuan Haji Rosli bin Abdullah

Non-Executive Independent Director

Mr Ng Chih Kaye

Non-Executive Independent Director

Mr Ronald Tay Boon Hwee

Non-Executive Non-Independent
Director

Mr Ng Kok Siong

Non-Executive Non-Independent
Director

Mr Lee Hui Yeow

Alternate Director to Mr Ng Kok Siong
Non-Executive Non-Independent
Director

EXECUTIVE COMMITTEE

Mr Ronald Tay Boon Hwee (Chairman)

Mr Ng Kok Siong

Ms Low Peck Chen

AUDIT COMMITTEE

Tuan Haji Rosli bin Abdullah (Chairman)

Mr Ng Chih Kaye

Mr Ng Kok Siong

Ms Tan Siew Bee

CORPORATE DISCLOSURE COMMITTEE

Mr David Wong Chin Huat (Chairman)

Mr Ronald Tay Boon Hwee

Mr Ng Kok Siong

COMPANY SECRETARIES OF THE MANAGER

Khoo Ming Siang

(MAICSA 7034037)

Level 2, Ascott Kuala Lumpur

No. 9, Jalan Pinang

50450 Kuala Lumpur

Teo Mee Hui

(MAICSA 7050642)

10th Floor, Menara Hap Seng

No. 1 & 3, Jalan P. Ramlee

50250 Kuala Lumpur

AUDITORS

KPMG PLT

(Firm No: LLP0010081-LCA & AF 0758)

Chartered Accountants

Level 10, KPMG Tower

8, First Avenue, Bandar Utama

47800 Petaling Jaya

Selangor Darul Ehsan

Telephone No.: +60 3 7721 3388

Facsimile No.: +60 3 7721 3399

Partner-In-Charge: Ms Ow Peng Li

UNIT REGISTRAR

Tricor Investor & Issuing House Services Sdn. Bhd.

(Company Number: 11324-H)

Unit 32-01, Level 32, Tower A

Vertical Business Suite, Avenue 3

Bangsar South, No. 8 Jalan Kerinchi

59200 Kuala Lumpur, Malaysia

Telephone No.: +60 3 2783 9299

Facsimile No.: +60 3 2783 9222

PROPERTY MANAGERS

Knight Frank Property Management Sdn. Bhd.

(Company Number: 1211775-H)

Suite 10.01, 10th Floor

Centrepoint South,

Mid Valley City

Lingkar Syed Putra

59200 Kuala Lumpur

Telephone No.: +60 3 2289 9688

Facsimile No.: +60 3 2289 9788

Zaharin Nexcap Property Management Sdn. Bhd.

(Company Number: 1144744-X)

Suite 23-5, Oval Tower Damansara

Menara Permata Damansara

No. 685, Jalan Damansara

60000 Kuala Lumpur

Telephone No.: +60 3 7733 2122

Facsimile No.: +60 3 7733 2103

PRINCIPAL BANKERS

Alliance Bank Malaysia Berhad

CIMB Bank Berhad

HSBC Bank Malaysia Berhad

Malayan Banking Berhad

Public Bank Berhad

RHB Bank Berhad

United Overseas Bank (Malaysia) Bhd



CapitaLand Malaysia Mall REIT Management Sdn. Bhd.

(Company Reg. No.: 819351-H)

As Manager of CapitaLand Malaysia Mall Trust

Level 2, Ascott Kuala Lumpur

No. 9, Jalan Pinang

50450 Kuala Lumpur

Tel: +60 3 2279 9888

Fax: +60 3 2279 9889

Email: ask-us@cmmt.com.my

www.cmmt.com.my